REPUBLIC OF RWANDA
KIGALI INDEPENDENT UNIVERSITY ULK
P.O Box 2280 Kigali
Website://www.ulk.ac.rw
E-mail: info@ulk.ac.rw

MODULE OF ORGANIZATION HUMAN RESOURCES ASPECTS

-BOTH UNITS-

By:

1. Mr. KANYABITARO MANZI
E-mail: manzikanya@yahoo.fr
Tel. 0788837517
&
2. RUKUNDO FRIEND
E-mail: friendrukundo@gmail.com
Tel. 0788304082

3. UMUBYEYI R. Ange
Tel. 0788471524

4. Mr. MUGISHA Justin
E-mail: mujust7@gmail.com
Tel. 0788304172

5. Mr. GASHEMA Bruce
E-mail: brucegashema@gmail.com
Tel. 0788303716

UNIT 1: HUMAN RESOURCES MANAGEMENT **(HRM)**

1 Module Code: .....FIN 204..... **Faculty:** ECONOMICS AND BUSINESS STUDIES

2. **Module Title:** ORGANISATIONAL HUMAN RESOURCES ASPECTS

3. Level: 2 Semester: 1 Credits: 15

4. First year of presentation: 2011 Administering Faculty: ECONOMICS AND BUSINESS STUDIES

5. Pre-requisite or co-requisite modules, excluded combinations

Having successfully completed 1st Year EBS

6. Allocation of study and teaching hours

Total student hours _____	***Student hours***	***Staff* hours**
Lectures	***50***	***50***
Seminars/workshops	***10***	***30***
Practical classes/laboratory	***30***	***30***
Structured exercises	***10***	***10***
Set reading etc.	***10***	***--------***
Self-directed study	***10***	***--------***
Assignments – preparation and writing	***10***	***20***
Examination – revision and attendance	***20***	***10***
Other:	***--------***	***----------***
TOTAL	*150*	*150*

6.1 Brief description of aims and content

The module aims at:

Making students aware of the Organisational Human Resource Aspects environment

Making students aware of Historical evolution of Organisational Human Resource Aspects theory and practice

Making students understanding management as a process: Organisational Human Resource Aspects

Making students understanding the various principles of each step of Organisational Human Resource Aspects as a process
Making students understanding the different roles of framework.
Making students understanding decision making and leadership skills

6.2 Learning Outcomes

i) Knowledge and Understanding

Having successfully completed the module, students should be able to demonstrate knowledge and understanding of:

8. Principles of each step of Organisational Human Resource Aspects function
9. The Organisational Human Resource Aspects environment
10. Organisational Human Resource Aspects
11. Different roles of framework.

ii) Cognitive/Intellectual skills/Application of Knowledge

Having successfully completed the module, students should be able to:

- Apply principles of Organisational Human Resource Aspects in manufacturing or service industries
- Apply Principles of Organisational Human Resource Aspects in any working environment
- Apply Organisational Human Resource Aspects principles in any working environment
-

iii) Communication/ICT/Numeracy/Analytic Techniques/Practical Skills

Having successfully completed the module, students should be able to:

- ➢ Plan strategically, tactically and operationally, to organize, to supervise and to control in any working environment
- ➢ Teach or communicate to others all principles of Organisational Human Resource Aspects and of course apply them in a working environment.
- ➢ Explain different roles of framework.
- ➢ Explain decision making and leadership skills

iv) General transferable skills

Having successfully completed the module, students should be able to:

- ✓ Demonstrate Organisational Human Resource Aspects skills in a working environment (being public or private sector)
- ✓ Demonstrate conceptional, planning, organizing, coordinating and controlling skills in any environment
- ✓ Demonstrate teamwork skills in a working environment
- ✓ Demonstrate decision making and leadership skills

7. Indicative Content

Part1: HUMAN RESOURCE MANAGEMENT

OBJECTIVE

To enable the students to understand the human domain in organizations specifically, its procurement, induction, training and development, compensation and appraisal.

CONTENT

- Human Resource Management-Meaning and Importance-Functions and Status-Score-
- Human Resource Planning –Job Analysis-Recruitment and Selector-methods of Selection-socialization of New Employee.
- Training and Development-Need, Methods-Employee
- Training and Executive Development-Career Development
- Wage and salary Administration-principles and Techniques of wags fixation-Job Evaluation-Incentive plans.
- Performance Appraisal –Methods-Limitation-Changing trends-Motivation-Morale-Job satisfaction.
- Human Relations-Employee Relation –industrial
- Relation-prevention and Settlement of Disputes. Collective Bargaining-workers participation in Management-
- Trade unions- growth of Trade union in Rwanda- changing role of trade unions in Modern world.

Part 2: ORGANISATIONAL BEHAVIOR

OBJECTIVE

To provide the students with the knowledge and understanding of the determinants and effects of behavior in organization.

CONTENT

- Introduction to Organizational Behavior: Meaning-Score and Significance of organizational Behavior–social and psychological dimensions- models of organizational behavior.
- Individual's behavior in organization- nature of individuals- interaction of individuals and organization-individual differences and organizations- perception-attitudes-personality-motivation-integration of organization and individual goals.
- Group behavior in organization –definition and classification of groups-group concepts- groups norms –cohesiveness- inter and intra group behavior- group decision-making group dynamics.
- Management of organizational behavior –leadership
- Meaning and significance-theories of leadership
- Styles–communication-significance and process- barriers to effective communication-organizational conflicts –functional and dysfunctional aspects of conflicts-inter-personal conflict-group conflicts-conflict management- organizational climate-concept-factors influencing organizational climate- developing sound organizational climate-morale and productivity –organizational change-resistance to change-overcoming resistance -organizational development organizational culture –meaning and significance –development process of organizational culture- approaches and techniques-organizational effectiveness-concepts-approaches-models.

8. Learning and Teaching Strategy

.The learning and teaching strategy will be student centred.

9. Assessment Strategy

- **Assignment (Research and presentation)**
- **Examination**

10. Assessment Pattern

Component	Weighting (%)
Continuous Assessment Tests:	
Assignments Partial Assessment Test	**30% (Learning Objectives.: I, ii, iii, iv)** **30% (Learning Objectives.: I, ii, iii, iv)**
Final assessment:	
End of Semester examination	**40% (Learning Objectives.: I, ii, iii, iv)**

11 Strategy for feedback and student support during module

- ; Each Presentation is marked, marks post on the course Web on the University Online Campus Platform, with immediate feedback (direct contact with the student or contact through the online courses platform);

- Specimen examination papers and solutions available

12 Indicative Resources

Core Text (include number in library or URL) (inc ISBN)

- FOOT, M. and HOOK, C. 2008. *Introducing Human Resource Management*. Prentice Hall.
- TORRINGTON, D ; TAYLOR, S. and HALL, L. 2008. *Human Resource Management*. Prentice-Hall
- ROLLINSON, D. 2008. *Organizational Behaviour and Analysis*. Pearson.

- George R. TERRY et Stephen FRANKLIN (1985) Les principes du management 330B – GEO - 604

- J S CHANDAN (2006) Management : Concepts and strategies, 330B – JS - 1841

- Steven ten Have and allii (2003), Key management: 330B – STE - 1655

COURSE OUTLINE

Chap. I: GENERALITIES

1.1. COURSE OBJECTIVES

1.2. HUMAN RESOURCES MANAGEMENT

1. 2. 1. Definitions

1. 2. 2. Evolution of the HR functions in organizations

1. 2. 3. Importance of HRM

1. 2. 4. Concept of Personnel Management

1. 2. 5. Difference between Personnel Management and HRM

1. 2. 6. Human Resource Philosophy

1. 2. 8. Human Resource Policy

1.2.8.1. Definitions

1.2.9. Role of human resources department

1.2. 10. Functions of HRM

1. 2 .10. 1. Managerial functions
1. 2 .10. 2. Operative functions

1.2.11. Quality of HR manager

Chap. II: BASIC ACTIVITIES OF HRM

2.1. HR PLANNING (PLAN)
2.1.1. Introduction
2.1.2. Definition of HR Planning

2.1.3. Importance of Planning

2.1.4. Inadequacy of HR Planning

2.1.5. The process of HRP

2.2. JOB ANALYSIS, DESCRIPTION, SPECIFICATION & EVALUATION
2.2.1. Job analysis

2.2 .2.Job description

2.2.3. Job specification

2.2.4. Job evaluation

2.3. COMPENSATION MANAGEMENT
2.3.1. Definition

2.3.2. Importance

2.3.3. Types of compensation

2.3.3.1. Direct compensation

2.3.3.2. . Indirect compensation

2.3.4. Compensation factors

2.3.5.Possible objectives of a remuneration policy

2 .3.7.Basis of compensation systems.

2.4. ACQUISITION OF HR

2.4.1. Generalities

2.4.2. Recruitment

2.4.3. Selection

2.4.4. Placement, induction and socialization

2.5. TRAINING AND DEVELOPMENT

2.5.1. Introduction

2.5.2. The need for training

2.5.3. Training and development

2.5.3.1. Training

2.5.3.2. Development

2.5.4. Difference between training and development

2.6. PERFORMANCE APPRAISAL / THE PERFORMANCE EVALUATION

2.6.1. Introduction and definition.

2.6.2. Formal systems of evaluation

2.6.3. Aims performance appraisal

2.6.4. Rater of employee performance

2.6.5. Conditions for a good evaluation /Pre-requisites for effective & successful performance appraisal

2.6.6. Process of performance appraisal

2.5.7. Evaluation errors (bias)

CHAPTER III: MOBILIZING ACTIVITIES

3.1. MOTIVATION OF HUMAN RESOURCES

3.1.1. Definitions and generalities

3.1.2. Theories of motivation

3.1.3. Importance of motivation

3.1 4. Motivation tools

3.1.5. Job satisfaction

Chapter IV: BALANCING AND REBALANCING ACTIVITIES

4.1. INTRODUCTION

4.2. DISCIPLINE MANAGEMENT

4.2.1. Meaning of discipline management

4.2.2. Features of discipline

4.2.3. Objectives of discipline

4.2.4. Types of discipline

4.2.5. Causes of discipline

4.2.6. Guideline of discipline

4.2.7. Procedures of discipline

4.2.8. Disciplinary action: penalties and punishments.

REFERENCES

1. Christian Balicco, *Evaluation methods in human resources*, Ed. d'Organization, Paris, 2004;
2. Jacques Igalens, *Audit, Human Resources,* Ed. Liaisons, Paris, 2000 ;
3. Mark Sauders & al, *Strategic Human Resource Management,* Financial Times / Printice Hall, East London, 2007 ;
4. Lakdar Sekiou & al, *Human Resource Management,* Ed 4L Inc., Montreal, 2004;
5. Peretti, J.M, *Human Resource Management*, Vuibert, Paris, Paris, 2004
6. Shimon L.& al, *The Human Resource Management: Trends, issues and current practices,* Renewal Educational Publishing Inc., Paris, 2002;
7. Suja R. Nair, *Organizational Behaviour*, Himalaya Publishing House, Mumbai,1012
8. Eugene Mckenna & Nic Beech, *Human Resource Management,* Financial Times / Printice Hall, 2008;
9. Wayne Mondy R. *Human Resource Management*, Pearson Education, Inc., New Jersey, 2010;

Chap. I: GENERALITIES

1.2. COURSE OBJECTIVES

1. Describe and summarize what is essential to know about the basic, mobilizing, balancing and rebalancing activities of HR department within organizations;

2. Explain that Human Resource Management is a priority strategy for the organization that wants to succeed and adapt to the changing environment;

3. Identify, analyze and discuss the key challenges and the central challenge that the Human Resource Management is facing in our country;

4. Demonstrate that Human Resources Management is a profession;

5. Evaluate the extent to which Human Resource Management concepts have universal application;

6. Understand and explain the technical and psycho sociological aspects of HRM in organizations;

7. Use this understanding to educate and influence sectorial leaders of our country to recognize the need for effective and efficient HRM for productivity, performance and competitiveness of its organizations.

1.2. THE HUMAN RESOURCE MANAGEMENT (HRM)

1. 2. 1. Definitions

HRM is all activities aimed at managing talents and energies of individuals in order to contribute to the achievement of the mission, strategy and organizational goals.
It comprises measures (policies, procedures ...) and activities (Recruitment, Payroll, Performance Management, Training and Development, Retention, Industrial Relation ...) involving HR and for the efficiency and optimum performance from individuals and organization.

Human Resource Management is defined as the people who staff and manage organization. ***It comprises of the functions and principles that are applied to retaining, training, developing, and compensating the employees in organization****. It is also applicable to non-business organizations, such as education, healthcare etc. Human Resource Management is defined as the set of activities, programs, and functions that are designed to maximize both organizational as well as employee effectiveness*

1.2.2. Evolution of the HR function in organizations

NB: The evolution of the HR function has departed from the depersonalization of the production process to the humanization of the production process.

1.2.3. Importance of HRM

An organization consists of people who gather together for mutual benefit, and the organization is made or destroyed by the quality and behavior of individuals who compose it.

The hallmark of an organization is its human resource capacity to use knowledge of any kind. Only through human resources as all other resources can be used effectively.
The organization is effective because people are adopting it to work effectively together. And the control is effective because it helps people with skills to achieve their goals.
It is also worth remembering that people are the element common to all organizations. These people create goals, innovations and success stories for organizations which are leased. From the perspective of the organization, they are resources. Unlike land and capital, they are not inanimate; they are HR. Without them, organizations can not exist.

1.2.4. Concept of Personnel Management

Because of evolving nature of HRM, its conceptual and definitional framework does not show uniformity. For example, Jucius who has termed it as personnel administration has defined it as follows:
Personnel administration is the field of management which has to do with planning, organizing directing and controlling various operative functions of procuring, developing, maintaining and utilizing a labor force such that the:

- ✓ Objectives for which the company is established are attained economically and effectively;
- ✓ Objectives of all levels of personnel are served to the highest possible degree; and
- ✓ Objectives of the community a duly considered and served.

This definition has three aspects. First, personnel administration is a field of management and it contains the management process of planning, organizing directing and controlling. Second, this management process is applied in the operative functions of personnel administration viz. procuring developing, maintaining, and utilizing a labor force: Third, personnel administration is undertaken to fulfill certain objectives: of the organization people and community.

Though this definition is quite elaborate and explains the nature of personnel administration. It is more oriented towards labor force, but in the modern context, high premium placed on managerial personnel.

1.2.5. Difference between Personnel Management and HRM

Taking all the views on comparison of personnel management and human resource management-both are same with different nomenclature. Both have some similarities and some differences. And both differ in terms of contents as well as emphasis. We can differentiate Personnel Management and Human Resource Management as follows:

	Personal management	Human resource management
Time and planning perspective	Short term, reactive, ad hoc, marginal	Long term, proactive, strategic, integrated,
Psychological contract	Compliance	Commitment
Control systems	External controls	Self-control
Employee relations perspective	Pluralist, collective, low trust	Unitary, individual, high trust
Preferred structures/systems	Bureaucratic/mechanistic, centralized, formal, defined roles	Organic, devolved, flexible roles
Roles	Specialist/professional	Largely integrated into line management
Evaluation criteria	Cost minimization	Maximum utilization (human asset accounting)

Personnel management deals with technical (administrative) aspects and HRM deals with technical and psycho-sociological aspects.

1.2.6. Human Resource Philosophy

HR philosophy revolves around management's beliefs and assumptions about their nature, needs, values, and their approach to work. These beliefs and assumptions, then, determine how people should be treated. There are three approaches for treating people: commodity approach, machine approach, and humanistic approach.

***In commodity approach*,** a person is treated like a modity who can be bought or sold at a price as was the practice in old slavery system.

In machine approach, a person is treated as a part of the machine that can be fitted like any other part.

In humanistic approach a person is treated as a being having physiological, psychological and sociological characteristics:

- Human beings are the most important assets in the organization.
- Human beings can be developed to a great extent as they have creative energy which is utilized only partially.
- Human beings feel committed to their work in the organization if the develop belongingness with it.
- Human beings are likely to develop a feeling of belongingness if the organization takes care of them and their need satisfaction.
- Human beings contribute to the maximum if they get an opportunity to discover their full potential and to use it.

- It is the responsibility of the organization to create healthy and motivating work climate characterized by openness, enthusiasm, trust, mutuality and collaboration.

The HR philosophy, as discussed above, has been developed and practiced by most of the effective organizations throughout the world whether it is developed countries or developing countries.

Every organization develops some management philosophy including HR philosophy either explicitly or implicitly, written or unwritten. However, what is more important that it should be followed in letter and spirit and a written philosophy should not be treated as a showpiece and a means for impressing others.

1.2.7. Human Resource Policy

1.2.7.1. Definitions

While HR philosophy provides general guidelines for managerial actions, HR policy provides more specific guidelines for making decisions on matters relating to management of human resources. The term policy has been derived from the Greek word politeis meaning citizen and Latin word polities meaning polished, that is to say clear. According to New Webster Dictionary, policy means the art or manner of governing a nation, the line of conduct which rulers of a nation adopt on a particular question especially with regard to foreign countries, the principle on which any measure or course of action is based. In the organizational context, policy may be defined as fol1ows:

- A policy is a statement or general understanding which provides guidelines to members of the organization for making decision in respect to any course of action.
- According to Kotler**.** Policies define how the company will deal with stakeholders, employees, customers, suppliers, distributors, and other important groups. Policies narrow the range of individual discretion so that employees act consistently on important issues.

1.2.8. Role of human resources department

- Increased participation in organizational strategy.
- Participation in policy formulation.
- Support and advice
- Control
- Innovation
- Managing Change
- The establishment of new priorities on the functions and activities

1.2.9. Functions

We have already defined HRM. The definition of HRM is based on what managers do. The functions performed by managers are common to all organizations. For the convenience of study, the functions performed by human resource management can broadly be classified into two categories, viz. (1) managerial functions, and (2) operative functions.

1.2.9.1. Managerial Functions

Planning. Planning is a predetermined course of actions. It is a process of determining the organizational goals and formulation of policies and programmes for achieving them. Thus, training is future oriented concerned with clearly charting out the desired direction of business activities in future. Forecasting is one of the important elements in the planning process. Other functions of managers depend on planning function.
Organizing. Organizing is a process by which the structure and allocation of jobs are determined. Thus, organizing involves giving each subordinate a specific task, establishing departments, delegating authority and communication, coordinating the work of subordinates and so on.
Staffing: this is a process by which managers select, train, promote and retire their subordinates. This involves deciding what type of people should be hired, recruiting prospective employees, selecting employees, setting performance standard, compensating employees, evaluating performance, counseling employees, training and developing employees.
Directing/ Leading. Directing is the process of activating group efforts to achieve the desired goals. It includes activities like getting subordinates to get the job done, maintaining morale, motivating subordinates etc. for achieving the goals of the organization.
Controlling. It is the process of setting standards of performance, checking to see how actual performance with these set standards, and taking corrective actions as needed.

1.2.9.2. Operative Functions

The operative, also called, service functions are those which are relevant to specific department. These functions vary from department to department depending on the nature of the department viewed from this standpoint, the operative functions of HRM relate to insuring right people for right jobs at right times. These functions include procurement, development, compensation, and maintenance functions of HRM, a brief description of these follows.
Procuring. It involves procuring the right kind of people in appropriate number to be placed in the organization. It consists of activities such as manpower planning, recruitment, selection, placement and induction or orientation of new employees.
Development. This function involves activities meant to improve the knowledge, skills, aptitudes and values of the employees so as to enable them to perform their jobs in a better manner in future. These functions may comprise training to employees, executive training to develop managers, organization development to strike a better fit between organizational climate / culture and employees.
Compensation. This function involves determination of wages and salaries matching with contribution made by employees to organizational goals. In other words, this function ensures equitable and fair remuneration for the employees in the organization.
Maintenance. It is concerned with protecting and promoting employees while at work. For this purpose, various benefits such as housing, medical, educational, transport facilities, etc. are provided to the employees. Several social security measures such as provided fund, pension, gratuity, group insurance, etc. are also arranged.

1.2.1O. Quality of HR manager

Often a question arises: What are the qualities that make HR manager successful? The success or failure of manager (HR manager included) depends on his personal qualities and the situation in which he works. While qualities are

of personal nature, situation varies from organization to organization. Therefore, if we exclude situational variables, we may say that every manager must possess all those qualities which are essential for any manager irrespective of his functional areas. These qualities must be supported by job-related qualities. From this point of view, HR manager should have both managerial qualities and job related qualities.

Various managerial qualities required for HR manager are as follows:

1. Intelligence.

For a manager, higher level of intelligence is required so that he can understand the situation more easily and prepare himself to react accordingly. Intelligence is expressed in terms of mental ability to understand the nature of events which exist in a problem requiring a solution.

2. Conceptual qualities.

Conceptual qualities are related to find out the answer of why anything happens: why it is done, rather how it is done. Conceptual qualities refer to the ability to see the whole picture; to recognize significant elements in a situation; and to understand the relationship among these elements. Such qualities are necessary in HR manager to deal with abstractions, to set models, and to set plans. Since HR manager is to deal with problems of abstract nature, he must have conceptual qualities of high level.

3. Analytical qualities,

Analytical qualities are required so as to size up quickly and accurately the situation presented in terms of the core problems and issues involved. In a situation, there are some issues which may be more important while others may be made more important though, in reality, these may not be. Therefore, HR manager has to differentiate between wheat and chaff and get into reality.

4. Motivating qualities.

Not only should a manager be self-motivated., but he should have qualities to motivate his subordinates. Though there are many external forces which motivate a person for higher performance, there is inner drive in people for motivation to work. The HR manager can play active role in stimulating these inner drives of his subordinates. Thus, he must understand his people to the extent that he can know how he would activate them for better performance.

5. Emotional stability.

A manager should have high level of emotional stability. He should be free from bias, consistency in action, and refrain from anger. He should be well-adjusted and have no anti-social attitudes. He should be confident and believe that he can meet most situations successfully. He must be objective in his approach. Objectivity implies that what he does should be based on relevant facts and information. He must assess those without any bias and prejudice. If the manager is involved emotionally in a problem, it becomes quite difficult for him to see the reality.

Job-related qualities

HR manager must possess all those managerial qualities which will help him to understand the nature of the problems which come in the way of his job performance. However, he must have job-related qualities so that he handles these problems effectively. Since HR manager has to interact with a number of managers in other departments, and he has to advise them to solve problems related to management of human resources, he must have qualities to handle this work effectively. From this point of view HR manager should possess the following qualities.

1. Empathy.

Empathy relates to observing the things or situations from others' points of view. The ability to look at things objectively and understanding them from others' points of view is an important aspect of successful HR manager. When he is empathetic, he knows what makes the other fellows think as they do, even though he does not agree with others' points of view. Empathy requires respect for others, their rights, beliefs, feelings and values.

2. Communicative and persuasive quality.

A successful HR manager must have qualities of communication and persuasion because he has to rely more on this to get his ideas accepted rather than relying on his formal authority. Persuasive communication has great force in getting the acceptance from the receiver of the communication. Therefore, HR manager should have quality to communicate skillfully for persuasive informative and stimulating purposes.

3. Human relations quality.

HR manager should have adequate knowledge of human relations, that is, how he should deal with human beings. Since he has to deal with people inside and outside the organization, he must understand their nature and way of behaving. Within the organization, he has to develop the people and get their voluntary cooperation for effective performance. Outside the organization he has to interact with various agencies. Thus, understanding of how human beings behave and how they react to various situations is quite important to HR manager.

4. Technical quality.

Besides having behavioral and managerial qualities, HR manager should have technical knowledge of the disciplines relevant for management of human resources so that what he says or does he does that with some kind of authority of knowledge and competence. Therefore, he must have thorough knowledge of concepts, principles and theories of human resource management. Mere knowledge of these is not sufficient; he must be able to relate these concepts in a given situation that is applying relevant and correct concepts in a given situation.

Chap. II: BASIC ACTIVITIES OF HRM

Main types of basic activities are:

- ✓ HR planning;
- ✓ Job analysis, description, specification and job evaluation;
- ✓ Compensation management
- ✓ HR acquisition
- ✓ Training and HR development
- ✓ Performance evaluation

2.1. HUMAN RESOURCE PLANNING

2.1.1.Introduction

Planning is very important to our everyday activities. Several definitions have been given by different writers what planning is all about and its importance to achieving our objectives. It is amazing that this important part of HR is mostly ignored in HR in most organizations because those at the top do not know the value of HR planning. Organizations that do not plan for the future have less opportunity to survive the competition ahead. This article will discuss the importance of HR planning; the six steps of HR planning that is: Forecasting; inventory, audit, HR Resource Plan; Actioning of Plan; Monitoring and Control.

2.1.2. Definition of HR Planning

Quoting Mondy et (1996) they define it as a systematic analysis of HR needs in order to ensure that correct number of employees with the necessary skills are available when they are required.

When we prepare our planning programme, Practitioners should bear in mind that their staff members have their objective they need to achieve. This is the reason why employees seek employment. Neglecting these needs would result in poor motivation that may lead to unnecessary poor performance and even Industrial actions.

2.1.2. Importance of Planning

Planning is not as easy as one might think because it requires a concerted effort to come out with a programme that would easy your work. Commencing is complicated, but once you start and finish it you have a smile because everything moves smoothly.

Planning is a process that has to be commenced form somewhere and completed for a purpose. It involves gathering information that would enable managers and supervisors make sound decisions. The information obtained is also utilized to make better actions for achieving the objectives of the Organization. There are many factors that you have to look into when deciding for an HR Planning programme.

HR Planning involves gathering of information, making objectives, and making decisions to enable the organization achieve its objectives. Surprisingly, this aspect of HR is one of the most neglected in the HR field. When HR Planning is applied properly in the field of HR Management, it would assist to address the following questions:

1. How many staff does the Organization have?
2. What type of employees as far as skills and abilities does the Company have?
3. How should the Organization best utilize the available resources?
4. How can the Company keep its employees?

HR planning makes the organization move and succeeds in the 21st Century that we are in. Human Resources Practitioners who prepare the HR Planning programme would assist the Organization to manage its staff strategically. The programme assists to direct the actions of HR department.
The programme does not assist the Organization only, but it will also facilitate the career planning of the employees and assist them to achieve the objectives as well. This augment motivation and the Organization would become a good place to work. HR Planning forms an important part of Management information system.
HR have an enormous task keeping pace with the all the changes and ensuring that the right people are available to the Organization at the right time. It is changes to the composition of the workforce that force managers to pay attention to HR planning. The changes in composition of workforce not only influence the appointment of staff, but also the methods of selection, training, compensation and motivation. It becomes very critical when Organizations merge, plants are relocated, and activities are scaled down due to financial problems.

2.1.3. Inadequacy of HR Planning

Poor HR Planning and lack of it in the Organization may result in huge costs and financial looses. It may result in staff posts taking long to be filled. This augment costs and hampers effective work performance because employees are requested to work unnecessary overtime and may not put more effort due to fatigue. If given more work this may stretch them beyond their limit and may cause unnecessary disruptions to the production of the Organization. Employees are put on a disadvantage because their live programmes are disrupted and they are not given the chance to plan for their career development.
The most important reason why HR Planning should be managed and implemented is the costs involved. Because costs forms an important part of the Organizations budget, workforce planning enable the Organization to provide HR provision costs. When there is staff shortage, the organization should not just appoint discriminately, because of the costs implications of the other options, such as training and transferring of staff, have to be considered.

2.1.4. The process of HRP

A human resource manager will take a systematic process when undertaking human resource planning. Several steps or procedures are undertaken in this process. These procedures or steps can be categorized along these major lines:

2.1.4.1. Labor demand forecasting.

This phase of HRP is quite significant. It is in this phase that a human resource manager will in advance estimate the number and type of employees required to meet organizational objectives. The human resource manager is supposed to consider factors in both internal and external environment of the organization.
The labor demand forecasting is in most cases not accurate. There are several factors that affect labor demand forecasting. The dynamism of the environment in which the organization exists will have a lot of impact on the forecasting. Technological, social, economical, and political, changes will inevitably influence the forecasted results of the human resource planner. But whichever is the case, labor demand forecasting, is similar to estimates of product or service demand. Therefore, they should be given an equal consideration by planner.

2.1.4.2. Labor supply Analysis:

The moment a human resource planner has completed to forecast his future labor demand, the next step for him is to determine if the numbers and types of workers that he/she requires and are

available when and where they will be needed. Labor supply comes from either internal or external sources.

a. Internal sources

Internal supply analysis will usually start by the HR planner obtaining or examining the employees' data in the ***establishment charts, skill inventories, replacement charts, management inventories and staffing tables***. The data from these manuals indicate actual jobs, their present incumbents and present or future likely vacancies. They also indicate employee and future requirement. They further indicate employee **job titles, age experience, education, history, duties and responsibilities, future potential, interests, strengths and weaknesses etc.**

b. External sources

In case an organization does not have enough or lacks a sufficient internal supply of employees for promotion, or for staffing entry-level positions**,** it has to consider external supply. However, it should be noted that, there are several factors which affect labor supply from the external Market. The human resource planner should struggle hard to strike an appropriate balance between **labour demand and supply analysis**, determine how employees with the required qualifications and personal qualities can be attracted to the organization to fill the available vacancies. Appropriate balances need to be established between hiring new staff and/or retrenching. Note should be taken of legislation such as equal **employment opportunities** (**EEO**) and **affirmative action** (**AA**).

The planner should also take into consideration the external factors which may affect labour supply, for instance, **demographic changes, population mobility, economic factors government policies and education levels.**

2.1.4.3. Balancing demand and supply

After forecasting labor demand and carrying out a labor supply analysis, the two should be matched. When these two are matched, the following may result:

a. Equilibrium of labor (This is the ideal position and no action is required)
b. Surplus of labor
c. Shortage of labor

Solving labor shortage and surpluses

If after matching demand and supply of labour, equilibrium occurs, other things constant, no action would be required. If there is a surplus or shortage, the following steps may be taken:

Surplus

- Early retirement
- Start retrenching/ downsizing
- Pay reductions
- Natural attrition
- Transfer
- Stop recruiting
- Reduce casual and part-time employment
- Start early retirements
- Reduce working hours

Shortage

- Increase overtime
- Increase casual and part-time employment
- Postpone retirement

- Start recruiting
- Accelerate training and development
- Use outsourcing
- Technological innovations
- Multi-tasks

2.1.4.4. Implementation of the plan

Implement chosen plan by

- Assigning the task to a particular person
- Person should have necessary authority and resources
- Regular progress reports
- Evaluate results to check whether the company has avoided potential shortage /surplus
- Development of contingency plan
- Continuously monitoring and reviewing HR plan

Note: This process should be a cyclical one continuing with review providing feed-back for subsequent forecasts. It is wrong to forecast labour demand and neglect to accurately predict labour supply or monitor program effectiveness as some organizations do.

Drawbacks of human planning

Irrespective of the fact that HRP is quite important, it may involve a number of drawbacks attributed to it. Some of these include:

a. Firstly, human resource planning is sometimes avoided because it is time consuming or too difficult. Effective human resource plans take time and are costly especially when specialists are required.
b. Secondly, in many organizations, there are vested interests who act as obstacles to new HR plans, and even top management may not see or recognize the need for change.

Benefits of human resource planning

Despite the fact that human resource planning has several drawbacks, many benefits can be obtained from it. These benefits include:

a. Human resources in organizations will be better used, employee and organizational objectives can be more closely matched and substantial improvement made in productivity.
b. Employees can be recruited at the **best time** at **the right** cost and in line with future organizational requirements. Idle labour, and under – supply of labour can be avoided.
c. Future skill requirements can be met by the timely training and development of employees
d. The morale of the employees can be maintained due to the smooth management of their career.
e. Likely redundancies can be anticipated and managed effectively with minimum disruption to employees, work process and organizational objectives

Reasons for current interest in HRP

- **Employment Situation:** On one hand there is acute shortage for a variety of skills. On the other hand, the number of educated unemployed is on the rise. This calls for more effective recruitment and retraining of people

- **Organizational changes:** Rapid changes in organizational environment, activities and organizational structures affect requirement for human resource strategic consideration.
- **Demographic Changes:** The changing profiles of the workforce in terms of age, education, technical skill, social background and sex have implications for human resource planning.
- **Technological changes:** The extensive and rapid changes in production technology, management techniques and marketing methods have profound effects on job contents and contexts.
- **Hiring Costs:** The costs of recruitment, training and development are increasing. This encourages promotion of employees within the company and their retention for longer period of time through systematic human resource planning

Do you have an HR Plan in action?

Let us all check where we are working and see whether there is really a Human Resource Plan. If it's not available, let us try to develop one and you would see how you will make a difference. It is quite true that HR plan is the basis of Human Resources Management. If we do not know how to develop it, then we are not doing services to our Organizations and our impact will not be felt in the management pool**.**

2.2. JOB ANALYSIS, DESCRIPTION, SPECIFICATION & EVALUATION

2.2.1. Job analysis

The main purpose of conducting job analysis is to prepare job description and job specification which in turn helps to hire the right quality of workforce into the organization. The general purpose of job analysis is to document the requirements of a job and the work performed. Job and task analysis is performed as a basis for later improvements, including: definition of a job domain; describing a job; developing performance appraisals, selection systems, promotion criteria, training needs assessment, and compensation plans.

In the fields of Human Resources (HR) and Industrial Psychology, job analysis is often used to gather information for use in personnel selection, training, classification, and/or compensation.

The field of vocational rehabilitation uses job analysis to determine the physical requirements of a job to determine whether an individual who has suffered some diminished capacity is capable of performing the job with, or without, some accommodation.

Professionals developing certification exams use job analysis (often called something slightly different, such as "task analysis") to determine the elements of the domain which must be sampled in order to create a content valid exam. When a job analysis is conducted for the purpose of valuing the job (i.e., determining the appropriate compensation for incumbents) this is called "job evaluation."

Fundamental questions which the job analysis should answer:

- ✓ What does the person who held this position?
- ✓ What are the main and secondary tasks (physical and mental) that are executed?
- ✓ How is the performance?
- ✓ What methods are used?
- ✓ What is the support offered by the organization?

- ✓ What are the environmental conditions?
- ✓ What are the performance standards?
- ✓ Why the person is this post?
- ✓ What is the rationale for this position?
- ✓ With whom the person works?

2.2.2. Job Description

A job description is a list of the general tasks, or functions, and responsibilities of a position. Typically, it also includes to whom the position reports, specifications such as the qualifications needed by the person in the job, salary range for the position, etc. A job description is usually developed by conducting a job analysis, which includes examining the tasks and sequences of tasks necessary to perform the job. The analysis looks at the areas of knowledge and skills needed by the job. Note that a role is the set of responsibilities or expected results associated with a job. A job usually includes several roles. The job description might be broadened to form a person specification.

The objective of a job description is to have a clear outline of duties and responsibilities to make the screening process as direct and focused as possible.

Job descriptions may have the following elements:

- Improvement cooperation by giving all members of the organization insight in existing responsibilities/role
- Enabling career moves within the organization
- Determination of amount of pay per function
- Increase of results by specification of responsibilities and key performance indicators
- Development of job owner by specification of competences
- May include the phrase "perform other duties as assigned"

2.2.3. Job Specification

Job specification summarizes the human characteristics needed for satisfactory job completion. It tries to describe the key qualifications someone needs to perform the job successfully. It spells out the important attributes of a person in terms of education, experience, skills, knowledge and abilities to perform a particular job. The job specification is a logical outgrowth of a job description. For each job description, it is desirable to have a job specification. This helps the organization to find what kind of persons are needed to take up specific jobs. The personal attributes that are described through a job specification may be classified into three categories:

- *Essential attributes*: skills, knowledge and abilities a person must possess.
- *Desirable attributes:* qualifications a person ought to posses.
- *Contra-indicators*: attributes that will become a handicap to successful job performance.

A job specification can be developed by talking with the current jobholders about the attributes required to do the job satisfactorily. Opinions of supervisors could also be used as additional inputs. Checking the job needs of other organizations with similar jobs will also help in developing job specifications.

Job specification is useful in the selection process because it offers a clear set of qualifications for an individual to be hired for a specific job. Likewise, a well-written job specification offers a clear picture to new recruits of what they will be doing in the organization. A specimen job specification is given below:

2.2.4. Job evaluation is the process of systematically determining a relative internal value of a job in an organization. In all cases the idea is to evaluate the job, not the person doing it. Job evaluation- is the process of determining the work of one job relation to that of the other jobs in a company so that a fair and equitable wage and salary system can be established.

Using job evaluation:

- Resolve differences in base salary about jobs that have similar requirements;
- Assign a base salary of gender equity and eliminate, if necessary, discrimination;
- Prioritize their job function requirements;
- Enable the organization to build a rational and objective policy of wages;
- Facilitate a comparison of basic salaries with those offered in other organizations;
- Provide material for use in negotiating wages, related to a collective agreement;
- Provide criteria accepted by the union and employer to resolve issues related to grievances concerning compensation
- Establish a solid foundation for a modern HR management, for example, a policy of career management;
- Explain to the employee, setting his base pay

2.3. COMPENSATION MANAGEMENT

2.3.1. Definition

Compensation is the remuneration received by an employee in return for his/her contribution to the organization. It is an organized practice that involves balancing the work-employee relation by providing monetary and non-monetary benefits to employees. Compensation is an integral part of human resource management which helps in motivating the employees and improving organizational effectiveness.

The management of this activity enables the organization to attract, support, encourage and retain a workforce effectively.

2.3.2. Importance

Compensation and reward system play vital role in a business organization. Since, *among four Ms, i.e. Men, Material, Machine and Money, Men has been most important factor, it is impossible to imagine a business process without Men*. Every factor contributes to the process of production/business. It expects return from the business process such as rent is the return expected by the landlord, capitalist expects interest and organizer i.e. entrepreneur expects profits. Similarly the labor expects wages from the process.
Labor plays vital role in bringing about the process of production/business in motion. The other factors being human has expectations, emotions, ambitions and egos.

Labor therefore expects to have fair share in the business/production process. ***Therefore a fair compensation system is a must for every business organization.*** The fair compensation system will help in the following:

- ✓ An ideal compensation system will have positive impact on the efficiency and results produced by employees. It will encourage the employees to perform better and achieve the standards fixed.
- ✓ It will enhance the process of job evaluation. It will also help in setting up an ideal job evaluation and the set standards would be more realistic and achievable.
- ✓ Such a system should be well defined and uniform. It will be apply to all the levels of the organization as a general system.
- ✓ The system should be simple and flexible so that every employee would be able to compute his own compensation receivable.
- ✓ It should be easy to implement, should not result in exploitation of workers.
- ✓ It will raise the morale, efficiency and cooperation among the workers. It, being just and fair would provide satisfaction to the workers.
- ✓ Such system would help management in complying with the various labor acts.
- ✓ Such system should also solve disputes between the employee union and management.
- ✓ The system should follow the management principle of equal pay.
- ✓ It should motivate and encouragement those who perform better and should provide opportunities for those who wish to excel.
- ✓ Sound Compensation/Reward System brings peace in the relationship of employer and employees.
- ✓ It aims at creating a healthy competition among them and encourages employees to work hard and efficiently.
- ✓ The system provides growth and advancement opportunities to the deserving employees.
- ✓ The perfect compensation system provides platform for happy and satisfied workforce. This minimizes the labor turnover. The organization enjoys the stability.
- ✓ The organization is able to retain the best talent by providing them adequate compensation thereby stopping them from switching over to another job.
- ✓ The business organization can think of expansion and growth if it has the support of skillful, talented and happy workforce.
- ✓ The sound compensation system is hallmark of organization's success and prosperity. The success and stability of organization is measured with pay-package it provides to its employees.

2.3.3. Types of compensation

2.3.3.1. Direct compensation

Direct compensation refers to monetary benefits offered and provided to employees in return of the services they provide to the organization. The monetary benefits include basic salary, house rent allowance, conveyance, leave travel allowance, medical reimbursements, special allowances, bonus, Pf/Gratuity, etc. They are given at a regular interval at a definite time.

1. **Basic salary**. Salary is the amount received by the employee in lieu of the work done by him/her for a certain period say a day, a week, a month, etc. It is the money an employee receives from his/her employer by rendering his/her services.
2. **House rent allowance**. Organizations either provide accommodations to its employees who are from different state or country or they provide house rent allowances to its employees. This is done to provide them social security and motivate them to work.

3. **Conveyance**. Organizations provide for cab facilities to their employees. Few organizations also provide vehicles and petrol allowances to their employees to motivate them.
4. **Leave travel allowance**. These allowances are provided to retain the best talent in the organization. The employees are given allowances to visit any place they wish with their families. The allowances are scaled as per the position of employee in the organization.
5. **Medical reimbursement**. Organizations also look after the health conditions of their employees. The employees are provided with medi-claims for them and their family members. These medi-claims include health-insurances and treatment bills reimbursements.
6. **Bonus**. Bonus is paid to the employees during festive seasons to motivate them and provide them the social security. The bonus amount usually amounts to one month's salary of the employee.
7. **Special allowance.** Special allowance such as overtime, mobile allowances, meals, commissions, travel expenses, reduced interest loans; insurance, club memberships, etc are provided to employees to provide them social security and motivate them which improve the organizational productivity.

2.3.3.2. . Indirect compensation

Indirect compensation refers to non-monetary benefits offered and provided to employees in lieu of the services provided by them to the organization. They include Leave Policy, Overtime Policy, Car policy, Hospitalization, Insurance, Leave travel Assistance Limits, Retirement Benefits, Holiday Homes.

a. **Leave policy.** It is the right of employee to get adequate number of leave while working with the organization. The organizations provide for paid leaves such as, casual leaves, medical leaves (sick leave), and maternity leaves, statutory pay, etc
b. **Overtime policy.** Employees should be provided with the adequate allowances and facilities during their overtime, if they happened to do so, such as transport facilities, overtime pay, etc.
c. **Hospitalization.** The employees should be provided allowances to get their regular check-ups, say at an interval of one year. Even their dependents should be eligible for the medi-claims that provide them emotional and social security.
d. **Insurance**. Organizations also provide for accidental insurance and life insurance for employees. This gives them the emotional security and they feel themselves valued in the organization.
e. **Leave travel** .The employees are provided with leaves and travel allowances to go for holiday with their families. Some organizations arrange for a tour for the employees of the organization. This is usually done to make the employees stress free.
f. **Retirement benefits**. Organizations provide for pension plans and other benefits for their employees which benefits them after they retire from the organization at the prescribed age.
g. **Holiday homes.** Organizations provide for holiday homes and guest house for their employees at different locations. These holiday homes are usually located in hill station and other most wanted holiday spots. The organizations make sure that the employees do not face any kind of difficulties during their stay in the guest house.

h. **Flexible timings**. Organizations provide for flexible timings to the employees who cannot come to work during normal shifts due to their personal problems and valid reasons.

2.3.4. Compensation factors

Internal compensation factors

- ✓ Nature of employment
- ✓ Type of employee
- ✓ Ability to pay of the organization
- ✓ Labor productivity to work
- ✓ Requirements union

External compensation factor

- o Labor
- o Government Legislation
- o Cost of living
- o Industrial structure of the country or region

2.3.5. Possible objectives of a remuneration policy

How to choose a payment system rather than another? None is intrinsically better than others; the organization can not choose on the basis of the objectives it set itself the matter. You can usually identify the following major objectives:

- ✓ Attracting qualified staff
- ✓ Retain current staff
- ✓ Ensuring equity
- ✓ Rewarding desired behavior
- ✓ Control costs
- ✓ Respect the laws
- ✓ Retain employees judged the best
- ✓ Encourage employees to take action to make the organization efficient and profitable

Compensation provided to employees can direct in the form of monetary benefits and/or indirect in the form of non-monetary benefits known as perks, time off, etc. Compensation does not include only salary but it is the sum total of all rewards and allowances provided to the employees in return for their services. If the compensation offered is effectively managed, it contributes to high organizational productivity.

2 .3.7. Basis of compensation systems.

A pay system combines variable steering and action variables. The driving variables are those that respond to the question "What should we pay? >>. The action variables are those that respond to the question: "what should be the pay structure? >>

These two questions and specific answers that each organization should develop suggest that choices have to be done on the basis of the pay system, as well as how to achieve the goals we set.

The determination of variable steering is a crucial question: should we pay the person or the job required? If the salary is an explicit element of the employment contract, it marks the cons part of work done. I need to pay employment or the person performing this job?

Systems based on employment

In practice, most systems of prioritizing salaries of many industrialized countries, especially

based on a ranking of jobs. This classification is usually finalized by collective agreements between employers and unions, through collective branch agreements which, among other rules contain amendments classifications.
The existence of job classification of jobs relative to each other, called classification grids, results from responses to the question of how to determine the "fair>> price for a given job.
Systems based on the person
Historically, some organizations have chosen to pay anyone. This is particularly the case in the public service in many countries, or legal status defines the rights and obligations of officials and organizing the means of access to jobs or changes in these jobs. But there is a tendency for organizations of industrialized countries to take more account of people and not just jobs.

Changes current competition leads many organizations to ensure their competitiveness by relocating production to countries with lower wages. Thus, knowledge and skills of employees become more strategic. The most successful companies are often those who have developed the skills of their staff.
These many changes result in a change in the paradigm of human resource management which aims to focus on skills development. In this sense, the terms of pay systems are made to change too.

Mr. Tremblay defines compensation systems based on skills as systems in which individuals are compensated for the number, type and depth of skills they have developed.

These systems have undergone significant development in North America. In Europe, more and more companies are seeking to evaluate their legacy systems to take account of people's skills.

This is the case in France for example; steel companies have signed a collective agreement in December 1990, CAPA 2000 (Agreement on the conduct of business). The agreement provides that wages depend on the skills held and validated by individuals, rather than jobs held. So the company to use the skills possessed and well remunerated affecting individuals in jobs that allow them to implement and develop their skills.

2.4. ACQUISITION OF HR

2.4.1. Generalities
The acquisition process of HR is primarily an exercise in prediction. When deciding to hire such a person rather than another is usually because it is determined that the candidate has a better chance to stay long enough to serve the company.

Four main reasons seem to justify a more rigorous approach of HR acquisition.

In 1st place, it should be noted that this is a costly activity in that it mobilizes people, energy, facilities, equipment and time. It is illogical to have to resume the process each year (or several times a year) for the same positions.
A second reason which should motivate us to give to the acquisition of HR increased attention is that in some circles at least, the commitment of staff has a character more and more irreversible.

A third reason which is forcing human resource managers to consider this process is the need relatively new in that it is to respect the rules concerning non-discrimination in employment.

A fourth and final factor concerns the requirements of consumers who are increasingly knowledgeable and demanding, with reason, respect for rights that are conferred by law, especially that of receiving a product or service quality matching the price paid.
The organizations subject to these benefits should be more vigilant in the selection step to eliminate as far as possible candidates to be sources of problems and retain only those with sufficient safeguards to provide any work competent and careful. The four factors mentioned above influence the companies in a comprehensive manner and apply almost equally to all organizations.

2.4.2. Recruitment

In this is competitive global world and increasing flexibility in the labor market, recruitment is becoming more and more important in every business. Therefore, recruitment serves as the first step in fulfilling the needs of organizations for a competitive, motivated and flexible human resource that can help achieve its objectives.

According to Edwin B. Flippo, recruitment ***is the process of searching the candidates for employment and stimulating them to apply for jobs in the organization"***. Recruitment is the activity that links the employers and the job seekers.

Purpose & importance of recruitment

The purpose and importance of recruitment are given below:

- ✓ Attract and encourage more and more candidates to apply in the organization.
- ✓ Create a talent pool of candidates to enable the selection of best candidates for the organization.
- ✓ Determine present and future requirements of the organization in conjunction with its personnel planning and job analysis activities.
- ✓ Recruitment is the process which links the employers with the employees.
- ✓ Increase the pool of job candidates at minimum cost.
- ✓ Help increase the success rate of selection process by decreasing number of visibly under qualified or overqualified job applicants.
- ✓ Help reduce the probability that job applicants once recruited and selected will leave the organization only after a short period of time.
- ✓ Meet the organizations legal and social obligations regarding the composition of its workforce.
- ✓ Begin identifying and preparing potential job applicants who will be appropriate candidates.
- ✓ Increase organization and individual effectiveness of various recruiting techniques and sources for all types of job applicants

Sources of Recruitment

Every organization has the option of choosing the candidates for its recruitment processes from two kinds of sources: internal and external sources. The sources within the organization itself (like transfer of employees from one department to other, promotions) to fill a position are known as the internal sources of recruitment. Recruitment candidates from all the other sources (like outsourcing agencies etc.) are known as the external sources of the recruitment.

Sources of recruitment

INTERNAL

- Transfers
- Promotions
- Upgrading
- Demotion
- Retired employees
- Retrenched employees
- Dependents and relatives of deceased employees

EXTERNAL

- Press advertisements
- Educational institutes
- Placement agencies/ outsourcing
- Employment exchanges
- Labour contractors
- Unsolicited applicants
- Employee referrals
- Recruitment at factory gate

Factors affecting recruitment

The recruitment function of the organizations is affected and governed by a mix of various internal and external forces. The internal forces or factors are the factors that can be controlled by the organization. And the external factors are those factors which cannot be controlled by the organization. The internal and external forces affecting recruitment function of an organization are:

Factors affecting recruitment

EXTERNAL FACTORS

- Supply and demand
- Labour market
- Image/ Goodwill
- Political-Social- Legal Environment
- Unemployment rate
- Competitors

INTERNAL FACTORS

- Recruitment policy
- Human resource planning
- Size of the firm
- Cost of recruitment
- Growth and expansion

2.4.3. Selection

2.4.3.1.Introduction.

The main purpose of selection is to hire competent staff. Various reasons both economic and social importance to justify this hiring. From an economic perspective, the entry into the organization of labor incompetent, unstable and poorly suited to the tasks is the direct and indirect losses considerable socially, workers impaired, incompetent, not only cause losses to the organization, but also and above all, they threaten social stability as they become eternally dissatisfied, vectors of several social unrest.

The selection represents an effort to identify and choose the candidate who seems to be the most likely to provide satisfactory performance for a given position in the organization. It also implies the opposite that is to say that the manager is able to identify as the candidate who in all likelihood, will not provide as good performance and, accordingly, will have their application refused.

2.4.3.2. The selection process

The selection process may be viewed as an obstacle course, each of which can measure certain skills, attitudes, knowledge and skills to recruits on the one hand, eliminating those that do not meet the job requirements and, secondly, to keep those who respond. We must therefore carefully design the process based on the position being filled. This view implies that we must determine as precisely as possible the skills, attitudes, knowledge and other resources required for successful rookie, he must first develop a strategy for measuring, preparing tests and then design the hardware media and must consider the possible outcomes of the process.

Three major concerns should guide the design work of the selection process: validity, reliability and relevance.
A test is valid when it measures what it purports to measure. For example, if the text of an exercise in problem solving and the formulation of interview questions are stiff and dark, the test could measure more language skills of the subject rather than its ability to solve the particular problem management has been submitted.

The process and the tests must be reliable and should give equivalent results when administered under the same circumstances, to persons of the same jurisdiction. For example, people who undergo the test on Monday morning were - they evaluated their skills with as much accuracy as those who suffer on Tuesday after - noon.

Finally, the process must be relevant, it's - to - say it depends on the position being filled and that is only what is essential for good performance in this position. Thus, the quality of the cut of clothing the candidate, posture, sport and recreational habits are unlikely to be relevant, in addition, many of these factors are irrelevant, of interest too often interviewers are discriminatory and prohibited by the Charter of Rights and Freedom, at least in many countries.

Moreover, we must avoid doing anything that could lead to good candidates to exclude them - themselves, because they did not like the way they were treated during the selection process.

2.4.3.3. Illustration of typical stages of a process for selecting candidates

1st step: Analysis of the documentation received. (Sort of candidates and eliminating candidates who do not meet the requirements and basic criteria such as qualification, experience, ...)

2nd stage. Preliminary interview of the selected candidates.

3rd stage: Tests (choice of battery tests). There are several types of tests such as test of personality, interests, skills, knowledge and performance or development situation. And the performance of a task requires a set of skills and it is difficult to design a test that can cover all the qualities required in a job.

Therefore, in the work situation (hiring, promotion, transfer, prevention of accidents...), the psychologist uses a battery of tests finally cover the various aspects of the criteria for measuring success in the given situation . In doing so, the difficulty lies in combining the results of different tests to reach a decision on each issue.

Given the foregoing, we can define the test battery as a set of tests aimed at different abilities and to enable the prediction of a more or less complex activities of a professional nature in general

Step 4: Interview and reference checks. Its purpose is twofold. On one side is the opportunity for the representative of the organization to verify the information in the form of service offering, complement, explore interests and reasons for the rookie (candidate) to ensure that it truly meets the requirements of the position. On the other hand, the selection interview is an opportunity for the rookie to learn more about the vacant position, organization, requirements and opportunities for advancement it offers, the rookie will be well to assess whether, on the one hand it meets the requirements of the position and if, on the other hand, she wants to get there. This step performs the functions of communication and information.
Verification of references used to answer these questions: what kind of person is the candidate? This is - this a hardworking and reliable person?

There are two kinds of references: personal references and employment references. The initial focus on the personality of the rookie. They are usually provided by a friend or a family member. The latter have the work experience of rookie. Many experts are skeptical about the usefulness of references. First, objectivity and disinterestedness references are doubtful. The rookie is likely to ask for references on it to persons whom they trust and who are unlikely to reduce his chances of getting the job vacancies. Moreover the authors of the references tend to provide only positive information about the rookie. The usefulness of personal references is almost nil.

When references to jobs, many experts doubt also hiring their value. First, the person who wrote this reference does not necessarily give all relevant information available to it and it mitigates the negative or positive, as it was well prepared or not vis-à-vis the person on whom is the reference. In addition, performance in a particular position is not exclusively linked to the competence, skills and attitudes of workers, it also depends on organizational factors, such as supervisor support and feedback, the reference is not mention.

Step 5: Medical examination and verification of health status. A questionnaire that applicants must meet regarding its current and past health. This questionnaire is completed by a physical examination by a health authority.

Step 6: Recommendations.

Step7: Hiring decisions (Home of the candidate hired and trigger the administrative process).

2.4.4. Placement, induction and socialization

2.4.4.1. Introduction

Once a candidate has been selected, he/she needs to be placed on a suitable job. In fact placing the right person on the right job is as important as selecting right person .The person put on a suitable job needs to be made familiar with his/her job, the organization and the other employees through induction or orientation so as to enable him/her to contribute the maximum .This chapter is therefore, devoted to a detailed discussion on placement, induction, and socialization.

2.4.4.2. What is placement?

Placement is understood as assigning jobs to the selected candidates. Assigning jobs to employees may involve a new job or different job. Thus, placement may include initial assignment of job to new employee, on transfer, promotion or demotion of the present employees. In this section, placement refers to the assignment of jobs to new employees only placement arising out of transfers, promotions, and demotions are discusses in chapter 13, later in this book.

Placement involves assigning a specific job to each one of the selected candidates .However; placement is not so simple as it looks. Instead, it involves striking a fit between the requirement of a job and the qualifications of a candidate .Pigors and Myers have defined placement as« the determination of the job to which an accepted candidate is to be assigned and his assignment to that job. It is a matching of what the supervisor has reason to think he can do with the job demands(job requirement), and what he offers in the form of pay rolls, companionship with other, promotional possibilities ,etc.

The importance of placement lies in the fact that a proper placement of employees reduces employees' turnover, absenteeism, accidents and dissatisfaction, on the one hand, and improves their morale, on the other.

It has been customary in most of the organizations to put employees initially on a probation period with a view to adjudge their suitability for the job in the organization. The probation period may vary form organization ranging from one to two years .Having found the employees' performance satisfactory during the probation period, their jobs are regularized.

2.4.4.3. Induction

Concept of induction

Introduction of a new entrant into any existing group of people has been a common feature with come across in our everyday life. Recall, the bride on joining to (your) family was introduced to (your) family members and manners .Remember your own joining to your present department of business administration .On joining the department, you may have been told about the department's rules and regulations, the procedure for academic activities such as sessional test, assignments, seminar presentations, summer training, semester examination, papers to be taught with the names of the teachers, etc. You were probably introduced to your seniors by organizing fresher's welcome .Similarly ,when a person joins a

new job ,he/she also needs the same types of introduction to his/her job and the organization .This introduction is called induction .Induction is also known as orientation .
A new entrant joins a organization as a stranger to his co-workers, job and organization .This caused the initial anxiety for the new entrant .It culminates at times to surprise resignation by new employee .Hence, arrangement need to be made to make the integration of the new employee into the organization as smooth and as free of anxiety as possible .Induction helps do so.
Induction is welcoming a new employee to the organization .In other words , it is a well arches traded event to socialize the new entrant with the people and the work environment in a particular organization.

Objectives of induction

When a new entrant joins an organization , he /she is a utter stranger to the co-workers, work place and work environment .As such , he/she may feel insecure , shy and nervous .The first few days may be all anxious and disturbing ones for the new entrant .Particularly when a new entrant comes from rural area , he/she finds himself/herself completely at sea in a industrial town and city .Then, induction helps reduce such anxieties and dispels doubts and nervousness from the mind of the new entrant .Therefore , an induction programme is designed to achieve the following objectives:

1. To reduce the initial anxiety all new entrants feel when they join a new job in a new organization (orientation des nouveau venues)
2. To familiarize the new employees with the job, people , work-place , work environment and the organization
3. To facilitate outside r-insider transition in an integrated manner
4. To reduce exploitation by the unscrupulous co-workers
5. To reduce the cultural shock faced in the new organization

Benefits of induction programme

A formal induction programme may provide the following benefits to the new comer and the organization:

Placement, induction and socialization

1. A well-designed induction programme reduces anxiety, nervousness, absenteeism and employee turnover.
2. Induction helps minimize the reality or cultural shock new employees undergo on joining a new organization
3. Effective induction also helps integrate the new employees into the organization and fosters the feeling of belongingness to the new organization
4. Induction also binds the newcomer and the present employees in a team

Contents of induction programme

The induction programme may be informal of formal. These are discussed one by one .

Informal induction

This is an unplanned induction programme .This may be simply an introduction to the new entrant about the job and organization .Such type of induction programme is generally carried out by the medium and small-scale units. Usually, informal induction programme needs to be brief-lasting for one hour. Inofrmal induction programme itself may be in the following two versions:

i) Supervisory system in this system , the immediate job supervisor conducts the induction programme for the new entrant .The supervisor briefs the new comer about

the job , the department , introduces to the colleagues , and takes him round the sections/divisions which are related to his job.

ii) Buauy or sponsor system. In the buddy system ,the immediate supervisor assigns the responsibility of induction of the new entrant to an old employee. The old employee acts as friend , philosopher and guide to the new comer .In order to introduce the new comer to the job and the organization , the guide ,I.e , the old employee arranges meetings with other persons and departments and also supplies him with relevant documents /literature regarding ruler , regulations and other details of the organization

Formal induction

Formal induction is a planned programme carried out to integrate the new entrant into the organization .this is usually carried out by the large size organization .A comprehensive induction programme is carefully designed to introduce the new entrant to all about his job, colleagues and organization .Accordingly , the contents of the formal induction programme cover the aspects raining from the mission ,vision , ruler and regulations of the organization to job related particulars like salary , benefits, service conditions ,safety and welfare measures, etc.

A formal induction programme , thus , includes the following contents :

1. Brief history of the organization.
2. Organization mission , vision , objectives and philosophies
3. Policies and procedures of the organization
4. Rules and regulation of the organization

Human resource management Know to decide whether to continue the programme in future also or not or whether the programme needs any improvement in future. In fact, it is the evaluation of the induction programme that makes the organization know whether the amount incurred in induction programme remains as an expenditure or has turned into an investment. There are various methods employed to measure the effectiveness of training programmes. Any discussion on induction will remain incomplete without a mention about socialization therefore, before we close this chapter, a small mention about socialization too is given here.

Phases of induction programme

A carefully designed induction programme consists of the following three phases:

General induction: this first phase of induction is conducted by the HR department. The focus of the induction is to expose the new entant to the organization by explaining him the mission, objectives, history and philosophy of organization. A new employee is also briefed his service conditions, pay, promotion procedure, personnel policies and grievance handling mechanism practiced in organization.

Specific induction: this induction is given by the new employee's supervisor. The focus is on the overall exposition of the new employee to his job. Accordingly the employee is introduced o to the job, shown place of work and around the premises introduced to his co-workers and briefed about the procedures and methods, custom and routines, rules and regulations regarding his job. This training induction helps the new employee adjust with work environment.

Follow up induction: the main objective of follow up induction is to verify whether the new employee is getting himself adjusted with the work and organization or not. This induction is given by employee's supervisor or qualified specialist on industrial psychology. While giving induction training, the employee's suggestions on adequacy or otherwise of the already conducted induction programs and on any other related aspect, if any, are duly taken into consideration to make the induction more and more effective. Such feedback can also be used to assess the requirements of guidance and counseling for the new entrants.

How to make an induction programme effective?
Following are some of the requisites of an effective induction program:

- **Receiving new employees**: the new employees to be duly received by the organization this inculcates a feeling in the new entrants that they are required in the organization. Such a feeling serves as a corner stone to be interested to integrate into the organization.
- **Determining the new employees' need for information**: the cental element that guides the designing of an induction programme is to decide first " what do the new employees need to know now?" many times, the new employees are given the information which are not immediately required but the required one is not given. Such information lack tends to make the new comer confused about the job and organization. Therefore, it is important to decide the vital information a new entrant needs to receive on his joining the organization.
- **Determining how to present the information**: having been decided what information employees want, the next important thing to be decided is how to present the same to the new employees. Obviously, the required information needs to be presented to the new employees in the right form and manner so as to have the maximum impact on employees.
- **Delivering induction training by the right instructor**: much of an effectiveness of an induction progamme depends on who conducts the induction training. This is because induction training cannot be given by anyone, but by the right instructor/trainer only. Possession of the required skills, knowledge and attitudes are required to be prerequisites of a right instructor. Therefore, the induction programme needs to be conducted by the right trainer only.
- **Evaluating the induction programme**: like all other training programmmes, whether or not an induction programme is effective is determined by evaluating the programme.this is necessary to know to decide whether to continue the programme in the future also or not whether the programme needs an improvement in the future.

Socialization
Some people consider and socialization as synonymous .However, two are different from each other .In fact, induction is only a part socialization .Induction is confined to the new recruits only, whereas socialization covers transfer and promotion as well.

Concept of socialization
In simple words, socialization is the processes of adaptation .Different thinkers have defined socialization differently. For example, Feldoman has defined socialization as «acquisition of work skills and abilities, adoption of appropriate role behaviors and adjustment to the norms and values of the work group».
In the opinion of Maanen and Schein,« socialization can be conceptualized as a process made up of three stages: Pre-arrival , encounter and metamorphosis»
Thus, socialization can be defined as a process of adaption that takes place as individuals attempts to learn the values and norms work roles.

Phases of socialization process
The socialization process involves the following three phases:
1. Pre-arrival
2. Encounter
3. Metamorphosis

It is interesting to note that these phases show striking similarity with phases of behavioral modification theory propounded by Kurt Lewin, i.e unfreezing changing and refreezing.

A brief description of the phases of socialization follows:

Pre-arrival : the pre-arrival phase explicitly recognizes that all the new recruits arrive the organization with a set of values, attitudes, expectations and learning .In other words , pre-arrival refers to all the learning that occurs before a new member joins the organization .For example , an MBA graduate knows from the professors what business is like, what to expect in a business career and acquire the kind of attitudes that will help fit in the organization .He also comes to know about the organization and the job during the selection process .based on these pre-arrival knowledge , the individual forms some expectations of organization.
Encounter :upon entry into organization , the new member enters the encounter stage .The role playing start here .The member starts comparing expectations the image of the organization which he had formed during pre-arrival phase with reality .If expectations and reality concur the encounter is smooth .But seldom it concurs. When the two differ, stress and frustration set in what follows hereafter is a mental process of adjustment .In the process of adjustment, the individual tries to place his/her own values and norms with those of the organization .At the other extreme, the member simply cannot reconcile to those values and norms of the organization and gets disillusioned quit the job .

Metamorphosis: In this stage, the member master the skills required to adjust with the organization's norms and values .This is a stage going through changes. Hence , this is called metamorphosis stage .This is, of course , a voluntary process and a conscious decision which enables the new member to become compatible with the organization .This signals the completion of socialization.

4.2.3.4. The methods of selection
If the success of an organization depends on its strategy, it also depends on the people who implement, hence the need to know how to choose a maximum of objectivity, security and discretion. The main methods for selection are:

- ✓ Psychometric tests (intelligence, skills, knowledge and performance), personality tests and tests of simulation exercise
- ✓ Interview
- ✓ Assessment centers
- ✓ Traditional methods

Tests. *A test is a tool that allows a qualitative or quantitative description and controllable behavior of an individual placed in a given situation, from the behavior of other individuals in a group placed in the same situation.*

The basis for the use of tests in employment status is based on two key assumptions. The first considers that in a given society, all human capacity is distributed unevenly and using an instrument (discriminatory instrument) we can measure this ability. Some people will sit in the bottom of the bell curve, the other in the middle and others at the top. The classifications helps keep the candidates agree.

The second hypothesis considers that it is possible to construct a battery of tests to measure skills and abilities required to perform the job sought.

4.2.3. 5. Recruitment and Selection

Both ***recruitment and selection*** are the two phases of the employment process. The differences between the two are:

Recruitment	**Selection**
The recruitment is the process of searching the candidates for employment and stimulating them to apply for jobs in the organization	Selection involves the series of steps by which the candidates are screened for choosing the most suitable persons for vacant posts.
The basic purpose of recruitments is to create a talent pool of candidates to enable the selection of best candidates for the organization, by attracting more and more employees to apply in the organization	The basic purpose of selection process is to choose the right candidate to fill the various positions in the organization.
Recruitment is a positive process i.e. encouraging more and more employees to apply	Selection is a negative process as it involves rejection of the unsuitable candidates.
Recruitment is concerned with tapping the sources of human resources	Selection is concerned with selecting the most suitable candidate through various interviews and tests.
There is no contract of recruitment established in recruitment	Selection results in a contract of service between the employer and the selected employee.

2.5. TRAINING AND DEVELOPMENT

2.5.1. Introduction

Training and Development is a subsystem of an organization. It ensures that randomness is reduced and learning or behavioral change takes place in structured format.

Rapid technological change makes today knowledge increasingly ephemeral, and to keep the ability to use lifelong learning becomes essential. The competition rules require constant creativity, which causes irreversible entire training system. The qualification has become ephemeral and lifelong learning increasingly mandatory.

The company is the main generator of technological change. When she hires a young graduate, it should automatically take into account the progress of his learning. This inevitably raises certain problems of HRM:

- ✓ Adapting practice to designated function;
- ✓ Adapting to the changing technological function;

- ✓ Adaptation to the social, legal and other changes.

Factor adjustment and adaptation, training is also a factor of social control as it can be a key to reconciliation between the social and economic factors, in so far as it contributes to providing employees professional satisfaction and improve the economic performance of the organization.

Today, the system is productive creativity, innovation and responsiveness. He needs skill levels and greater cooperation among teams.

Also today, the concept of graduation and the diploma are outdated. This first special, no longer meets the requirements of the company. Baseline studies are references that can pursue continuing education at a given level. ***The company has therefore not the role of judging qualifications, <u>but exclusively the competence of candidates.</u>***

Training and development have come to prominence because organizations have needed to improve their productivity and international competitiveness. A well trained, multiskilled work force is essential to any organization's economic survival.

If any organization is to maintain its standard of living and to be competitive in the global marketplace, organizations need to rethink their approach to employee training and development.

According to some experts, Asian countries are moving fast because of their Confucian belief in the educated man, the self-advancing man, produces a highly skilled workforce. Hitachi's management developing efforts are based on the corporate belief that the most important responsibility of a manager is to educate and develop his or her subordinates. Similarly, leading US companies recognize that training and development can be powerful tool for generating change and creating a competitive advantage. A recent survey by the American management association shows a strong correlation between profit growth and productivity improvements and increased expenditures on training and development.

2.5.2. Training and development

Training and development are both concerned with charging employee behavior and job performance. Training emphasizes immediate improvements in job performance via the procurement of specific skills. Development, on the other hand aims to prepare the employee for future job responsibilities through the acquisitions of new experience, knowledge, skills and attitudes. Training emphasizes the improvement of present job performance, but the benefits may extend throughout an employee's entire career and help, prepare him or her for future promotions. The reality is that the distinction between training (now) and development (future) is often blurred and primarily one of intent.

Principal objective: The principal objective of training and development division is to make sure the availability of a skilled and willing workforce to an organization. In addition to that, there are four other objectives: Individual, Organizational, Functional, and Societal.

- **Individual Objectives** – help employees in achieving their personal goals, which in turn, enhance the individual contribution to an organization.
- **Organizational Objectives –** assist the organization with its primary objective by bringing individual effectiveness.
- **Functional Objectives –** maintain the department's contribution at a level suitable to the organization's needs.

- **Societal Objectives** – ensure that an organization is ethically and socially responsible to the needs and challenges of the society.

2.5.3. Training

2.5.3.1. The need for training

Training and development are important activities in all organizations. Newly hired employees need to be trained to perform their jobs. Existing employees need to acquire new skills and knowledge. Changes, particularly in technology and organizational restructuring, mean that people and organizations are continually faced with situations that require new learning. Workers who lose their jobs in the clothing industry because it lacks international competitiveness will require English and other skills training to be employable elsewhere.

- ***Business and economic changes.*** Deregulation, international competition, elimination of tariffs, global out-sourcing and restructuring are just a few of the dislocating factors affecting organizations today.
- ***Technological change.*** The rate of technological change is now greater than it has ever been. No employee or organization can escape its impact.
- ***Organizational change.*** Organizational change also creates training needs. McLagen's research identified six major areas of organizational change that will have an impact on training and development in the workplace.
    1. Pressures for work force productivity will intensify, with organizations and industries looking beyond obvious efficiency gains to more systemic and breakthrough ways of being low-cost producers of high-quality products and services.
    2. The pace of change will continue to accelerate.
    3. The organizations will continue to shift their focus to the customer and quality.
    4. The arena for organization's planning and action will be global.
    5. Business strategies will depend even more on the quality and versatility of HR. **Organizations that apply only money and technology to problems, without involving the people, will not survive**.
    6. Work structure and design will change dramatically, building on changes that have already begun.
- ***Social, legal and other changes.*** Finally, changes in social attitudes, legal requirements, and industrial relations and so on generate training needs. Occupational health and safety, enterprise bargaining, smoking in the workplace, substance abuse, sexual harassment, the management of diversity, for example, demand new skills, attitudes and knowledge on the part of employees and organizations.

2.5.3.2. Function of Training

The singular function of training is to produce change. It is the upgrading of a person's skill or the addition of a new skill, which in turn can bring about the desired change an agency, is seeking. It is important to understand that training in and of itself cannot motivate a work force. However, it is an integral part of what is needed to accomplish the long-term goals of the agency.

2.5.3.3. Value of Training

Often supervisors ask, "Why should I provide training to my staff?" There are many reasons agencies provide training to their employees:

1. To foster growth and development
2. To enable management to face the pressure of changing environment
3. To provide opportunities for employees to accept greater challenges
4. To aid employees in contributing to the achievement of department goals and the agency's mission and vision
5. To build employee self-confidence and commitment
6. To produce a measurable change in performance
7. To bring about the desired changes that can solve a variety of problems
8. To instruct the workers towards better job adjustment and reduces the rate of labour turnover and absenteeism.
9. To train employees make better economic use of materials and equipment resulting in reduction of wastage and spoilage
10. To mould the employees` attitudes and help them to achieve better co-operation within the organization
11. Trained workers enable the enterprise to face competition from rival organizations
12. Trained workers need lesser supervision

2.5.3.4. Benefits of Training

- **Benefits to organization**

A program of training becomes essential for the purpose of meeting the specific problems of a particular organization arising out of the introduction of new lines of production, changes in design, the demands of competition etc. the major benefits of training to an organization are:

1. **High productivity:** Training helps employees to increase their level of performance on their present assignment. Training increases the skills of an employee in the performance of a particular job. Increased performance and productivity, because of training are most evident on the part of new employees who are not yet fully aware of the most efficient and effective ways of performing their job. An increase in skill usually helps to increase both quantity and quality of output.
2. **Better organizational climate:** An endless chain of positive reactions result from a well planned training program. Increased morale, less supervisory pressures, improved product quality; increased financial incentives, internal promotions etc result in better organizational climate.
3. **Less supervision:** Training doesn't eliminate the need for supervision, but it reduces the need for constant supervision.
4. **Prevent manpower obsolescence**: Is prevented by training as it fosters the initiative and creativity of employees. An employee is able to adopt himself to technological changes.
5. **Economical operations:** Trained personnel will make economical use of materials and equipments. This will reduce wastage in materials and damage to machinery and equipments.
6. **Prevents industrial accidents:** Proper training can help to prevent industrial accidents.
7. **Improves quality:** Trained employees are less likely to make operational mistakes, there by increasing the quality of company's product.
8. **Greater loyalty:** A common objective of training programme will mould employees` attitudes to achieve support for organizational activities and to obtain better cooperation and greater loyalty. Thus, training helps in building an efficient and loyal work force.

9. **To fulfill organization's future personnel needs:** When the need arises, organizational vacancies can be staffed from internal sources, if an organization initiates and maintains an adequate training programme.
10. **Standardization of procedures:** Trained employees will work intelligently and make fewer mistakes when they possess the required know-how and have an understanding at their jobs.
11. **Improved customer care**: training improves customer service, which leads to customer satisfaction

- **Benefits to employees**

1. **Personal Growth:** Employees on a personal basis gain individually from training. They secure wider awareness, improved skill and enhanced personal.
2. **Development of new skills:** Training improves the performance of the employees and makes them more useful and productive. The skill developed through training serves as a valuable personal asset to the employee. It remains permanently with the employee.
3. **Higher earning capacity:** By imparting skills, training facilitates higher remuneration and other monitory benefits to the employee. Thus, training helps each employee to utilize and develop his full potential.
4. **Helps adjust with changing technology:** Old employees need refresher training to enable them to keep abreast of the changing methods, techniques and use of sophisticated tools and equipment.
5. **Increase safety:** Proper training can help prevent industrial accidents. Trained workers handle the machines safely. Thus, they are less prone to industrial accidents. A safe work environment also leads to more stable mental attitude on the part of the employees.
6. **Confidence:** Training creates a feeling of confidence in the minds of employees. It gives safety and security to them in the organization.
7. **Performance:** training gives employees the tools needed to analyze interpersonal and situational factors that create obstacles to achieving high performance

2.5.3.5. Types of training programmes.

Induction or orientation training: this is a process of introducing a new employee into the organization with a view to gaining his confidence and developing in him a sense of co-operation. It is a training Programme used to induct a new employee into the new social setting of his work. The new employee is introduced to his job situation and to his co-employees.
An induction programme should aim at achieving the following objectives;

a. To build up the new employee's confidence in the organization so that he may become an efficient employee.
b. To ensure that the new employee may not form false impressions regarding his place of work.
c. To promote a feel of belonging and loyalty
d. To give information to the new employee about canteen, leave rules and other facilities.
e. To create a good attitude, reduce labour turnover and makes the employee feel at home right from the beginning.

Job training: this technique aims at increasing the knowledge of workers about the job with which they are concerned, so that their efficiency and skills of performance are improved. In

job training, workers are enabled to learn correct methods of handling machines and equipment avoiding accidents, minimizing wastes etc.
The actual training follows a four-step process

a. Preparation of the trainee for instruction.
b. Presentation of the instructions in a clear manner.
c. Having the trainee try out the job to show that he has understood the instructions.
d. Encouraging questions and allowing the trainee to work alone and the trainer should follow up regularly

Promotional training: many concerns follow a policy of filling some of the vacancies at higher levels by promoting existing employees. This policy increases the morale of workers. When the existing employees are promoted to supervisor positions in the organization, they are required to shoulder new responsibilities. Therefore, this training has to be given.

Refresher training: after certain time, employees may forget some of the methods, which were taught to him, or they may have become outdated because of technological development and improved techniques of management and production. Hence, refresher training is arranged for existing employee in order to provide them with an opportunity to revive and also improve their knowledge.
According to Dale Yoder, "retraining (refresher training) programmes are designed to avoid personnel obsolescence". These trainings are essential because;

- Employees require training to bring them up-to-date with the knowledge and skills and relearn what they have forgotten.
- Rapid technological changes make even the most qualified workers obsolete in course of time.
- Refresher training becomes necessary because many new jobs are created that are to be manned by the existing employees.

Apprenticeship training: this is a good source of proving the required personnel for the industry. Under this method, both knowledge and skills in doing a job or series of related jobs are involved. The apprenticeship programmes combine on-the-job training and experience with classroom instructions in particular subjects. This kind of training is desirable in industries which require a constant flow of new employee expected to become all around craftsmen.

Internship training: internship training is usually meant for such vocational where advance theoretical knowledge is to be backed up practical experience on the job. Under this method, the professional institutes enter into arrangement with a bigger business enterprise for providing practical knowledge to its students. For example, engineering students are sent to industrial enterprises and medical students are sent to hospitals for practical knowledge.

2. 5. 4. Development

5.4.1. Management Development is a long-term educational process utilizing a systematic and organized procedure by which managerial personnel learn conceptual and theoretical knowledge. Development is a related process. It covers not only these actives improve job performance, but also those which bring about growth of the personality; help individuals in the progress towards maturity and actualization of their potential capacities so that they become not only good employees but also better human beings. In organization terms, it is intended to equip persons to earn promotion and hold greater responsibility. Training a person for a bigger and higher job development.
According to Harold Koontz and Cyril O'Donnell, "Developing a manager is a progressive process in the same sense that educating a person is. Neither development nor education should be thought of as something that can never be completed, for there are unknown limits to the degree one may be developed or educated. Manager development concerns the means by which a person cultivates those skills whose application will improve the efficiency and effectiveness with which the anticipated results of a particular organizational segment are achieved.

5.4.2. Objectives of management development

- To ensure a steady source of competent people at all levels to meet organizational needs at all times.
- To prevent managerial obsolescence by exposing the managers to new concepts and techniques in their respective fields of specialization.
- To prepare the present employees for higher assignments so that they may be promoted from within.
- To develop a second line of competent managers for future replacements.
- To promote a high morale and good organizational climate

5.4.3. Need of management development

In this age of "professionalisation of management", importance of executive development can not be minimized. Executive talent is the most important of an organization. According to Peter Drucker, "An institution that cannot produce its own managers will die. From an overall point of view the ability of an institution to produce managers is more important than its ability to produce goods efficiently and cheaply.
The need for executive development is felt because;

1. There is a shortage of trained managers. The organization has to develop the talented employees and maintain an inventory of executive skills to meet the future demands.
2. The performance of a company depends upon the quality of its managers executive development, therefore, is of paramount importance to have effective and desired managerial talents to meet the organization's demand.
3. Obsolescence of managerial skills is another factor, which calls for continuous executive development. A manager must continuously update himself to successfully meet new challenges as they occur.

2.5.4. Methods of training and management development

Broadly, the training and development methods can be classified into the following two categories:

2.5.4.1. On-the-job methods.

There four categories or types of On-the-job Training methods and these are;

2.5.4.2. Coaching: On-the-job coaching is a procedure by which a superior teaches job knowledge and skills to a subordinate.
2.5.4.3. Job rotation: the trainee is periodically rotated from job to job so that he acquires a general background of different jobs.
2.5.4.4. Special projects: under this method, a trainee is assigned to a project that is closely related to the objectives of his department. The trainee will study the problem and make recommendations upon it.
2.5.4.5. Committee assignments; under this method, an adhoc committee is constituted and is assigned a subject to discuss and make recommendations. The committee will make a study of the problem and present its suggestions to the departmental head.

2.5.4.5. Off-the-job methods or lectures.
There are five types or forms of Off-the-job methods or lectures. These include;
2.5.4.1. Role playing: role playing techniques are used for human relations and leadership training. Under this situation a conflict situation is artificially constructed and 2 or more trainees are assigned different parts to play. Its purpose is to give trainees an opportunity to learn human relation skills through practice and to develop insight in to one's own behavior and its effect upon others.
2.5.4.2. Case study: under this method, the trainees may be given a problem to discuss which is more or less related to the principles already taught. This method gives the trainee an opportunity to apply his knowledge to the solution of realistic problems.
2.5.4.3. conference training: the trainee as a member can learn from others. The conference is ideally suited to learning about problems and issues and examining them from different angles.
2.5.4.4. Management games: this is a classroom exercise in which teams of students compete against each other to achieve common objectives. The game is designed to be a close representation of real life conditions.
2.5.4.5. Sensitive training or T Group training: it is an experience in interpersonal relationships which results in change in feeling and attitudes towards oneself and others.
2.5.4.6. Special courses: the executives may be required to attend special courses, which are formally organized by the enterprise with the help of experts from educational institutions.

2.5.5. Methods
2.5.5.1. Programmed Instruction (PI)
These devices systematically present information to the learner and elicit a response; they use reinforcement principles to promote appropriate responses. When PI was originally developed in the 1950s, it was thought to be useful only for basic subjects. Today the method is used for skills as diverse as air traffic control, blueprint reading, and the analysis of tax returns.
2.5.5.2. Computer-Assisted Instruction (CAI)
With CAI, students can learn at their own pace, as with PI. Because the student interacts with the computer, it is believed by many to be a more dynamic learning device. Educational alternatives can be quickly selected to suit the student's capabilities, and performance can be monitored continuously. As instruction proceeds, data are gathered for monitoring and improving performance.
2.5.5.3. Audiovisual Techniques
Both television and film extend the range of skills that can be taught and the way information may be presented. Many systems have electronic blackboards and slide projection equipment. The use of techniques that combine audiovisual systems such as closed circuit television and telephones has spawned a new term for this type of training, **teletraining.** The feature on

“Sesame Street " illustrates the design and evaluation of one of television's favorite children's program as a training device.

2.5.5.4. Simulations

Training simulations replicate the essential characteristics of the real world that are necessary to produce both learning and the transfer of new knowledge and skills to application settings. Both machine and other forms of simulators exist. Machine simulators often have substantial degrees of physical fidelity; that is, they represent the real world's operational equipment. The main purpose of simulation, however, is to produce psychological fidelity, that is, to reproduce in the training those processes that will be required on the job. We simulate for a number of reasons, including controlling the training environment, for safety, to introduce feedback and other learning principles, and to reduce cost.

2.5.5.5. **Business games**

They are the direct progeny of war games that have been used to train officers in combat techniques for hundreds of years. Almost all early business games were designed to teach basic business skills, but more recent games also include interpersonal skills. Monopoly might be considered the quintessential business game for young capitalists. It is probably the first place youngsters learned the words mortgage, taxes, and go to jail.

2.5.6. Difference between training and development

Training	**Development**
1. Training is concerned with the immediate improvement of the employee, i.e. the ways to make the employee more effective in his current role	1. Development is a process to make the employee efficient enough to handle critical situations in the future, i.e. how well he can equip himself for the future demands.
2. Training focuses on short term learning needs and short-term gains, is expected to reward the company immediately in terms of better productivity of employee.	2. Development focuses on developing long term strategic capabilities and on long-term accruals
3.Training focuses on technical, mechanical oriented operations and provided for technical person	3. Development Focuses on theoretical skills & conceptual ideas and is provided for managerial person
4.Training is concerned with specific job skills & behavior	4. Development is concerned with related enhancement of general knowledge & understanding of non-technical organization functions
5.Training is mostly for non-managers	5. Development is for Managers & Executives
6.Training is job-oriented process, job centered & is vocational in nature (focuses on current jobs)	6. Development is general in nature & strives to inculcate initiative, enterprise, creativity, dedication & loyalty amongst executives (career centered) and prepares for future jobs
7. Training is a process of imparting specific skills to an employee to grow.	7. Development is learning opportunities provided to an employee/individual.
9. Training means learning new things and refreshing old one.	9. Development means Implementing the learned session and Finding new ones.
10. Training is short time period, Training concerned with specific field	10. Development is long time period. Development concerned with all field.

2.6. PERFORMANCE APPRAISAL / THE PERFORMANCE EVALUATION

2.6.1. Introduction and definition.

The performance evaluation is a set of systematic procedures to judge the merits and qualifications of members of the organization. This definition focuses primarily on the qualifications and merits awarded to the individual in the organization. One could also say that performance assessment is the process by which we arrive at judgments about past performance and present and the future potential of a subordinate in terms of its environmental work.

This touches not only the actual performance of an individual, but also its potential performance. In practice, it sometimes happens that some aspects of performance potential are included in the evaluation of this performance. You can use a separate form that can account for the potential assessment and, where appropriate, the organizations do, particularly large ones. The aim is thus referred to possibly increase the responsibilities of an employee, or to grant him a promotion.
For our purposes, we will retain a definition of performance evaluation that departs from the notion of potential to approach the concept of results. It rests on the ability of an employee to perform his duties in accordance with certain expectations. We can thus define the performance evaluation: it is an activity of the HRM; is to make an overall assessment and focus on an employee for exercising his duties for a specified period in an organization, taking support of explicit criteria and standards.

A performance appraisal, employee appraisal, performance review, or (career) development discussion is a method by which the job performance of an employee is evaluated (generally in terms of quality, quantity, cost, and time) typically by the corresponding manager or supervisor. A performance appraisal is a part of guiding and managing career development. It is the process of obtaining, analyzing, and recording information about the relative worth of an employee to the organization. Performance appraisal is an analysis of an employee's recent successes and failures, personal strengths and weaknesses, and suitability for promotion or further training. It is also the judgment of an employee's performance in a job based on considerations other than productivity alone.

2.6.2. Formal systems of evaluation

The formal system of performance evaluation is defined as a series of activities planned, organized and controlled in order to observe, measure and improve the employee's contribution to organizational goals. Ideally, such a system should answer the following questions:

- ✓ Who assesses?
- ✓ When to evaluate?
- ✓ What criteria should we assess?
- ✓ What standards should we use?
- ✓ What is the role of the employee in the evaluation process?
- ✓ The results have to be communicated to the employee?
- ✓ If yes, how?
- ✓ Who should coordinate and monitor the system throughout the company?
- ✓ What are the specific objectives of the evaluation?
- ✓ What method and evaluation form should be used?

- ✓ What training should be given to the evaluators?

Informal systems of assessment are inadequate because they do not accurately and consistently to these matters.

2.6.3. Aims of performance appraisal

Generally, the aims of a performance appraisal are to:

- Give employees feedback on performance
- Identify employee training needs
- Document criteria used to allocate organizational rewards
- Form a basis for personnel decisions: salary increases, promotions, disciplinary actions, bonuses, etc.
- Provide the opportunity for organizational diagnosis and development
- Facilitate communication between employee and employer
- Validate selection techniques and human resource policies to meet Equal Employment Opportunity requirements.
- To improve performance through counseling, coaching and development.

2.6.4. Rater of employee performance

The evaluation of employee performance is done by the immediate supervisor in most organizations. However, performance appraisal can be done by anyone who:

- is familiar with the job's responsibilities and performance objectives
- has sufficient opportunity to observe the employee's job performance
- has the know-how to distinguish between behaviors which produce effective or ineffective job performance.

Consequently, immediate supervisors, peers, customers and employees themselves (individually or in combination) can all provide information on employee performance. In fact, the demand for greater objectivity, the increased use of teams and emphasis on customer service and quality has created interest in using multiple sources to generate performance evaluation data.

Supervisor evaluation

Overwhelmingly, performance appraisals are the responsibility of the immediately supervisor. This is because it is assumed that the supervisor best knows the job, the performance standards to be met and the actual performance of the individual employee. Recent research, for example, indicates that supervisory ratings have a higher inter-rater reliability than do peer ratings. Moreover, performance appraisals are powerful vehicle for supervisors to monitor and direct employee behavior and to reinforce their formal authority and control. Disadvantages of this approach include the subjectivity of the supervisor (particularly if there is a personality conflict or the supervisor perceives the employee as a threat), manipulation of ratings to justify pay increases or promotions, discrimination and supervisor incompetence. To check such problems, organizations usually subject the supervisor's evaluation to management review and/or provide a mechanism for employee appeal.

Peer evaluation

Organizations employing total quality management concepts and teams are increasingly using peer evaluations. This is because peer ratings:

- are often more accurate because team members usually know each other's performance better than does the supervisor

- mean that employees are subject to peer pressure, which is powerful motivator to improve performance
- increase team members' commitment and productivity
- involve several opinions, not just the supervisor's
- tend to yield more valid predictors of leadership performance than do immediate supervisor ratings
- show good reliability and validity
- are a valuable supplement to the immediate supervisor's ratings
- lead to a greater acceptance of performance appraisal. However, research indicates that effective peer appraisals require a high level of trust among team members, a non-competitive reward system and frequent opportunities for co-workers to observe each other's performance. This perhaps explains a trend evidenced in some companies to use appraisal systems which incorporate both individual and team evaluations.

Some organizations use self-appraisals as a supplement to supervisor and/or peer evaluations. This is particularly so in organizations that aim to promote a less authoritarian culture and to encourage employee participation and self-development. Research indicates that self-evaluation produces:

- more satisfying and constructive performance review discussions
- less defensiveness among employees regarding the appraisal process
- improved job performance through greater commitment to organizational goals.

Problems associated with self-evaluation include leniency, the employee's preference for being rated by the supervisor, lack of agreement between supervisor ratings and self-ratings, and bias when the ratings are beings used for salary and promotion purposes. Consequently, self-evaluations are probably best used for self-development and the identification of training needs. Finally, it is essential that employees receive proper training in self-evaluation and that both the supervisor and subordinate have good interpersonal skills.

Subordinate evaluation

Although upward performance appraisals are a seldom-used management tool, organizations using total quality management and seeking continuous improvement increasingly employ this technique to evaluate manager performance. The justification is that subordinates are in an excellent position to appraise a manager's leadership skills ongoing performance. Consequently, subordinate evaluations are seen as a powerful indicator of how well the organization's managers are managing others. A common example of this approach is found in universities with students evaluations of lecturer performance. Examples of questions include: 'My manager does not "shoot the messenger"'; 'My manager encourages people to learn from one another'.

The claimed benefits of upward appraisals are that they:

- generate unique information about the manager
- improve communication and worker satisfaction
- create an incentive for the manager to change
- enhance employee job satisfaction
- reduce power and status differences and makes the workplace more democratic
- identify competent managers with leadership skills
- improve managerial performance (especially of poorly performing managers)

Disadvantages of upward appraisals include the following:

- information may be limited to situations involving personal interaction with the employee
- pressure may result in the manager making popular rather than right decisions
- the authority and status of some managers may be undetermined, reducing their effectiveness
- employees may resist evaluating their manager because they fear reprisal or because they feel it is not part of their job
- some mangers may be unable to emotionally cope with negative feed-back

To implement an upward appraisal effectively, it is important to:

- guarantee anatomy to participants
- use the upward performance appraisal for development not evaluation
- not conduct it at the same time as the formal performance appraisal
- make known the results of the appraisal as soon as possible
- ensure that everyone clearly understands who will see the results and what will be done with the information
- provide support for h\the employee being appraised
- train all participants (a critical favor for success)
- have top management commitment
- get people involved and keep them informed
- use only raters who volunteer to participate
- focus only on the observable aspects of the job
- include both average and range information in results provided to the employee being appraised
- control for bias

2.6.4. Methods

A common approach to assessing performance is to use a numerical or scalar rating system whereby managers are asked to score an individual against a number of objectives/attributes. In some companies, employees receive assessments from their manager, peers, subordinates, and customers, while also performing a self assessment This is known as a *360-degree appraisal* and forms good communication patterns.

The most popular methods used in the performance appraisal process include the following:

2.6.4.1. Management by Objectives (MBO)

This is one of the best performance evaluation methods, where the managers and employees set a particular objective for employees and evaluate their performance periodically. After the goal is achieved, the employees are also rewarded according to the results. This performance appraisal method of Management by Objectives depends on accomplishing the goal rather than how it is accomplished.

2.6.4.2. 360 Degree Performance Appraisal

The definition of this performance evaluation method is that, it is a system or process where in the employees receive some performance feedback examples, which are anonymous and confidential from co-workers. This process is conducted by managers and subordinates who through the 360 degrees, measure certain factors about the employees. These are behavior and competence, skills such as listening, planning and goal-setting, teamwork, character, and leadership effectiveness.

The performance evaluation methods mentioned above are not all, but a few of the commonly used ones in any organization with employees. They are very useful for the employee-employer relationship and is a major part of every organization's human resources. With these methods, companies today are surely making attempts to create good working environment as well as brilliant performing employees.

2.6.4.3. Behavioral Observation Scales (BOS)

It is defined as the frequency rating of critical incidents which the employee has performed over a specific duration of time in the organization. It was developed because methods like graphic rating scales and behaviorally anchored rating scales (BARS) depend on vague judgments made by the supervisors about employees.

2.6.4.4. Behaviorally Anchored Rating Scales (BARS)

The BARS method is used to describe a rating of the employee's performance which focuses on the specific behavior as indicators of effective and ineffective performances. This method is usually a combination of two other methods like the rating scale and critical incident techniques of employee evaluation.

2.6.4.5. Critical Incident Method

In this method, the manager writes down the positive and negative behavioral performance of the employees. This is done throughout the performance period and the final report is submitted as the assessment of the desired employees. This method especially helps employees in performance management and improves their quality of work.

2.6.5. Conditions for a good evaluation /Pre-requisites for effective & successful performance appraisal

Besides a good evaluation form, although other factors are determinants of a good evaluation. ***Evaluators must have the willingness and ability to properly evaluate***.

In order to test effectively, the examiner requires not only a sound knowledge of the *characteristics of evaluation*, but also a firm understanding of the possible errors that can occur throughout the *evaluation process*. Errors in evaluation fall into several categories.

2.6.6.1. Personal bias error .Personal bias is indicated by the tendency of an examiner to rate candidates or a particular group of candidates the same. Examiners must conduct all flight tests in accordance with the standards expressed in the applicable flight test guide. An examiner must not allow personal prejudices to interfere with the objective evaluation of a candidate's performance.

2.6.6.2. Central tendency errors .Central tendency errors are indicated by a tendency to rate all or most candidates as *average*. The examiner really “feels” that the performance of most candidates is not as good as it should be and therefore underscores a candidate’s good performance. On the other hand, the examiner is reluctant to cope with the possible emotional response of a candidate or a recommending instructor. This results in padded or inflated assessments of poor performance. This error may also occur because an examiner does not want to put effort into making a decision. An average mark is easier to defend.

2.6.6.3. Generosity errors .Generosity errors are indicated by a tendency to rate all individuals at the *high end* of the scale and are probably the most common type of personal bias. This could be caused by an examiner's desire to be known as a nice person.

2.6.6.4. Severity errors .In this case, all or most candidates are graded at the *low end* of the marking scale. Examiners may feel that the published standards are too low and score the test against their own set of standards. This type of examiner feels that few people can fly as well as they can.

2.6.6.5. Halo effect .This occurs when an examiner's impression of a candidate is allowed to influence the assessment of performance. Halo error can result in rating an applicant too high or too low. One form of halo error is the error of leniency. Leniency has its source in an examiners likes, dislikes, opinions, prejudices, moods and political or community influence of people. For example, when testing a friend, acquaintance, or high profile individual, an examiner may give undeservedly high marks or, conversely the error of stereotype.

2.6.6.6. Stereotype .As with the error of leniency, the error of stereotype has its source in likes, dislikes, opinions, prejudices, etc. In this case, however, an examiner may allow personal opinion or prejudice to influence the assessment of the candidate and award undeservedly low marks or high marks.

2.6.6.7. Logical error .Logical error occurs when an examiner assumes that a high degree of ability in one area means a similar degree of competence in another. This is especially true if the two items being assessed are similar or related. A good mark on one or two items does not mean the candidate is also qualified on all items. The full test must be completed and marked.

2.6.6.8. Error of narrow criterion .This may occur when an examiner has a group of candidates to test. The examiner may, under this condition, rate each applicant against the **others within the group** instead of against the **published criteria**. If the group to be tested is above average, a candidate who is of average ability may be awarded an undeservedly low mark. If the group of candidates to be tested is below average, then a candidate who performs the best within this group may be awarded a higher assessment than actually deserved.

2.6.6.9. Error of delayed grading .This type of error occurs when there is a delay in the assessment of an item, resulting in a tendency to award average marks due to the lack of information and/or poor recall. The use of the top or bottom end of the marking scale would be avoided. By not making an assessment immediately after the event, examiners may award assessments based upon an overall impression of the flight test. This results in an erroneous assessment and a flight test report that is of little value to the training system.

2.6.6.1o. Standards error .All the errors we have discussed result in a standards error. However, if an examiner is not thoroughly familiar with established standards, as outlined in the applicable flight test guides, it is virtually impossible to conduct an evaluation to that standard.

2.6.6.11. Manipulating the evaluation. In some instances, managers control virtually every aspect of the appraisal process and are therefore in a position to manipulate the system. For example, a supervisor may want to give a pay raise to certain employee or the supervisor may just "like "one worker more than another. In order to justify this action, the supervisor may give the employee an undeserved high performance evaluation.

While these errors may appear obvious on paper, they may not be under flight-test conditions, especially as the judgment of the examiner may be obscured by a combination of two or

more. ***Examiners must, therefore, be aware of these errors to consciously prevent them from influencing the validity of the tests they conduct.***

CHAPTER III: MOBILIZING ACTIVITIES

We gather under the title seven activities: leadership, satisfaction and motivation, partnership, communication and culture at work, collective labor low, labor contracts and health and safety. In this chapter we develop only motivation.

3.1. MOTIVATION OF HUMAN RESOURCES

3.1.1. Definitions and generalities

Motivation is defined as a force that pushes the individual to satisfy his needs, desires, drives and determines behavior to reduce a state of tension and thus restore equilibrium.

Motivation is the key to performance improvement

There is an old saying you can take a horse to the water but you cannot force it to drink; it will drink only if it's thirsty - so with people. They will do what they want to do or otherwise motivated to do. Whether it is to excel on the workshop floor or in the 'ivory tower' they must be motivated or driven to it, either by themselves or through external stimulus.

Are they born with the self-motivation or drive? Yes and no. If no, they can be motivated, for motivation is a skill which can and must be learnt. This is essential for any business to survive and succeed.

Job performance =f (ability)(motivation)

Performance is considered to be a function of ability and motivation, thus:

Ability in turn depends on education, experience and training and its improvement is a slow and long process. On the other hand motivation can be improved quickly. There are many options and an uninitiated manager may not even know where to start.

As a guideline, there are broadly seven strategies for motivation:

- Positive reinforcement / high expectations
- Effective discipline and punishment
- Treating people fairly
- Satisfying employees needs
- Setting work related goals
- Restructuring jobs
- Base rewards on job performance

These are the basic strategies, though the mix in the final 'recipe' will vary from workplace situation to situation. Essentially, there is a gap between an individuals actual state and some desired state and the manager tries to reduce this gap.

Motivation is, in effect, a means to reduce and manipulate this gap. It is inducing others in a specific way towards goals specifically stated by the motivator. Naturally, these goals as also the motivation system must conform to the corporate policy of the organization. The motivational system must be tailored to the situation and to the organization.

When managers discuss motivation, they are concerned about:

- ✓ What impulse behavior;
- ✓ The direction in which the behavior;
- ✓ How to take this behavior.

3.1.2. Theories of motivation

From the very beginning when the human organizations were established, various thinks have tried to find out the answer to what motivates people to work. Different approaches applied by them have resulted in a number of theories concerning motivation. These all theories are broadly classified into three categories:

1. **Theories based on human needs** (theories by Maslow, Herberg and McClelland);
2. **Theories based on human nature (** theories by McGregor, Urwick and Argyris); and
3. **Theories based on expectancy of human beings** (theories by Vroom and Porter and Lawler).

We develop only the discovered by Mc Gregor.

Douglas McGregor/ Theory X and Theory Y

Douglas McGregor in his book, "The human bide of enterprise" published in 1960 has examined theories on behavior of individuals at work, and he has formulated two models which he calls Theory X and Theory Y.

Theory X assumptions

The average human being has an inherent dislike of work and will avoid it if he can.

- Because of their dislike for work, most people must be controlled and threatened before they will work hard enough.
- The average human prefers to be directed, dislikes responsibility, is unambiguous, and desires security above everything.
- These assumptions lie behind most organizational principles today, and give rise both to "tough" management with punishments and tight controls, and "soft" management which aims at harmony at work.
- Both these are "wrong" because man needs more than financial rewards at work, he also needs some deeper higher order motivation - the opportunity to fulfill himself.
- Theory X managers do not give their staff this opportunity so that the employees behave in the expected fashion.

Theory Y assumptions

- The expenditure of physical and mental effort in work is as natural as play or rest.
- Control and punishment are not the only ways to make people work, man will direct himself if he is committed to the aims of the organization.
- If a job is satisfying, then the result will be commitment to the organization.
- The average man learns, under proper conditions, not only to accept but to seek responsibility.
- Imagination, creativity, and ingenuity can be used to solve work problems by a large number of employees.
- Under the conditions of modern industrial life, the intellectual potentialities of the average man are only partially utilized.

Comments on theory X and theory Y assumptions

These assumptions are based on social science research which has been carried out, and demonstrate the potential which is present in man and which organizations should recognize in order to become more effective.McGregor sees these two theories as two quite separate attitudes. Theory Y is difficult to put into practice on the shop floor in large mass production operations, but it can be used initially in the managing of managers and professionals.

In "The Human Side of Enterprise" McGregor shows how Theory Y affects the management of promotions and salaries and the development of effective managers. McGregor also sees Theory Y as conducive to participative problem solving.

It is part of the manager's job to exercise authority, and there are cases in which this is the only method of achieving the desired results because subordinates do not agree that the ends are desirable.

However, in situations where it is possible to obtain commitment to objectives, it is better to explain the matter fully so that employees grasp the purpose of an action. They will then exert self-direction and control to do better work - quite possibly by better methods - than if they had simply been carrying out an order which the y did not fully understand.

The situation in which employees can be consulted is one where the individuals are emotionally mature, and positively motivated towards their work; where the work is sufficiently responsible to allow for flexibility and where the employee can see her or his own position in the management hierarchy. If these conditions are present, managers will find that the participative approach to

problem solving leads to much improved results compared with the alternative approach of handing out authoritarian orders.Once management becomes persuaded that it is under estimating the potential of its human resources, and accepts the knowledge given by social science researchers and displayed in Theory Y assumptions, then it can invest time, money and effort in developing improved applications of the theory.

3.1.3. Importance of motivation

The need for important of motivation can be imbued with multiplicity of justifications follows

- Organizations are run by people hence; managers cannot afford to avoid a concern with human behavior at work. This because the motivated employees are more productive and quality - conscious than apathetic ones.

- Motivation as a pervasive concept affects and is also affected by a host of factors in the organizational milieu. It enables manager to understand why people behave as they behave.
- Organizational effectiveness becomes, to some extent, the question of management's ability to motivate employees. Hence; an appreciation of motivation helps the managers how motivate their employees.
- Machines becomes necessary in case of complex technology .However, these remain inefficient vehicles of effects and efficient operations without man to operate them. Therefore, organization needs to have employees with required capability and willingness to use the advanced complex, technology to achieve the organizational goal.
- With the realization that organizations will run in more complex milieu in future an increasing attention has been given to develop employees as future resources (a tent bank) .This facilitates the managers to draw upon them as and when organizations grow and develop .

In sum and substance, the need for and significance of motivation for an organization can be put as follows.

«If we compare management with driving, while the organization is the vehicle, then motivation is the power or fuel that makes the vehicle moving ».

3.1.4. Motivation tools/ application

Motivation tools are instruments that prompt people to action. Hence, while using motivational tools, these should be adequate and capable enough to motivate employees to make their maximum efforts to accomplish the set goals. Various motivational tools used to motivate employees in business organizations are broadly classified into monetary and non – monetary tools or incentives. These are discussed in more details subsequently. Here, we will focus on why motivational tools need to be appropriate to active people to action.

Man is wanting animal, he works to satisfy his needs in potency order. Therefore, motivational tools need to be effective enough to satisfy human needs. As human needs vary between people and between different points of time in case of the same person, motivational tools are, therefore, bound to vary accordingly. For example, while increase in salary may satisfy one's physiological needs, recognition may satisfy the esteem needs.

When needs are not satisfied, people become frustrated. Yes there may be both environmental and personal factors resulting in one's frustration. Apathy, indifference, aggression, antagonism, physical violence, open conflict, etc… are the common response to frustration observed in organizations. These are detrimental to organizational efficiency. It true that reaction to frustration may vary from person to person, yet the behavior pattern of individuals is likely to be identical in identical situations. As such, it make easier for the motivator manager to apply the appropriate motivational tools. If the behavioral pattern of individuals is known to him. Thus, it can be concluded that motivational tools are expected to be need satisfying, and hence, need to be person –oriented. Better the motivational tools, greater would be its effect on the individual behavior this would, in turn, lead to motivate employees in business organizations

Incentives

The term incentive means an inducement which rouses or stimulates one to action in a desired direction. An incentive has a motivational power, a large number of incentives the modern organizations use to motivate their employees.

May broadly grouped into (i) financial incentives, and (ii) non- financial incentives. These are discussed one by one.
Financial incentives: money is an important motivator. Common uses of money as incentive are in the form of wages and salaries, bonus, retirement benefits, medical reimbursement, etc. management needs to increase these financial incentives making wages and salaries competitive between various organizations so as to attract and hold force.
Money plays a significant role in satisfying physiological and security social needs. As money is recognized as a basis of status, respect and power, it also helps satisfy the social needs of the people. It is important to mention that once physiological and security needs are satisfied, money ceases to be motivator. Money then becomes, what Herzberg termed, hygiene and maintenance factor.

The presence of hygiene factor, of course, prevents job dissatisfaction but do not provide on the job satisfaction to the employees in the organization. In such case, money cannot be considered as motivator. Then in order to motivate employees, according to Herzberg, it necessary to provide other incentives for the satisfaction of ego, status, and self actualization needs. However, these needs are experienced generally by employees working at higher levels in the organization people in higher positions getting high monetary rewards are not motivated by increase monetary rewards. Yes, they may be motivated by money only when increase is large enough to raise their standard of living and status in the society to which they belong to.

What follows from above discussion can be summed up as that money is not only the motivator and also it is not always a motivator. In order to satisfy different kinds of human needs, management needs to provide non- financial incentives such as job enlargement, participative management recognition, praise, etc. these also motivate employees at their works.

Non-financial incentive: as mentioned earlier, man is wanting animal. Once money satisfies his/her physiological and security needs, it ceases to be a motivating force. Then higher order needs for status and recognition and ego in the society emerge. The following non- financial incentives help management satisfy its employees' needs:

1. **Appreciation of Work Done**: Appreciation or praise for work done, be it at home, at school, university or at work place, serves as an effective non- financial incentive with great degree of caution because praising an incompetent employee may create a resentment among competent employees.
2. **Competition**: if there exists a healthy completion among the employees both at individual and group level, it will prompt them to exert more to achieve their personnel or group goals. Thus competition serves as non- financial incentive for employees to put in more efforts at their works.
3. **Group incentive**: sometimes, group incentive act as more effective than individual incentives to motivate employees. Particularly, the prestige or even existence of a group is at stake, the group members work with a team spirit. This results in high morale and, in turn, increase in it productivity
4. **Knowledge of the Results**: knowledge of the results of work done leads to employee satisfaction. An employee derives satisfaction when his or her has done just as an MBA student get satisfaction when his or her professor appreciates the seminar he or she present in the class

5. **Work participation in management**: inviting workers to participate in management gives worker's a physiological satisfaction that their voices s are also heard. This imbibes a sense of importance among the workers.
6. **Opportunities for growth**: man is not only a wanting animal but an ambitious creature also people always need to grow in their career. So if the employees are provided opportunities for grow and career advancement and chance to develop their personality, they feel much satisfied and become committed to the organization goals
7. **Suggestion system**: suggestion system is yet another non- financial incentive to be used to motivate employees. Following this, some organization make use of cash awards for giving useful suggestions. They sometimes publish the worker's name with his or her photograph in the company's magazine with a motive to encourage others workers to search for useful suggestions for the company thus , suggestion system acts as an incentive for the workers to be in search of something useful for the company.
8. **Job enrichment**: job enrichment simply means adding the contents to a job leading to increased responsibility, scope and challenge in its performance .particularly, the executives working at the higher levels often prefer to job enrichment because it make job more challenging. They derive higher satisfaction by performing more and more challenging job. Thus, job enrichment as an incentive motivates the executives to exert for accomplishment of their goals. Job enrichment is a by – product of job design which is discussed subsequently.

3.2. Job satisfaction

Whatever structure is adopted, an organization created to production of goods or services within which people hold different functions and perform various activities to achieve a common goal. The result depends generally favorable or unfavorable attitudes that people have toward their jobs. These attitudes involve the concept of job satisfaction. The complexity of this concept requires looking at the source the foundations of an operational definition of job satisfaction as the mental attitude of an individual towards aspects of its work, the needs of the individual whose achievement causes different psychological states in the workplace, the comparative relationship between the current work situation and the normative ideal location, etc..

In sum, job satisfaction is the result of a comparison between current and desired it, or because it is fair or because it is desirable for the individual and reasonable under the circumstances.

Satisfaction factors

Job satisfaction is one component of overall satisfaction towards life. The nature of the external environment at work influence the feelings of the individual to his work. Conversely, given that work is an important part of life satisfaction in it affects the overall satisfaction of the individual against his life. Therefore, satisfaction emerges from a complex set of circumstances as motivation. There are few easy trails that lead to the satisfaction or motivation. Besides, most authors agree that the manager does not encourage anyone, but rather created conditions for self-motivation.
The factors of job satisfaction generally refer to:

- ✓ The physical and material conditions of work;
- ✓ Psycho sociological conditions of work.

Chapter IV: BALANCING AND REBALANCING ACTIVITIES

4.1.INTRODUCTION

Balancing include activities under the balance of subjects that are often the subject of studies by scholars of controversy in the workplace and the starting point for reflection among all stakeholders on the labor market such as management of equity, job management, stress management and management of time

Under rebalancing activities, it brings the phenomena that require intervention both delicate and firm from the employer in order to restore the equilibrium disturbed by the behavior of employees, namely the one hand discipline work and other absenteeism, turnover and conflicts within the organization.

We present the salient points relating to discipline management.

4.2. DISCIPLINE MANAGEMENT

4.2.1. Meaning and features of Discipline

In simple words, the word discipline con notes orderly behavior by the member's employees. In other words discipline implies behaving in a desired manner. By that we mean that employees confirm to the rules and regulations framed by the organization for an. According to Richard D. Calhoon! "Discipline may be considered as a force that prompts individuals or groups to observe the rules, regulations and procedures which are deemed to be necessary for the effective functioning of organization"

The Advisory, Conciliation and Arbitration Service (ACAS) have produced a code of practice relating to disciplinary procedures which makes precisely this point:

Disciplinary procedures should not be viewed primarily as a mean of imposing sanctions (but) … as a way of helping and encouraging improvement amongst employees whose conduct or standard of work is unsatisfactory.

4.2.2. Characteristics of discipline

The main features or characteristics of discipline that flans above definitions are:

1. Discipline is self-controlled

It refers to one's efforts at self- control to confirm to organization rules, regulations and procedures which have been established to ensure the successful attainment of organization goals.

2. It is a negative approach

It means discipline encourages people to undertake some activities, on the one hand, and restrains them from undertaking others, on them from undertaking others, on the other.

3. It is a punitive approach

It means that discipline also rules and regulations framed by the organization are not object ignored by the members.

4.2.3. Objectives of discipline

The objectives of discipline are to:

1. Motivate an employee to comply with the company's performance standards; an employee receives discipline after failing to meet some obligation of job.

2. Maintain respect and trust between the supervisor and employee:

Discipline if not properly administered can create problems like low morale, resentment, and ill will between the supervisor and employee.

3. Improve the performance of the employee:

Discipline for poor task performance should not be applied while employees are on training or leaning the job.

4. Increase the morale and working efficiency of the employees.

Faster industrial peace. This is the very foundation of industrial democracy.

4.2.4. Types of disciplines

The need for disciplinary action is the felt every-where- be it at home, in the school, university or an organization whenever one breaks the rules.

- **positive discipline**

Is also called self-imposed discipline it involves creation of an atmosphere in the organization through rewards, appreciation, incent hue promotion, constructive support etc. to motive employees to work willing to accomplish the set goals.

According to William 2 Spiegel, Positive discipline does not replace reason but applies reason to the achievement of common objective. Positive discipline does not strict the individual but enables him to have a greater freedom in that he enjoys a greater degree of self-expression in string to achieve the grape objectives, which he identifies as his own.

- **Negative discipline**

It is also called enforced discipline. In case of negative discipline, employees are forced to obey orders and abide by rules and regulations that have been laid down; failing which punishment would be imposed on them.

Thus, the objective of using punitive or be receive discipline is to ensure that employees do not violate rules and regulations formed by the organization.

In other words, the purpose of negative discipline is to scare other employees and to ensure that they do indulge in undesirable behavior. It is worth mentioning here that negative discipline cannot eliminate the undesirable behavior of the employees but can merely suppress it.

Punishment is not pleasant. In causes resentment and hostility on the part of employees. That is this kind of discipline results in only the minimum standards of performance on the part of employees. This is precisely the reason why it is rarely used in the organization. Because punitive discipline leads to resentment, it needs to be exercised in a progressive, sequential and chronological. A progressive system of discipline generally contains five steps.

1.2.45. Causes of indiscipline or misconduct

In simple words indiscipline is what not discipline is. Indiscipline or misconduct is a transgression words of some established or define or misconduct is a transgression words of some established or define rules and employee discipline regulations which is prejudicial to the interests of the employee or which is likely to impair the reputation of the employer or create unrest among other employees. Indiscipline can be created by the employees which on the job, off the job, inside organization or outside organization. It is therefore, necessary for the management to determine what constitutes indiscipline based on the severity of the consequences flowing from indiscipline, they are divided into 3 categories there are:

1. Minor infractions

These refer to actions which do either no than or very little harm

2. Major infractions:

The acts witch damage moral such as cheating, lying, stealing irregular to carry out order fall under the category of major infractions.

3. Intolerable offenses:
These refer to acts of drastic and illegal nature example of some of these offensives lacts is threat to use weapons.

- Outside activities: these activities or infractions of the employee take place outside of their jobs. These are therefore also called off the- job activities. Examples such as activities include unauthorized strike, wage garnishing, outside criminal activities, working for a competing organization, bad mounting of own organization, questioning the value of own organization.

4.2.6. Guideline of disciplinary action
Disciplinary action especially punitive one produces pains and displeasures for the accused employees. Hence meticulous care is called for while taking disciplinary action. Over time, the behavioral scientists have developed some guidelines to indicate how discipline be administered in this section, we will briefly describe these guidelines.
1. Disciplinary action should be corrective rather than punitive. The objective of disciplinary action is not to deal out punishment but to correct an employee's undesirable behavior. Therefore disciplinary action must not be thought of punitive action.
2. Disciplinary action should be progressive. It is generally desirable for discipline to be progressive. So to say disciplinary action must follow a series of sequential actions or steps witch increasing severity of punishment in every next step. For example, progressive discipline should begin with an oral warning and proceed through or written warning suspension, loss of seniority.

4.2.7. Procedure of disciplinary action
Positive discipline is not just a simple act of supervision discussing performance problem with an employee. Rather, it is a procedure comprising a number of steps. Important steps in that procedure.

1. Location of responsibility: the question: in order to overcome the problem of where to place the responsibility for discipline, the supervisor should be entrusted with the responsibility to administer less severe forms of discipline, such as an oral warning or a written notice. For serious situations involving discharge or suspension, the supervisor should consult with HR representatives in order to administer such discipline.
2. Define performance expectations: a core ingredient in every discipline procedure is to clearly define the standards of behaviors that management expects from its employees. Employee standards of performance or behavior must be in conformity with the organizational objectives.
3. Communication of policy, procedures and rules: in order to maintain satisfactory levels of employee performance, the disciplinary policy, procedures and rules formulated by the organization need to be clearly communicated to the employees through employee handbooks/ manuals, orientation programmes, rules and regulations distributed in writing to employees or posted on bulletin boards.
4. Collection of performance data: before an employee is disciplined, it is of utmost importance to prove that some rure, regulation or standard is violated and, thus, unsatisfactory performance has taken place.
5. Framing charges and intimation: once the *prima fascie case* of employee's misconduct is established, the employer then issues a notice to employee stating charges lebelled against him. such notice is generally known as a "slow cause notice". in the notice each charge needs to be clearly notified. Also accused employee should be given an opportunity to explain hisor her position.

6. Consideration of explanation: on receipt of explanation from accused employee, the management may consider any one of the three types of options available to it:

- If the accused employee confesses the charge lebelled against him or her, the management can dispense any further enquiry and award punishment to the accused employee.
- In case that management is satisfied with the explanation given by the accused, the charges against him can be cancelled and quashed.
- If the management is not satisfied with the explanation given by the accused, the management can proceed to further probing of the matter so that the fact is established and an appropriate action can be taken.

7. Awarding punishment: once the unsatisfactory performance of the accused is well established, the management then awards punishment to the accused employee.
8. Follow up: the last step in the procedure of positive discipline is follow up. It means, once the punishment is awarded, it is necessary to keep vigil weather the punishment has any salutary effect on the behavior and performance of the accused employee or not. If not the corrective measures like corrective counseling should be introduced to improve the accuse' s behavior.

4.2.8. Disciplinary actions: penalties and punishments
Disciplinary positive discipline flow a typical sequence from mild to harsher. These vary from oral warning, written notice, suspension, demotion, pay cut and dismissal in that order. These six steps are topics for discussion in this section

Oral warning: the maddest from of discipline is the oral warning. This is usually awarded on minor offences like late coming, conservatism etc. which are committed for the first time.

Written notice: the second step in order of severity in progressive discipline is the written notice or warning. This is awarded for repeated minor offences or some major lapses.

Suspension: suspension also call lay off is the next logical step in progressive discipline and it is for serious offenses. It can be for a certain period ranging from one day to several weeks or months. During the suspension period, the employee is paid a reduced pay known as "subsistence allowance". Full pay can be given if the suspension is withdrawn.

However, suspension can have some implication for both the organization and the employee. For organization, suspension means loss of the employee for the lay off period. He' is particularly so it the suspended employee is a skilled one. From the employee's stand point suspension can result in a more negative frame of mind than before the lay off. Nonetheless, one reason why management considers suspensions employee is to give an awakening to the problem employee.
Demotion: for the seniors offences where suspension has not been effective and management wants to avoid dismissal, demotion is considered as an alternative punishment. It is noteworthy that in constant to the previous disciplinary actions demotion is not temporary but a constant one. It has serious implications employee morale and motivation.
Pay cut: another alternative, also rarely applied in practice when offences led to damage of property. A part of the loss is recovered from such pay cut of the employee.

Dismissal/discharge: dismissal is the ultimate disciplinary action taken against problem employee. This punishment is awarded only for the most serious offences involving integrality. Both dismissal and discharge lead to employee separation from the organization.

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UNIT 2 ORGANIZATIONAL BEHAVIOR (OB)

COURSE OUTLINE

CHAPTER 1. PRELIMINARIES.

CHAPTER II. INDIVIDUAL'S BEHAVIOR IN ORGANIZATION

2.1. INTRODUCTION

2.2. PERSONALITY

2.3. PERCEPTION

2.4. ATTITUDES

2.5. LEARNING

2.6. THE INDIVIDUAL AT WORK

2.7. MOTIVATION

CHAPTER III. GROUPS IN THE ORGANIZATION

CHAPTER IV. COMMUNICATION IN ORGANISATIONS

CHAPTER V. **ORGANIZATIONAL DYNAMICS**

5.1. ORGANIZATIONAL CHANGE

5.2. UNDERSTANDING STRESS

CHAPTER VI. LEADERSHIP

CHAPTERVII. MANAGING ORGANIZATIONAL CONFLICT

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CHAPTER 1. PRELIMINARIES.

1.1. COURSE OBJECTIVES

Upon completion of this course, students will be able to:

1. Know what is Organizational Behavior, why it is important to study it, understand and explain its challenges and opportunities;
2. Understand and analyze the individual processes at work, outline the importance of the individual's contribution to the organization and factors affecting behavior;
3. Value and explain the significance of personality, attitudes, perception, learning, and motivation;
   at work ;
4. Define group and differentiate different types of groups, analyze the growing popularity of using teams in organizations and identify the characteristics of effective teams;
5. Understand and explain the significance of communication, leadership and conflict in organizations;
6. Comprehend and analyze the organizational dynamics through organizational change and stress management;

1.2. CONCEPT OF ORGANIZATIONAL BEHAVIOR

People make use of the organization to fulfill their wants. It is seen that wants can be adequately satisfied in group efforts than as an individual. In the modern world, multitudes of people have association with organizations all over the world. They spend a major portion of their time in one or the other organization due to their professional commitments to satisfy their needs.

1.2.1. What is an organization?

We shall start with a question:
Which of these would you call an organization?

A high street bank. A sports team. A school. A theatre. A family. A manufacturing company. A shop. A Civil Service Department. A religion. A crowd.

Would you describe each of them as an "organization"? Are a family and a bank sufficiently similar for each to be called an organization?
Like many problems of definition, it is, perhaps, easier to say what is not an organization, rather than what is. However, one feature that probably excludes a family, or a crowd, from the definition is the need for an organization at the simplest level to be **organized**! Does a crowd have a sufficient level of organized relationships between the individuals of which it is made up to qualify as an organization? Probably not!

Towards a definition of organizations

These "things" that are, generally, called organizations seem to have a number of common characteristics at least, as far as many of the writers on the subject are concerned. For example,
Porter, Lawler and Hackman, identify the following:

- They are composed of individuals and groups;
- They exist in order to try to achieve certain goals;
- They involve specialization, and require rational co-ordination and control;
- They have some degree of permanence.

First of all, then, an organization is, essentially, a **social** entity. It involves two or more **people** but the actual number, and the way in which they are organized into groups, vary from one organization to another.
In the **second** place, it is generally agreed that organizations can be distinguished from other social groupings by virtue of the fact that they exist to achieve certain **goals**. This is, obviously, a matter of degree, for not all members may know or agree on what the goals are. The more explicit and specific the goals of a social grouping are, the more likely it is to be considered an organization.
The **third** characteristic of an organization is that it involves **specialization** and requires **co-ordination**. The activities of people are organized into specialized groupings. Labor is divided up in ways that are believed likely to facilitate the achievement of organizational goals. Yet, this splitting-up creates a need for mechanisms to co-ordinate and put back together the various specialized activities. Once again, we must remember that the degree of specialization and the ways of achieving co-ordination vary a great deal between different organizations. For example, a small organization, in terms of numbers of members, probably only has a limited degree of specialization and, thus, only requires relatively simple co-ordination, often provided by the owner alone. In large organizations, specialization and co-ordination are likely to be much more sophisticated.

A **fourth** point is that organizations have some degree of **permanence**, in the sense that they usually have more than a momentary existence or, even, an existence tied to the achievement of one objective. Occasionally, organizations are created (such as a pressure group to resist the building of an airport in a particular location) which have only limited objectives and, once these are achieved, the organization ceases to exist. On the other hand, some organizations which start out with similar limited objectives continue to exist after they have been achieved, as they develop new objectives.
We can, therefore, come to a general definition as follows:

"Organizations comprise two or more people engaged in a systematic and co-ordinated effort, persistently over a period of time, in pursuit of goals which convert resources into goods and/or services which are needed by consumers.

1.2.2. Behaviour

- Behavior is a way of action.
- It is a goal oriented action.
- Behavior is subject to Motives and Needs.
- People behave differently at different times.

From the functions of an organization and the behavior of personnel, we can arrive at a conclusion that OB studies human behavior in an organization.

1.2.3. Definition of OB

OB is a field of study that investigates the impact that individuals, groups and structure have on behavior within organizations, for the purpose of applying such knowledge toward improving an organization's effectiveness.
OB is a subject which aims at the study of behavioural pattern, attitude and performance of human beings in an organization. It is the human behaviour in an organization.

1.2.4. Importance to study OB

Following are the reasons to study organizational behavior:

Understanding the employees better: Organizational behavior studies help us understand why employees behave the way they do, and also thereby predict how they are going to behave in the future.

Understand the culture of an organization: Most societies in the developed world are becoming multicultural societies. In this context it is important to understand the diversity of societal culture and its bearings on the culture of an organization.

Understand how to develop good leaders: Organizational behavior patterns help in predicting who among the employees have the potential to become leaders. They also teach us how to mold these employees so that their leadership potential is utilized to its fullest.

Develop a good team: An organization is only as good as the weakest member of its team. It is essential that all members of the team work in coordination and are motivated to work together to achieve the best results. The teamwork theories of organizational behavior are an essential tool in the hands of any manager.

Higher productivity: All this leads us to the most important goal of achieving the highest productivity in realizing the visions and goals of any organization. If implemented well, the organizational behavior principles help in motivating all the members to do their best.

1.2.5. Important elements of OB

- **People:** OB mainly focuses on people who constitute the internal social system of the organization. They normally consist of individuals, small or large groups, which may be of formal or informal nature. People form the groups and nurture their development and structure. Groups have dynamic interactions leading to creativity at times conflicts in the organization. When we take a single individual in an organization, he his personality, attitude, perception, career, motivation and also stress and strains of day to day work environment. People are the creator of the organization and try to achieve its objective and goals. Modern organizations exist for the people and vice verca.
- **Structure:** It denotes the environment or the structure of relationship. In an organizational structure different personnel are assigned roles. At the same time, they definite relationship with others in the organization. In a structure, division of labour is a very important matter; duties and responsibilities are clearly demarcated. Every individual in an organization will have the same objective: To achieve the organizational goal. Structure defines the authority, duty, responsibility and accountability of each individual in an organization.
- **Technology:** This provides all the infrastructural facilities required to perform the work, which includes the physical and economical factors. This can attributes the efficacy of individual performance. At the same time, the nature of the technology mostly depends on the nature of the organization and activities carried out in it.
- **External Social System:** Social system makes the external environment in which an organization activates. In an organization, we can feel two types of environments physical and psychological; Physical environment is the one in which an individual

performs his job. The psychological environment is the perception of an individual, which mainly depends on his subjective analysis. This means what it really makes him feel or what he means about it. In an external environment there are a large number of organizations coming in contact with each other which can influence the people in their behaviour in many ways, viz., competition, conflict and also work ethos, etc.

1.2.6. Contributing disciplines to the OB field

OB is an applied behavioral science that is built upon contribution from a number of behavioral disciplines. The predominant areas are:

- **Psychology.** The science that seeks to measure, explain, sometimes change the behavior of humans and other animals.
- **Sociology**. The study of people in relation to their social environment or culture.
- **Social psychology.** An area of psychology and sociology and that focuses on the influence of people on one another.
- **Anthropology.** The study of societies to learn about human beings and their activities.

1.2.7. Challenges and opportunities for OB

- Responding to globalization. The world has become a global village. Cope with new laws, languages, practices, competitors,etc
- Managing workplace diversity.(different culture, religions, language, age, gender).
- Improving customer service.
- Improving people skills.
- Stimulating innovation and change. (technology transformation)
- Coping with 'temporariness".
- Working in networked organizations.
- Helping employees balance work-life conflict.
- Creating positive work environment.
- Improving ethical behavior.(what is desirable behavior)

CHAPTER II. INDIVIDUAL'S BEHAVIOR IN ORGANIZATION

Understanding the nature, determinants and consequences of individual differences is essential for managing organizational behavior. An appreciation of the nature of individual differences is necessary to understand why people behave in certain ways in an organization. Let us first examine the foundations of individual behavior: **Personal factors** (age, sex, Education, abilities, marital status, creativity, emotional intelligence); **Psychological factors** (personality, perception, attitudes, values, learning); **Organizational systems and resources** (physical facilities, organizational structure and design, leadership, reward system, work related behavior); **Environmental factors** (Economic, social norms and cultural values, ethics and social responsibility, political).

2.1. PERSONALITY

2.1.1. Definition of personality

"It refers to the relatively stable pattern of behaviors and consistent internal states that explain a person's behavioral tendencies"

Personality: "The relatively stable set of psychological attributes that distinguish one person from another". It refers to individual differences in characteristic patterns of thinking, feeling and behaving. Personality is the whole aspect of an individual from general point of view. It includes a person's physical, psychological and emotional aspects.

2.1.2. Nature of personality

The following elements should form the meaning of personality:

1. Personality has both internal and external elements: the external traits are the observable behaviors that we notice in an individual's personality, for example, sociability. The internal elements represent the thoughts, values and genetic characteristics that we infer from the observable behavior.
2. An individual's personality is relatively stable. If it changes at all, it is only after a long time or as the result of traumatic events.
3. An individual's personality is both inherited as well as shaped by the environment. Our personality is partly inherited genetically from our parents. However, these genetic personality characteristics are altered somewhat by life experiences.
4. Each individual is unique in behavior. There are striking differences among individuals.

Thus, personality refers to the sum total of internal and external traits of an individual, which are relatively stable and which make the individual different from others.

2.1.3. Individual personality determinants.

What determines the personality? Is it heredity (genetic) or shaped by the environment (cultural, social and circumstantial factors)?

The answer doesn't exist to this question because too numerous variables enter in consideration in the development of the individual personality. However, for convenience of study the determinants of personality can be grouped into the five broad categories: Heredity, environment, family, social and situational.

1. Heredity. Factors determined at conception, one's biological, physiological and inherent psychological makeup. Eg physical structure, sex, muscle composition, reflexes, energy level, intelligence.

Number of people is convinced deeply that some foundations of personality are a matter for genetic heritage. However, one cannot finish to debate ardently about to knowing whether genetic factors have something to do with the personality. The controversy on the innate and the environment in the personality's theory applies to this precise.

The holding most radical of the innate sustains that personality is largely hereditary. Conversely, the most convinced lawyers of the environment maintain that the personality's features are rather determined by the experiences level of a person.

2. Environment. The environment is bound to social, cultural and circumstantial factors. The norms and the cultural values influence considerably the development of the personality of an individual as well as on their behaviors.

Various circumstantial factors encourage or inhibit the expression of some of the human personalities.

In the debate between the innate and the environment, we can summarize the present thought as follows:

- The measure in which personality is determined by the genes or the environment varies a lot from a trait to another;
- To understand the personality's formation, we must study the interaction of the heredity and environment because each of these factors plays its role there;
- The heredity gives the limitations in which some features of personality can develop and the environment determines their development inside these limits.

3. Family: The family has considerable influence on personality development particularly in the early stages. The parents play an important role in the identification process which is important to an individual's early development. Usually the parents of the same sex as the child will serve as the model for the child's identification. The overall home environment created by the parents, in addition to their direct influence, is critical to personality development. Eg. Children reared in cold, unstimulating homes are much more likely to be socially and emotionally maladjusted than children raised by parents in warm, loving and stimulating environment.

4. Socialization process: There is a great realization that other relevant persons, groups, and organizations exercise their due role in personality. Socialization starts with the initial contact between a mother and her infant. After infancy, other members of the immediate family (father, brothers, sisters, and close relatives or friends), followed by the social groups (pees, school, friends and members of the working group0 play influential roles.

5. Situational consideration: Heredity, family, siblings, and environment are no doubt important to personality development, but it must be recognized that is the immediate situation which may predominate finally. An example is the worker whose developmental history has shaped a personality which incorporates a high need for power and achievement. When placed in a highly bureaucratized work situation, this individual may become frustrated and behave apathetically and/or aggressively. Thus, on the surface, this worker appears to be lazy and/or a trouble maker, yet developmental history would predict that the individual is a very hard worker, striving to get ahead.

2.1.4. Stages in personality development

From the time of birth, the process of development begins. During infancy a child reacts to impulses and satisfies every need as and when it arises. In the initial stages, the child's needs are biological and they increase as the child grows the process of satisfying the needs is largely associated with other individuals because the child is dependent for all purposes on the parents and members of the family. The influence of environment and variety of response lead to the formation of various types of habits, knowledge, skills, interest and attitudes, when the child comes into contact with the external world. The traits acquired by him/ her become the base of personality development.

Stages of personality formation

Personality formation can mainly be divided into four stages as given below:

- ✓ **Primary attachment:** It is a natural phenomenon that a child gets attached to a person(s) taking adequate care of the child. During this period, a child is relatively passive and needs utmost care by those around.
- ✓ **Family role and identification:** This stage is between 2 and 6 years, during which the child understands the family interactions and some social normal, etc. he acquires sufficient knowledge to differentiate father and mother and it is the stage of life when child needs care affection and recognition coupled with response to growth of personality.
- ✓ **Entering of the child into the social world:** During this stage child starts adhering to the social norms by actively taking part in school life. He tries to be independent, as

the major part of the day is spent outside home. The child imitates and adopts the qualities from friends, teachers and others.

- ✓ **Adolescent stage:** The child's personality may show much flexibility. During this stage, certain traits are set aside and adoption of new traits takes place. This is the time when bodily and sexual developments do occur. Normal development of the personality occurs through the process of identification and displacement, when conflict appears, identification and displacement are a common phenomenon.

2.1.5. Theories of personality

2.1.5.1. Type theories

According to type theories, people are grouped into identifiable categories. One basis for classifying personality is the structure of the body. **Kretschmer** and **Sheldon** are credited with this classification. In type theories, a relationship was sought to be established between features of face or body and personality. Thus, a **short, plump person** (endomorph) was said to be sociable, relaxed and even tempered; a **tall, thin person** was characterized as restrained, self conscious, and fond of solitude; a **heavy set muscular individual** (mesomorph) was described a s noisy, callous and fond of physical activities. Classification of personality on physical basis is subjective.

Another basis to type personalities is psychological factors. One of Freud's pupils, the Swiss psychologist Carl Jung, divided all personalities into **Introverts** and **extroverts.** Extroverts are gregarious, sociable individual, more oriented towards other people, events and objects, while introverts are shy, quiet, and retiring, sensitive and concern for feelings and are more comfortable dealing with abstract things. These theories fail to reveal all complexity of personality.

2.1.5.2. Trait theory

A personality trait is understood as being an enduring attribute of a person that appears consistently in a variety of situations. A trait differentiates one from another in a relatively permanent or consistent way. Traits theorists assume that personality can be described by its position on a number of continuous dimensions or scales, each of which represents a trait. Thus, we could rate an individual on a scale of intelligence, emotional stability, aggressiveness, creativeness, or of a number of other dimensions. When we informally describe ourselves and others by such adjectives as friendly, cautious, excitable, intelligent, or anxious, we are using trait terms. Traits are reactions, not something one posses. One does not possess shyness, he feels and act shy under certain circumstances. There two ways of assessing personality trait: (i) the person describes himself by answering questions about his attitudes, feelings, and behavior; (ii) someone else evaluates the person's trait either from what he knows about the individual or from direct observation of behavior.

2.1.5.3. Psychoanalytic theory

Psychoanalytic theory owes its origin to Sigmund Freud.

He emphasized that the human personality is a structure composed of three elements Id'', Ego'' and Superego'' and this tripartite division of personality is known as the structural model of mental life. Freud insisted that these structures should be considered as hypothetical constructs, since the field of neuroanatomy was not sufficiently advanced to locate them within the central nervous system.

The **Id is** the Latin word for It' and represents all, which include inborn, inherited and instincts. Id controls all psychological activities. An individual's needs, desire and feelings are originated from Id only. Id is responsible to reduce the tension and uneasy state due to increase in energy. Reduction in tension brings pleasure. This process is known as the 'pleasure principle' of Id. The reflex action is a natural (automatic) process in human being. Reduction in tension is achieved by two ways: First, the individual acts involuntarily to

reduce tension through reflex action. Eg blinking of eye when any object approaches near to eye, etc, Secondly, Id has the capacity to 'create image 'that can reduce tension. Take the example of a hungry man. If he visualizes ''good food 'in his mind, it will considerably reduce his tension. The image creation of Id is known as fulfillment of wish.

The Ego: Fulfillment of wish is not an effective process to relieve tension due to needs. The picture of food or illusion cannot satisfy the hunger in an individual. Real food for that purpose is essential. At this point, the ego comes into action. The ego clears the understanding about the image of food created by the Id and actual food. The individual makes efforts to find out and then satisfies his hunger, so the part of ego is to withhold the tension till the suitable thing is made available to satisfy the need. Ego has full control over intellectual and other psychological faculties. It is called the executive of the personality because it makes decisions, controls actions and allows thinking.
The superego: It has the 'right and wrong' (do's and don'ts) estimated by the society and conceptualized by the individual. The conceptualization (idea formed in mind) of social discipline forms primarily through parents. The ideas of right and wrong are formed due to the pressure exerted by parents and others. The superego has two faculties: the conscience and the ego ideal. The conscience stands for the don'ts and the ego ideal for the do's. At the time of need both the conscience and the ego ideal emerge to act as 'internal parents of an individual.
The Id seeks pleasure, the ego test reality, and the superego strives for perfection. The three work as a team producing integrated behavior.

2.1.5.4. Social learning theory

Much of human behavior is either learnt or modified by learning. Through learning one acquires knowledge, language, attitudes, values, manual skills, fears, personality traits, and self-insight. There are two ways of learning: learning through reinforcement, direct experience, and learning by observing others also called vicarious learning.

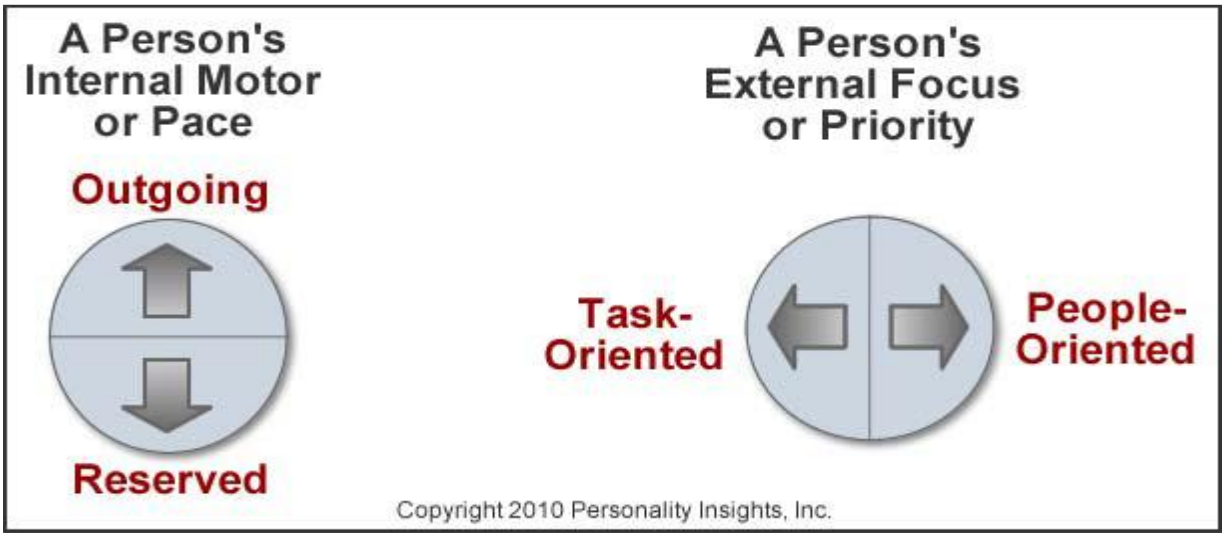
2.1.5.5. Humanistic theory/ Approach

Carl Rogers and Maslow are credited with the humanistic theory.
Rogers self theory: His approach to personality is described as phenomenological, the study of the individual's subjective experience, feelings, and private concepts as well as his views of the world and self. For Rogers, behavior is utterly dependent upon how one perceives the world, that is, behavior is the result of immediate events as they are actually perceived and interpreted by the individual. Basic to Roger's personality theory are two concepts: Self and self actualization.
Self consist of all ideas, perceptions, and values that characterize 'I or me'; it includes the awareness what I am' and what I can do' it is one's image of oneself.
Self actualization, according to Rogers, is the basic motivating force representing the inherent tendency of the organism to develop all its capabilities in ways which serve to maintain or enhance the person.
Maslows's Self-Actualization Theory: Maslow postulates man as a self actualiser. By self actualization, Maslow means the development of full individuality in harmony with all parts of the personality.

2.1.6. The model of Human behavior/ Personality types

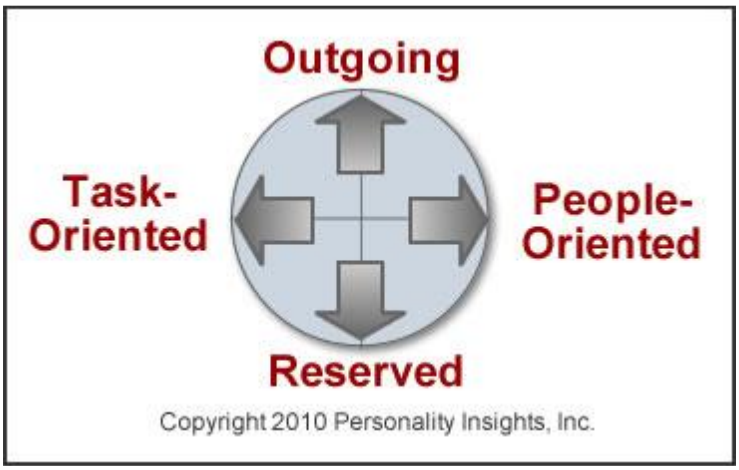
In 1928 Dr. William Marston wrote The Emotions of Normal People after earning his doctorate from Harvard University. Marston theorized that people are motivated by four intrinsic drives that direct behavioral patterns. He then used four descriptive characteristics represented by four letters to describe a person's behavioral tendencies. The letters he used

were D, I, S and C. Since that time, the "DISC" concept has been used and applied in many ways.
The model of human behavior is based on 2 foundational observations about how people normally behave:
Observation #1: Some people are more outgoing, while others are more reserved.
You can think of this as each person's "internal motor." Some people always seem ready to "go" and "dive in." They engage their motor quickly. Others tend to engage their motor more slowly or more cautiously.
Observation # 2: Some people are more task-oriented, while others are more people-oriented.
You can think of this as each person's compass that guides them. Some people are focused on getting something done; others are more tuned-in to the people around them and their feelings. With both observations, we want to emphasize that these behavioral tendencies are neither right or wrong or good or bad. They are just different. We are simply identifying normal behavior styles. People have different styles, and that is okay. We represent these 2 observations in the diagrams below.



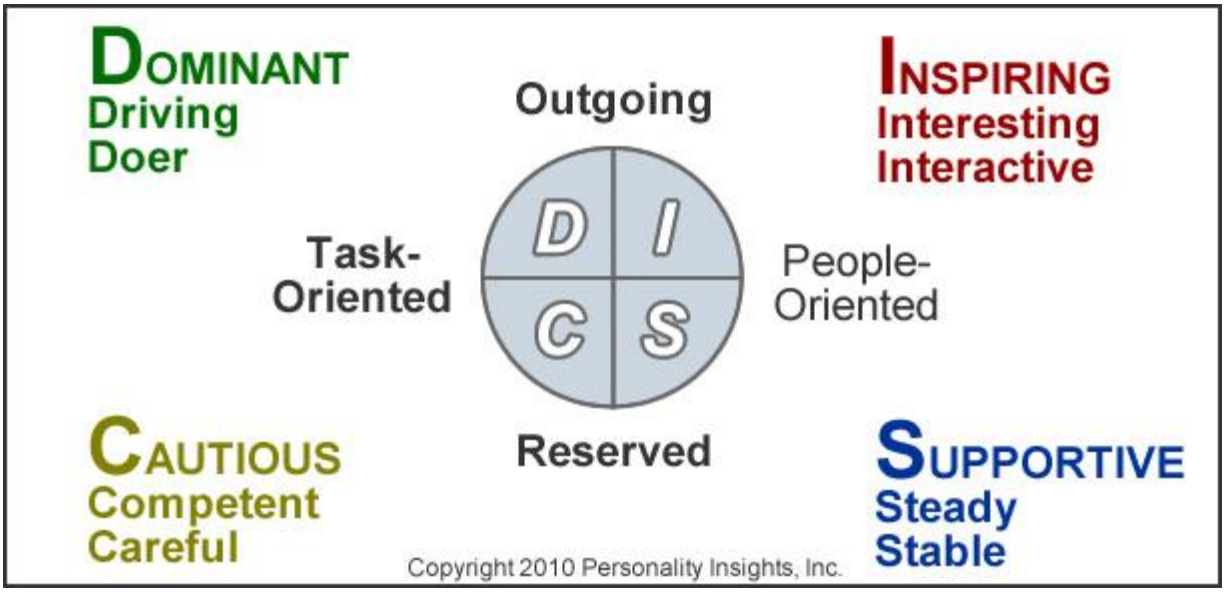
Thus, we have 4 behavioral tendencies to help us characterize people:
• Outgoing
• Reserved
• Task-oriented
• People-oriented
Everyone has some of all 4 of these tendencies at different times and in different situations. However, most people typically have 1 or 2 of these tendencies that seem to fit them well in their everyday behavior. And, on the other hand, 1 or 2 of these tendencies usually do not fit them well, and these tendencies may even seem "foreign" to their approach to life. The balance of these 4 tendencies shapes the way each person "sees" life and those around them.
By combining the 2 previous diagrams, we can show 4 basic quadrants of the circle as shown below:

HUMAN BEHAVIOR MODEL



Thus, 4 basic personality traits emerge from our diagram corresponding to the 4 quadrants of the
Circle:
• Outgoing and Task-oriented (upper left)
• Outgoing and People-oriented (upper right)
• Reserved and People-oriented (lower right)
• Reserved and Task-oriented (lower left)
Next, we will add descriptive terms for each of the four main personality types that emerge in the
diagram. The descriptive terms will begin with D, I, S and C.

Describing Each Personality Style
(4 Different Types - 4 Different Priorities)
As mentioned before, we will add the descriptive terms to the diagram. Notice the letters D, I, S and C appear in the 4 quadrants of the circle in the diagram below. You will also notice that descriptive terms have been added in each of the 4 corners of the diagram.



Now we can further describe each of the four main personality styles:
The Dominant "D" type - An outgoing, task-oriented individual will be focused on getting things done, accomplishing tasks, getting to the bottom line as quickly as possible and MAKING IT HAPPEN! (The key insight in developing a relationship with this type person is RESPECT and RESULTS.)
The Inspiring "I" type - An outgoing, people-oriented individual loves to interact, socialize and
have fun. This person is focused on what others may think of him or her. (The key insight in developing a relationship with this type person is ADMIRATION and RECOGNITION.)
The Supportive "S" type - A reserved, people-oriented individual will enjoy relationships, helping or supporting other people and working together as a team. (The key insight in developing a relationship with this person is FRIENDLINESS and SINCERE APPRECIATION.)
The Cautious "C" type - A reserved, task-oriented individual will seek value, consistency and
quality information. This person focuses on being correct and accurate. (The key insight in developing a relationship with this individual is TRUST and INTEGRITY.)
To summarize the DISC Model of Human Behavior (in clockwise order):

- **D** stands for the **DOMINANT** Type which is OUTGOING and TASK-ORIENTED.
- **I** stands for the **INSPIRING** Type which is OUTGOING and PEOPLE-ORIENTED.
- **S** stands for the **SUPPORTIVE** Type which is RESERVED and PEOPLE-ORIENTED.
- **C** stands for the **CAUTIOUS** Type which is RESERVED and TASK-ORIENTED.

2.3. PERCEPTION

2.3.1. What is perception?

A process by which individuals organize and interpret their sensory impressions in order to give meaning to their environment. Perception is a series of actions like identifying, grouping and analyzing the meaning of the object, events, happening or visual in the environment. It is the beginning of awareness and acknowledge.

2.3.2. The process of perception

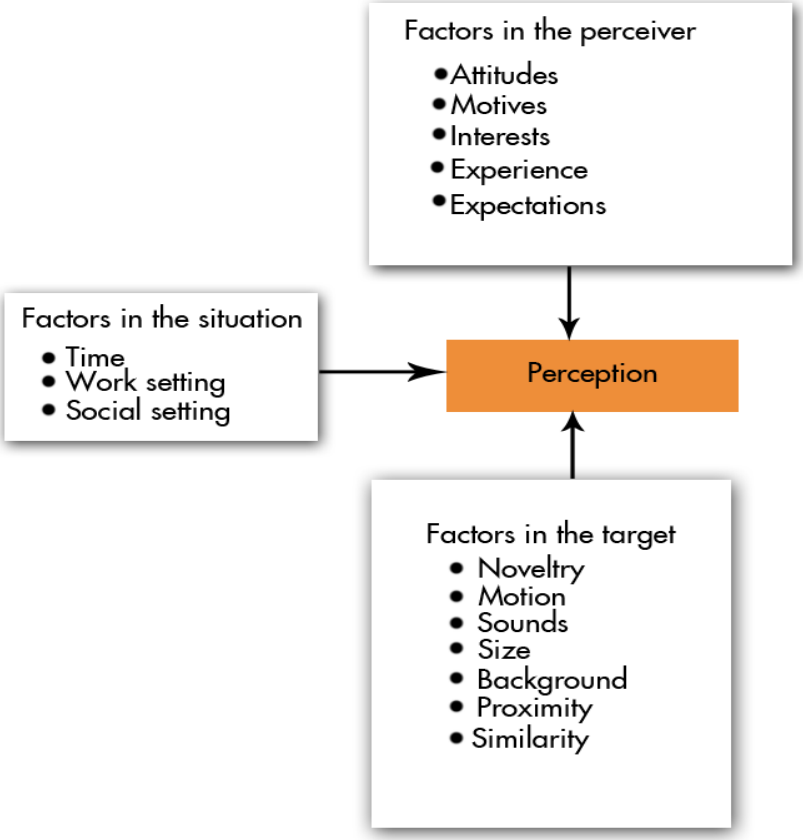
In the language of the systems approach, perception is a transformation process. **Sensations** (sight, touch, smell, feel, taste) are the inputs to the system; **perception** is the process that takes the inputs from the senses and turns, or transforms them, into outputs. These outputs are information, patterns and meaning, which may then become inputs to a further system that has action or behavior as its outputs.
Sensation (Received by sensory organs) → ***Information (Undergo psychological process in brain @ Central nervous system)*** ***Identification (perception selection/ Meaning)*** → ***Perception(Action).***

Sensation, or the way that stimuli are received and transmitted, is probably similar for different
people. This does not mean, though, that two people will “see” the same situation in the same way. In the first place, they may “sense” different stimuli, depending on their respective positions in relation to the events. In the second place, the way the stimuli are processed or perceived may differ.
So, two people witnessing the same event may extract different meanings from it, and may give

differing accounts of what happened. Consider how an accident at work may be viewed and reported on by people in different parts of the factory, or by those who belong to different authority levels.

2.3.3. Factors influencing perception

- Perceiver
- Target
- Situation



2.3.4. Role of perception in management

In management activities, perception plays a paramount role.

In decision making: following steps are observed: perception, conception, investigation, deliberation, selection and promulgation. Having perceived the problem, consciousness helps the decision maker arrive at a decision by selecting the right alternative.

Performance appraisal: Its purpose is to determine what aspect of performance of an individual needs to be evaluated. In this, the supervisor needs to have correct perception of his subordinates which is the most essential factor

Selection of employees and career planning: While selecting personnel for various jobs, the perception of the members of the selection board and the tests set for selecting the personnel must be thoroughly examined.

Well framed and competent work values: Management needs to have the perception that work can only be executed satisfactorily, provided worker's physical needs are met and financial ones motivated. If the perception of the management is in the right direction, it can create congenial working atmosphere with high work values and provide job satisfaction to the workers.

2.3.5. Errors of perception

- **Selective perception.**

The tendency to selectively interpret what one sees on the basis of one's interests, background, experience, and attitude.

- **Stereotyping.**

Stereotyping is the attribution of characteristics to an individual based on an assumption of the characteristics of a group which/she is perceived to belong.

Stereotyping: Judging on the basis of one's perception of the group to which that person belongs'.

- **Halo effect.**

The tendency to draw a general impression about an individual on the basis of a single characteristic. For example, in selection or appraisal interviews, the first impressions made by the candidates have been shown to be very powerful influences on the final assessments made by interviewers .

- **Locus of control**

Although, as you have seen, there are some general principles and factors that apply to perception, an individual's perception of an event is unique to that person. Partly, this is owing to the person's unique position relative to the event and, partly, it is owing to the uniqueness of an individual's personality, cognitive abilities and perceptual capacities. One feature of this that can be important for management is how people interpret the **causes** of events, especially those that directly concern them.

If a person's explanation of events is that they are based on good luck, chance, or someone else's

efforts, this suggests a way of viewing the event in terms of its being outside their own control. The location of its central cause is external. Rotter refers to this as an **external locus of control**.

On the other hand, if a person emphasizes their own skill or ability, then they believe that they have considerable control over events. This represents an **internal locus of control**. When we observe an individual's behavior, we attempt to determine whether it was internally or externally caused.

Other perceptual distortions: Perception and performance appraisal.

Sometimes individuals make similar judgments, even though job performance is varied. Some supervisors are overly *harsh* in appraisals, whereas others are overly *lenient*.

Bias makes it difficult to compare employees rated by different supervisors. Some of them:

- **Leniency.** The tendency to perceive the job performance of ratees as especially good.
- **Harshness.** The tendency to perceive the job performance of ratees as especially ineffective.
- **Central tendency.** The tendency to assign most ratees to middle-range job performance categories.
- **Similar-to-me effect.** People tend to perceive those who are similar to themselves more positively than those who are dissimilar.
- **Misperception.** Misperception is the cognitive process by which an individual selects and organizes, but misinterprets, environment stimuli.

2.4. ATTITUDES

2.4.1. Definitions

Attitudes are essentially, "feelings" towards people or things. How people feel, what they believe what they intend to do, and whether and how they do it may all be connected, and may all be related to the process of perception.

An attitude is a mental state of readiness, learned and organized through experiences, exerting a specific influence on a person's response to people, objects, and situations with which it is related.
"A persistent tendency to feel and behave in a particular way toward some object"

Attitudes normally bring out an individual's likes and dislikes. They are the outcome of some dispositions (natural tendency) or reaction to a particular action. If someone says, He likes his friend. This expression has attitude towards his friend.
Characteristics

- ✓ Attitudes are evaluative statements that are either favorable or unfavorable concerning objects, people, or events.
- ✓ Attitudes are not the same as values, but the two are interrelated.
- ✓ Attitudes have three components:
    - *Cognitive*. The beliefs, opinion, knowledge, or information held by the individual. The belief that "discrimination is wrong" is an example of the cognitive component of an attitude
    - *Affective:* The feelings, sentiments, moods and emotions about some idea, person, event or object. Example: "I don't like John because he discriminates against minorities". The affectivity of individual is composed by three elements: sentiment, emotion and passion. There is no natural difference between them but they differ on duration and intensity.

Affectivity	**Duration**	**Intensity**
Sentiment (jealousy, love, hatred…)	Long d	↗
Emotion (anger, fear, sadness, happiness, disgust, surprise)	Short d.	↗
Passion (obsession, avarice)	Long d.	↗

- *Behavior.* The behavior component of an attitude refers to an intention to behave in a certain way toward someone or something. Example: "I chose to avoid John because he discriminates."

2.4.3. Attitude formation

Attitude is learned. It is the result of social influence and is always formed and reformed. We learn many of our attitudes when we are very young. They are conditioned by those around us and the conditions or situations in which we find ourselves. Some particularly feelings are so strong that they stay with us and affect us for the rest of our lives.
The range of influences is complex, but it includes the following:

- The groups to which we belong most notably, in early life, the family, but also friendship group or peer group or membership, work groups, reference group (*Important group to which individuals belong or hope to belong and whose norms individuals are likely to conform).*
- Education;
- Life experiences, particularly the most profound personal ones such as bereavement, etc.,
- Mass communication: what we see, read and hear

We are aware, too, that our attitudes change over time as a result of the influence of the above factors.

For example, it is very often the case that young people have more liberal attitudes than older people, but as they enter work and acquire family and financial commitments and responsibilities, they tend to become more “conservative”.
Whilst, as we noted above, attitudes do not necessarily condition behavior, they are a significant determinant. Therefore, we need to know how attitudes may be changed.

2.4.4. Attitude change

Employee attitudes need to be changed, particularly when they are unfavorable.

But changing attitudes is a difficult task as attitudes generally endure. Difficult is reinforced because of:

- Escalation of commitment which refers to the prior commitment of people to a particular cause and their unwillingness to change.
- The second obstacle to attitude change is cognitive dissonance which is the idea that people experience a sense of guilt or uneasiness when two linked cognitions are inconsistent, such as when there are two conflicting attitudes about a topic, or inconsistencies between one's attitude and behavior on a certain topic. A simple example of cognitive dissonance resulting in attitude change would be when a heavy smoker learns that his sister died young from lung cancer due to heavy smoking as well, this individual experiences conflicting cognitions: the desire to smoke, and the knowledge that smoking could lead to death and a desire not to die. In order to reduce dissonance, this smoker could change his behavior (i.e. stop smoking), change his attitude about smoking (i.e. smoking is harmful), or retain his original attitude about smoking and modify his new cognition to be consistent with the first one "I also work out so smoking won't be harmful to me".
- The third obstacle results from insufficient information. Sometimes people see no reason why they would change their attitudes.

2.5. LEARNING

Learning is a process in which experience brings about permanent changes in behavior or attitudes. It is a process which leads to a change in behavior as a sequel to training and experience. It is said ‘A man is a student throughout his life.’ It is an unending process and extends from birth to death.
We tend to think of learning, at least in the context of organizations, in terms of formal training in relation to jobs and tasks. However, the processes involved are significant for a much broader range of behavioral changes and a much broader range of learning contexts. Every member of an
organization picks up cues from his work situations, from managerial styles and from the organizational climate, and uses them to learn about what is rewarded and punished, and what is
acceptable and unacceptable behavior. People’s behavior and attitudes are constantly being modified as a result of their experience in organizations and elsewhere.
The interest of psychologists in learning started in the latter part of the 19th and the early part of the 20th centuries with concentration on two **behaviorists’** models: classical and operant conditioning.

Both of these lay stress on the emergence of bonds between stimulus and response. On the other
hand, some later approaches have stressed the importance of thinking, insight, information, interest and motivation in learning. These are often referred to as **cognitive** theories of learning.
Part of the difference between the behaviorist and cognitive schools derives from the former's
concentration on animals as the objects of study, although not to the total exclusion of humans, and the latter's emphasis on human learning. We shall examine the central features of the behaviorist approach first.

2.5.1. Classical conditioning

The experiments of Pavlov are often cited as the classic example of classical conditioning. He investigated whether dogs could learn to associate two previously unconnected events or stimuli (a stimulus stimulates the senses, in this case, hearing and taste/smell). When presented with food, dogs instinctively (that is to say, without having to learn or be conditioned) salivate. The food is referred to as the unconditioned (or unlearnt) stimulus (US), and the salivation is the unconditioned response (UR). When a bell or buzzer is sounded, dogs would not be expected to salivate, although they might have another unconditioned response, such as barking or tail-wagging, perhaps. Pavlov, in his experiments, presented the food to dogs and, at the same time, sounded a bell. After a series of such pairings of food (US) and bell, the dogs apparently **learnt** to associate the two. So, the bell became a conditioned stimulus (CS), and the dogs would salivate when the bell alone was sounded, without any food being presented. The new stimulus-response bond persisted, although it was eventually extinguished if the pairing of bell and food was not repeated over a series of trials.
Subsequently, if after extinction, a new series of pairings was started, the learning time was much shorter, indicating that some residual trace must have remained, although it was not strong enough to produce the response to the bell alone.
Classical conditioning of this type does depend heavily on involuntary or instinctive responses to
physical stimuli, although it does show how previously learnt (conditioned) stimulus-response bonds could be associated with new stimuli. The approach does not explain more complex learning, such as the generalization of such bonds to form concepts, nor does it cope at all well with transfer of learning from one situation to another.
A possible detrimental effect of classical or Pavlovian conditioning is the association of certain managers or supervisors with a limited range of (negative) responses such as criticism or punishment without any hint of praise or congratulation. This may lead to their subordinates always responding to them as if they were being threatened. Partly as a consequent of the limitations of classical conditioning, psychologists began to focus on what has come to be called "operant conditioning".

2.5.2. Operant conditioning

Operant conditioning differs from classical conditioning mainly in its concentration on the consequences of behavior, particularly on whether the behavior is rewarded, unrewarded or punished.
Thorndike's **law of effect** states that rewarded or positively reinforced behavior is likely to be repeated, whereas punished or negatively reinforced behavior is less likely to be repeated.
Positive reinforcors, or rewards, are factors that reduce the strength of drives or felt needs, such as food reducing the hunger need. **Negative reinforcors**, or punishments, increase the drive or need to avoid pain and discomfort. In this approach, the process of learning is seen as

typically one of trial and error, or trial and success, with consequent reinforcement. So, a person who is praised by the supervisor each time he produces above the target rate may see this as a reward, and become a consistent high performer.

2.5.3. Cognitive learning

We consider here theories about the process by which people acquire and internalize new information, in interaction with their environments.

Gagne's chain of learning

R. M. Gagne characterized the learning process as a chain of events which have to occur no matter what kind of learning is taking place. The elements of the model are described below.

Link 1: Motivation

To learn effectively, you have to want to learn! This may sound very simplistic and obvious, but you will no doubt be able to think of examples when you have experienced real difficulty in maintaining interest. This may have been because you felt that you were being "forced" into a learning situation for which you were not ready, or it may have been for a number of other reasons.

Link 2: Perception

You need to be clear about what is to be learned to be able to identify the need (perhaps through recognition of a deficiency) and be able to see how that need may be satisfied.

Link 3: Acquisition

Having established a perception of what you need to learn, the next stage is setting about gaining the information necessary. This may be a conscious or unconscious process. Again we can relate this to the building up of concepts by reference to the familiar. Acquired information is best related to experience, in order to be able to make sense of what you are learning.

Link 4: Retention

You need to be able to retain and remember what you learn. This is a two-stage process. New learning goes first into the short term memory bank before being transferred in to the long term memory, where, hopefully, it will stay permanently! Of course, not all the detail needs to be committed to long term memory. Retention is closely related to the next link recall. After all, the purpose of retaining information is so that you can recall it and use it again. To facilitate this, it is important to organize information as you commit it to memory. Ordering and structuring information often by reference to existing knowledge or experience can be the key to this.

Link 5: Recall

Having retained learning, you then have to be able to retrieve it when appropriate. This may be recognition of a piece of information as familiar, but needing refreshment (the "that rings a bell!" situation). You may, of course have learned some things more thoroughly and are able to recall them in their entirety without the aid of any kind of prompt.

Link 6: Generalization

Learning in a vacuum is not really of any value. You have to be able to *transfer* the learning to other situations. You need to be able to apply the principles in a variety of situations as appropriate.

Link 7: Performance

To be sure that learning has been effective, you need to be able to put it into practice.

Link 8: Feedback

Having made all this effort to learn something new and to put it into practice, you need to be able to check out if you have in fact assimilated the learning effectively. You will get this in the form of feedback for example, from the reaction of those around you and a whole variety

of other ways. You need to learn to look for ways of getting feedback, so that you can consolidate and build on what you have learned.

2.6. THE INDIVIDUAL AT WORK

2.6.1. Organizational and personal goals

We have seen previously that every organization has a goal or goals which it is trying to achieve the reason for its existence. The activities of the organization will be directed towards the accomplishment of these goals.

However, individuals have their own personal goals which relate to their life **outside** work, as well as their position **within** the organization. **Outside work** one person may have a goal of improving his/her golf handicap, whilst another may be saving hard with the goal of buying something. Within the organization one person may have the goal of being promoted within two years; another may have a job-related goal of opening three new accounts each week for the next three months. Personal goals are associated with the individual's personality, attitudes and values.

Goal-setting theory, developed by **Locke,** proposes that people's behavior is directed towards goals which they have set themselves or which they have accepted from other people, and that these goals are reflections of their values and desires.

Features of personal goals, and their effect on performance, include the following:

- There is a relationship between setting **specific goals** and increased performance – for example, setting a specific production target will lead to better performance than just telling staff to "*do your best*".
- Setting **difficult goals** (up to a limit) increases effort and performance although when goals are seen to be too difficult or impossible to achieve, **goal acceptance** is low and effort and performance both suffer.
- A certain amount of **competition** will improve performance.
- Feedback of **results** seems to improve the performance effects of goal-setting, perhaps because feedback acts as a reminder of what the goals are.

From what we have said above, we can conclude that whether the organization achieves its goals depends on individuals carrying out activities directed towards goals which have been set by other people. So we must ask:

- ✓ How far are the goals of managers (personal goals) comparable with the goals of the organization, e.g. to earn high salaries, achieve status, etc?
- ✓ How far do individuals achieve their personal goals through achieving organizational goals?

Problems can arise from **differences** between personal and organizational goals. If we take the example of a commercial enterprise, the goal of the organization is to make a profit, but the employees have the goal of higher wages. The firm seeks efficiency, but the workers want job
satisfaction. The firm aims at innovation and change, but the employees may want stability and
security. If the organization is to thrive, these conflicting goals have to be reconciled. The organization will be more effective when personal and organizational goals are compatible. It is management's role to clarify organizational goals and aim to integrate personal goals with the overall objectives of the organization.

2.6.2. Individuals and roles

In all walks of life, people adopt roles and working in organizations is no different. Tasks are undertaken and work performed in accordance with the requirements of the role specified by the
Organization. Thus, the behavior of people at work can be understood in terms of the roles which they perform. The main roles which people undertake at work or at least those which they are employed.
However, work roles do not always progress smoothly. Problems can arise in the performance of both formal and informal roles. Role theory experts identify the following examples of role problems.

- ***Role incongruence***

When a person is perceived as of high responsibility in some aspects of a work role but of lower authority in other parts of the job, he or she suffers role incongruence. Examples may arise when a line manager with high authority over production has to accept the decision of a more junior staff manager, e.g. personnel or accounting decisions.

- ***Role ambiguity***

This refers to the situation when an individual is not clear or does not fully understand just what are the requirements of a given role, so that he or she does not know how to perform the role.
Another source of ambiguity is when organizational expectations are at variance with self expectations. Examples of ambiguity arise when communications are not effective, which is often the case in times of rapid change.

- ***Role overload***

This condition arises when an individual is called upon to perform too many roles and to meet too many expectations.

- ***Role underload***

This refers to situations where the role expectations of the organization fall short of those of the individual. For example, an individual may see his or her role as being more important than the
organization's view of the role.
When the elements of role conflict are present in a situation, the result may be high levels of stress, resulting in tension and ill-health for the person performing the roles.
The various elements of role conflict can be reduced and role consensus increased if organizations take account of the following points:

- Specify clear role expectations so that people know what is expected of them as they do their job.
- Select the right people to perform the roles, and try to match people to roles.
- Ensure that staff is properly trained for their roles.
- Have effective induction processes to introduce staff to new roles.
- Ensure effective communication between parts and levels of the organization.
- Strive for compatibility of management and leadership styles.
- Design organizational structures that minimize conflict between line and staff departments.
- Make sure that roles have their appropriate loads.

2.7. MOTIVATION

2.7.1. Introduction

The question for improving performance at work is one of the essences of management. Clearly there are many factors involved in this, having the right equipment, people with the right knowledge, skills and abilities, and the right kind of organizational framework. But even with all these in place, something else is needed: *the people must be willing to do the work*. Motivation coupled with ability leads to performance.

2.7.2. Definition

Motivation is a force that pushes the individual to satisfy his/her needs, desires, drives and determines behavior to reduce a state of tension and thus restore equilibrium.

Motivation can be defined as the act by which a need or desire is aroused. A inner urge encourages a man to execute a particular action. In simple terms motivation is the set of forces that cause people to behave in certain ways. Motivation is the key to performance improvement.

Job performance = f(ability)(motivation)

Motivation is so important because motivated employee looks for better ways to do a job, motivated employee is quality –oriented, highly productive, motivated employee remains in the organization, employees are the future resources of organizations, thus they should be developed through training to ensure a continual reservoir of well-trained and highly motivated people.

2.7.3. Motivation theories

- **D C McClelland Needs Theory**

D C McClelland developed needs theory along slightly different lines. He argued that there are three basic types of need:

Need for affiliation

By this he means human beings need meaningful relationships (very few people are true loners), and one of the places they will seek these relationships is in the work situation, so who you work with is very important.

Need for power

Some people are driven by a need to make a strong impression on people and events; they want to shape things in their work lives.

Need to achieve

To many people the sense of getting on, progressing or being promoted is very important. The interesting feature of McClelland's theory is that he associates the different types of needs with people at different levels of the organization:

- ✓ People **high up** in the organization tend to have a strong drive for power and a wish to make an impact on events. They have largely met their need for achievement. They cannot go for affiliation because people at the top cannot have close relationships with others in their organization. Top people have to make decisions which may be disliked by those below so they have to be distant from their subordinates.
- ✓ People **in the middle** of the organizational hierarchy are likely to have considerable achievement needs; they are often striving to get to the top. They have some need for power but, like the top people, the need for affiliation is played down because these middle managers are often competing with each

other for promotion and too many friendships could get in the way of this competition.

- ✓ People at the **lower levels** of the organization often have a strong drive for affiliation. At these levels work can sometimes be rather routine and may be undertaken in groups, so friendships and mutual understanding (e.g. the feeling of all being in the same boat facing similar problems) can help give satisfaction to work.

- **McGregor Theory X and Theory Y**

Douglas McGregor developed a typology of two opposed views about employee behavior, related to Maslow's categories of need, and considered their implications for management and motivation. The two views are known as Theory X and Theory Y.

Theory X

McGregor labeled the traditional, scientific management, view of people as Theory X, asserting that most managers still held this view despite the post-war dissemination of human relations ideas. The characteristics of this are:

- The average human being has an inherent dislike of work and will avoid it if possible, wishes to avoid responsibility, has relatively little ambition and wants security above all.
- Because of this, most people have to be coerced, controlled, directed and threatened with punishment to get them to put forth adequate effort towards the achievement of organizational objectives.

People basically are lazy, work when sticked, their interest in working is low, and their attitude towards people is distrusting.

Theory Y

If we accept Maslow's concept of their being higher needs which people seek to satisfy through
work, Theory X is clearly deficient. The more rounded view of people is encompassed in Theory Y, the characteristics being:

- The expenditure of physical and mental effort in work is as natural as play or rest, and the average human being learns, under the proper conditions, not only to accept but to seek responsibility.
- External control and the threat of punishment are not the only means for bringing about effort towards organizational objectives. People will exercise self-direction and self-control in the service of objectives to which they are committed, and commitment to objectives is a function of the rewards associated with their achievement. People need to achieve and be responsible, they work when trained and recognized, their interest in working is high and their attitude towards people is trusting.

Motivation and management based on Theory X is characterized by the carrot and stick approach of pay awards and other incentives, together with close supervision and control. This is the scientific management approach, an imposed system of controls designed to motivate recalcitrant workers.

On the other hand, motivation and management based on Theory Y seeks to produce an environment in which employees are not frustrated and can take an interest in their work and the overall objectives of the organization. This puts the emphasis on self-motivation and self direction.

The culmination of human relations and human behavior approaches is presented by McGregor as **participative management style**. Under this style of management, employees feel valued and are treated as individuals in the workplace. McGregor argues that if

employees do not feel valued some of them will spend more time and effort in attempting to defeat management's objectives than they would in achieving them.
Participative management style is directed towards encouraging workers to be self-motivated as far as possible in a given work situation; management tries to create a good atmosphere rather than merely depending on rules and regulations.

- **Theory Z: William Ouchi**

Ouchi agreed with the basic ideas put forward by McGregor's Theory Y and related these to certain of the ideas he detected in Japanese organizations.
Ouchi's theory argues that **participation** is a crucial motivator. Employees will be motivated to higher levels of performance if they are involved in meaningful participation in decision-making in their organization. Employees should participate in groups and enter into consultations with management to sort out problems and put forward ideas.
Ouchi took the idea of quality circles and developed it far beyond a concern for the quality of goods and services produced by the organization. He said that the circles should be a forum for employees' ideas and a way in which employees could really influence the running of the organization. He concluded that a participating employee would be a well-motivated employee.

- **Expectancy Theory of Vroom**

The expectancy theory was proposed by **Victor Vroom** of Yale School of Management in 1964. Vroom stresses and focuses on outcomes, and not on needs unlike Maslow and Herzberg. The theory states that the intensity of a tendency to perform in a particular manner is dependent on the intensity of an expectation that the performance will be followed by a definite outcome and on the appeal of the outcome to the individual. The **Expectancy theory** states that employee's motivation is an outcome of how much an individual wants a reward (Valence), the assessment that the likelihood that the effort will lead to expected performance (Expectancy) and the belief that the performance will lead to reward (Instrumentality). In short, **Valence** is the significance associated by an individual about the expected outcome. It is an expected and not the actual satisfaction that an employee expects to receive after achieving the goals.

Expectancy is the faith that better efforts will result in better performance. Expectancy is influenced by factors such as possession of appropriate skills for performing the job, availability of right resources, availability of crucial information and getting the required support for completing the job.
Instrumentality is the faith that if you perform well, then a valid outcome will be there. Instrumentality is affected by factors such as believe in the people who decide who receives what outcome, the simplicity of the process deciding who gets what outcome, and clarity of relationship between performance and outcomes. Thus, the expectancy theory concentrates on the following three relationships:

- Effort-performance relationship: What is the likelihood that the individual's effort be recognized in his performance appraisal?
- Performance-reward relationship: It talks about the extent to which the employee believes that getting a good performance appraisal leads to organizational rewards.
- Rewards-personal goals relationship: It is all about the attractiveness or appeal of the potential reward to the individual.

Vroom was of view that employees consciously decide whether to perform or not at the job. This decision solely depended on the employee's motivation level which in turn depends on three factors of expectancy, valence and instrumentality.

2.7.4. Strategies for motivation

Seven strategies for motivation:

- Positive reinforcement / high expectation
- Effective discipline and punishment
- Training people fairly
- Satisfying employees needs
- Setting work related goals
- Restructuring jobs
- Base rewards on job performance

CHAP III. GROUPS IN THE ORGANIZATION (Two heads are better than one)

3.1. Introduction

Individuals are employed by organizations, but in the work situation individuals invariably work
together in **groups**. Even if the work does not require people to work together in this way, individuals make friends and establish informal social relationships with the other people they come into contact within the work situation.

3.2. Meaning of group

- Psychologists define a group as a collection of two or more people who are aware of each other, who have a shared goal, and who can be regarded as a collective unit.
- Sociologists define a group as a collection of individuals involved in regular patterned interaction with each other, sharing similar values and goals, and who feel conscious of belonging to the group.

3.3. The characteristics of groups

- **Group cohesion**

Group cohesion is the degree to which the group sticks together. Cohesiveness within groups can also be called *esprit de corps* (*spirit of co-operation or team spirit).*
Cohesiveness is characterized by the *closeness* the group experiences during its lifetime: the longer the group is together, the stronger the feeling of cohesiveness. Cohesiveness can also be characterized by the *norms or belief systems that the group develops during its life cycle*. This "*togetherness"* causes the group to close ranks, should it be threatened by outside interference or individuals trying to undermine its existence and objectives.
Group cohesiveness is a gift that is reserved for established groups. Newly-formed groups are not party to this gift, as they are very much in the forming, storming and norming stages.

- **Synergy.**

One element to note is the concept of synergy. This is the combined force or effort of the group members in working together towards the common goal. It is akin to the sum of the whole being greater (hopefully) than the sum of the individual parts.

- **Homogeneity**

Perhaps the most important of these determinants is the extent to which members share similar attitudes and values. This conditions the degree to which members will become involved and communicate, understand and identify with each other.

- **Interaction**

The amount of interaction between members can also be a determinant. A high degree of interaction, which is common in work groups, families and campaigning groups at particular times, can help to promote similar attitudes and values. It can also promote mutual understanding on more personal levels such that there will be a greater degree of mutual support.

- **Goals**

The success of the group in attaining its goals is likely to influence group cohesion. It is likely to engender positive feelings towards the group, in terms of facilitating the individual's own goals, his/her contribution to the whole and in belonging to, and being identified by outsiders with, a successful group.

3.4. Group development

New groups are constantly being formed in all walks of life. The same is true in organizations. These may be formal work units, committees, working parties, project teams, etc. to deal with new developments or innovations, or arising from a reorganization of existing work patterns. They may also be informal groups based around new friendships and interests. When we say "new" groups, we do not just mean the establishment of a group from scratch. When existing members leave or new members join, the group goes through a stage of development whereby it re-establishes itself in a slightly different form. Groups of whatever type do not come into existence fully formed, operational and effective. They must grow and mature into functioning units. Various researchers have identified stages that groups go through in this formative process.

The most commonly accepted view of the development process is that advanced by **Tuckman,**

in seeing four main stages: forming, storming, norming, performing, and adjourning.

Forming (awareness, commitment, acceptance)

This first stage of group development is concerned with finding out the nature of the situation with which the group is faced and what forms of behavior and interaction are appropriate. Members will test out attitudes and behavior to establish their acceptability as ground rules for accomplishing the task and getting on with other members. This may take some time, depending on the personalities of the members and the degree of commitment seemingly demanded of them. This stage in development can create a lot of anxieties and often there is some dependence on a powerful personality to help establish the ground rules. At this stage, that person will assume a leadership role which may or may not continue in later stages (but where it does not, this may create problems of internal conflict). Competing powerful personalities can also lead to problems in these early developmental explorations of what is acceptable within the group.

Storming (conflict, clarification, belonging)

Leading on from the forming stage in which certain ground rules are explored, it is likely that there will be a stage of conflict and disagreement as methods of operation and patterns of behavior start to be firmed up. This is where different opinions and styles emerge, with competing sub-groups, challenges for leadership, rebellions against control and resistance to the demands of meeting task requirements. A degree of compromise is necessary here in

order to allow consensus to emerge in a way that all members find acceptable. If major issues cannot be settled at this stage, the group is unlikely to be able to operate effectively and may not develop further – possibly even disbanding. In some situations, it may be necessary for the group to act against members who will not compromise and even reject them from the group to stop the disruption caused.

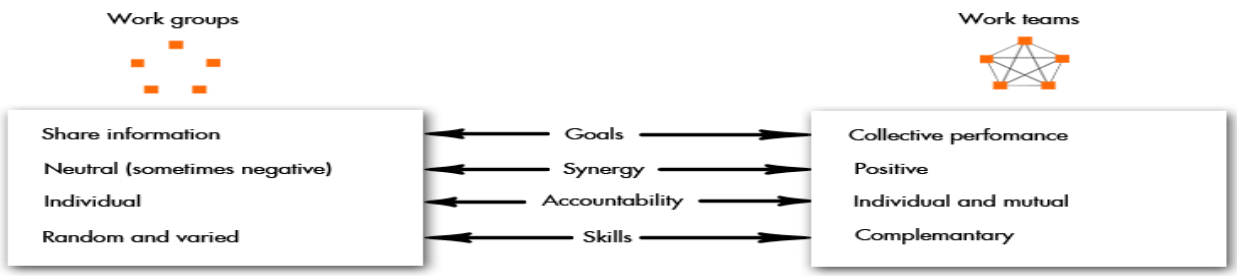
Norming (cooperation, development, support)
As resistance is overcome and conflicts patched up, groups move into the norming stage whereby they establish norms of attitudes and behavior which are mutually acceptable for task performance and interaction. Individual members begin the process of internalizing those norms and identifying with the group, building group cohesion. Member roles start to be clarified and accepted at this stage. In particular, the role of leader should be clearly established. Where there is no appointed leader, or the appointed leader is not acceptable to the group for whatever reason, an informal leader is likely to emerge. With the establishment of consensus, recognition of the value and different potential contributions of individuals can develop, and co-operation and mutual support in group working takes place. This is the first stage in actually performing, with the resources of group starting to be deployed effectively in planning and organizing in pursuit of the group's goals. An important aspect of all these early stages of development is the issue of "inclusion" whereby each individual member assesses the extent to which he/she feels part of the group.

Performing (productivity, achievement, pride)
This represents the position where the group's energy is now available for effective work in completing tasks and maintaining the group. The established norms now support the goals of the group and roles become functional, thus allowing constructive work in relation to tasks.
Adjourning (separation, recognizing, satisfaction)
This happens to be the last stage. The groups disbandon after the task has been accomplished. The leader can facilitate positive closure at this stage by recognizing and rewarding group performance.
There are several approaches to group decision making which can be summarized as: (i)**Autocratic decision making** where the leader takes the decision by himself or independently, (ii)**Expert member soliciting** where advice of the expert in the concerned area is obtained and decision then is made, (iii)**Consultative decision making** which involves obtaining inputs from those responsible for and affected by the decision and then making the decision independently, (iv)**Minority control** which involves allowing a small number of people in the group to make a decision, (v)**Majority control** where majority of members involve themselves in decision making, and (vi)**Consensus** which involves finding a proposal acceptable to all members; it is a win-win situation.
3.5. Meaning of teams (where groups fail, teams merge)
A team comprises a small number of people with complementary skills who are committed to a common purpose, common performance goal, and an approach for which they hold themselves mutually accountable. Teams include people with mix of skills appropriate to the task to be done. Team members need technical, problem solving and decision making, and interpersonal skills.
Benefits from teams

(i) Enhanced performance (increased productivity, improved quality and customer service), **(ii)** employee benefits from teams include (better quality of work life and reduced stress), **(iii)**cost reduction (resulted in few errors and few claims), **(iV)** Quality decisions (team make optimal decisions that are stronger because they have been made with various perspectives

and interest in mind), **(v)** Improved processes (Because of the coordination between and transfer of learning among team members, team work results in organized approach to the situation at hand), **(vi)** Teamwork contributes to global competitiveness to the firms (members have different skills than one individual). Working in teams enables workers to avoid wasted effort, reduce errors and respond better to customers, resulting in more output for each unit of employee input.

3.6. Comparing work groups and work teams



Work group. A group that interacts primarily to share information and to make decisions to help each group within his or her area of responsibility.

Work team. A group whose individual efforts result in performance that is greater than the sum of the individual inputs.

3.7. Four types of teams.

- **Problem-solving teams**

Groups of 5 to 11 employees from the same department who meet to attack specific problem and discuss ways of improving quality, efficiency and the work environment.

- **Self-managed wok teams**

Groups of 9 to 15 people who take on responsibilities of their former supervisors.

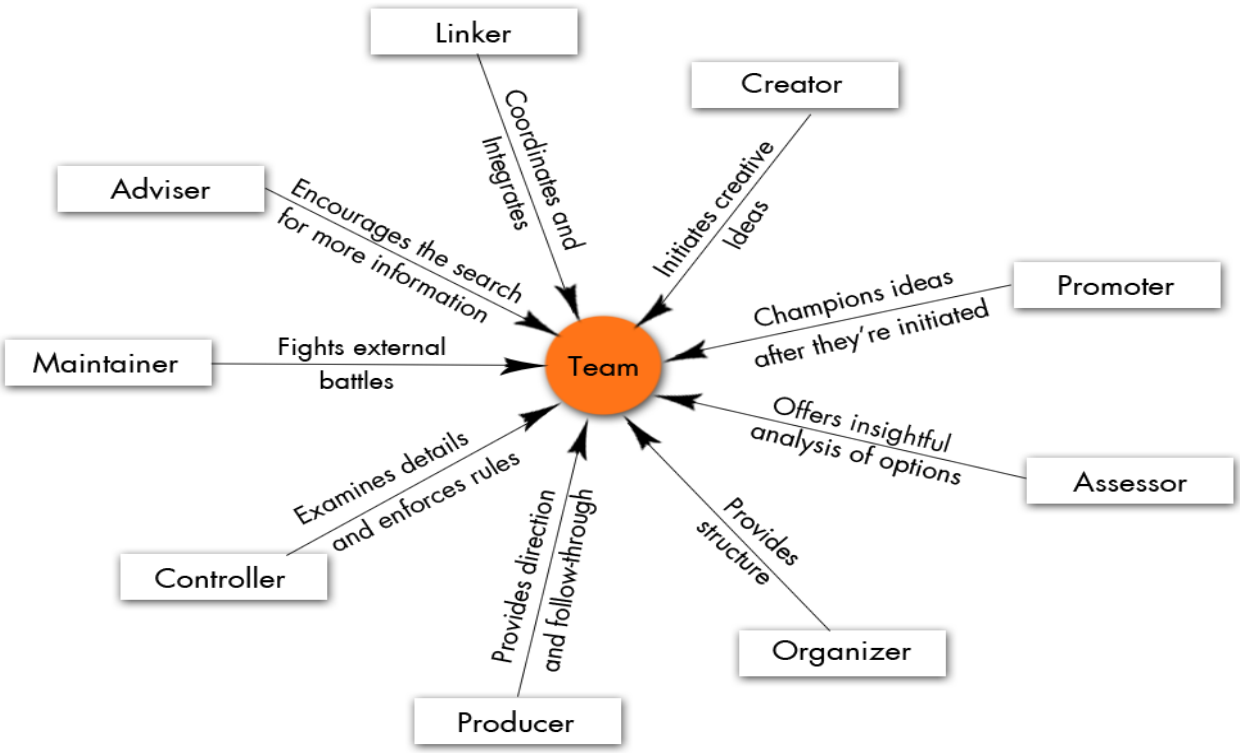
- **Cross-functional teams**

Employees from about the same hierarchical level, but from different work areas, who come together to accomplish a task.

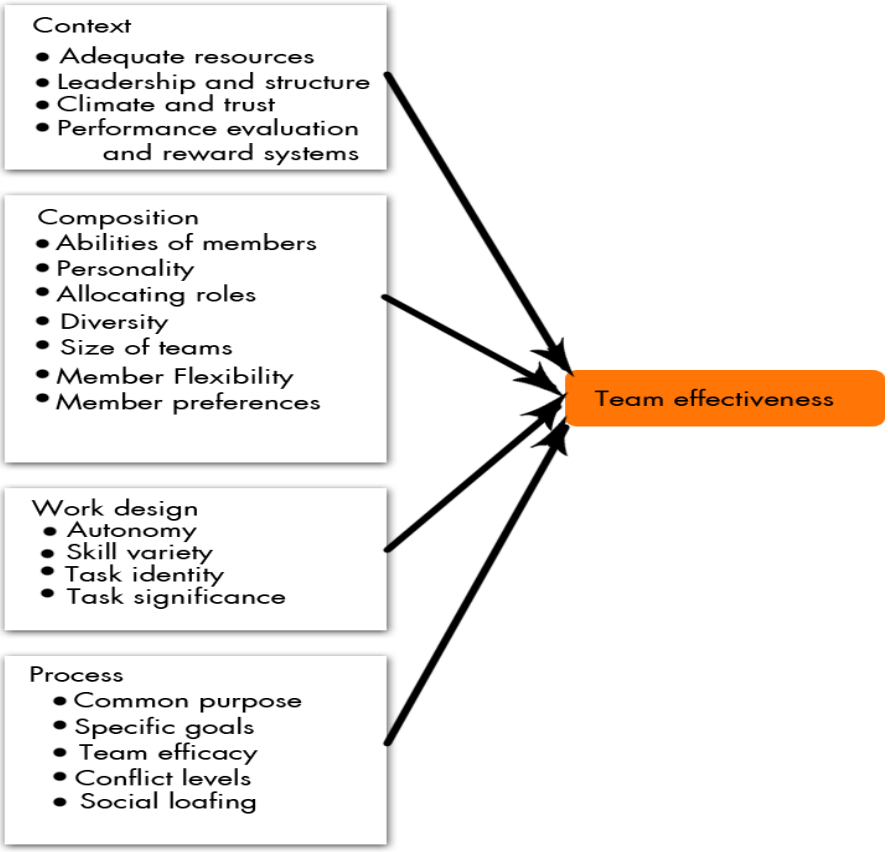
- **Virtual teams**

Teams that use computer technology to tie together physically dispersed members in order to achieve a common goal. They use teleconference and other electronic information system

3.8. Key roles of teams



3.9. Team effectiveness model



CHAP IV. COMMUNICATION IN ORGANISATIONS

4.1. Introduction

Organizations of any kind formal and informal depend on obtaining and transmitting information in order to achieve the co-ordinated action necessary to achieve their goals. At the very basic level, a common understanding of goals is fundamental to this, but it develops from there to communicating the way in which activities are to be undertaken and obtaining the information necessary to decide what to do and how to do it. And given the huge variety of ways people have of communicating, it is crucial to understand what is involved in communication and what are the best ways of achieving effectiveness.

4.2. The nature and scope of communication

4.2.1. A basic definition

KOONTZ and O'DONELL define communication as an intercourse by words, letters, symbols or messages and is a way that an organization, member shares meaning and understanding with others.

In the words of ALLEN Louis, 'Communication is the sum of all the things one person does when he wants to create understanding in the mind of other. It involves a systematic process of telling, listening and understanding'.

Communications are of two types:

- ✓ ***One- way communication:*** In this type there is no feedback system (no clarification). Normally all types of advertisements are one-way communication. The sender finishes his responsibility as soon as he transmits his information to other end. It has the advantage of saving money as well as time.
- ✓ ***Two-way communication:*** It has the advantage of a feedback system. It can clarify any doubt of the receiver.

In a two-way communication there are four elements: Sender, Transmission, Receiver and feedback. The best example is the professor and his students.

In the organization, communication has the following characteristics:

- It involves more than one person(sender and receiver)
- It carries out the task of transmission of the message and reception
- Medium of communication may differ according to needs
- Communication must be uninterrupted, continuous
- An effective communication depends upon the understanding of the information received by the receiver and his proper feedback.

4.2.2. Communication and management

Studies of how managers spend their time invariably show that the majority of it is spent in communication irrespective of their positions in the organization. Peter Drucker sees communication as central to management:

"A manager motivates and communicates. He makes a team out of the people who are responsible for various jobs. He does that through the practices with which he manages. He does it in his own relations to the men he manages.... he does it through constant communication, both from the manager to his subordinate, and from the subordinate to the manager".

Communication is all pervasive within organizations and management. Factual information has to be sent to, received and interpreted by others above, below and at the same level as the manager. Ideas need to be received, considered, and agreed or rejected by those in the decision-making process.

Policies, strategic plans, major decisions and general directives have to be issued by senior management. Orders are sent down the line of the organization's hierarchy of command, and reports come back. Along horizontal lines, staff specialists such as personnel managers, send recommendations and explanations concerning technical matters, and receive reports back as relevant. And throughout all this communication of information, notions of management culture and style are being confirmed, and common understanding and feelings about every aspect of operation are being sought.
The central importance of communication within organizations is perhaps more tellingly shown by reflecting on the proportion of problems which arise from failures in communication. This is
especially acute in large multi-disciplinary organizations, where it is all too easy for information flow to stop at the boundaries of professions, departments and specialist groups. We can also see the way in which individuals or groups can have their particular sensitivities provoked by exclusion from information flows for example, non-invitation to a meeting, omission from a list of those receiving minutes of a meeting, absence of consultation over some matter. **Chester Barnard** was the first writer to give the subject *due attention, projecting it as a means by which people are linked together in an organization in order to achieve a central purpose*. The human relations school of thought also brought communication to the fore. Group activity is impossible without information flow, without it leadership, co-ordination and change are impossible.

4.2.3. The communication process

There is a basic process which holds true for any type of communication among individuals or
groups, formal or informal, etc. It can be explained as follows:

- ✓ The "transmitter" is the sender. He/she/they will initiate the message, which initially exists as information in the sender's (senders') mind.
- ✓ Before the message can actually be transmitted, it must be "encoded" translating the intended meaning which exists in the sender's mind into words, gestures and symbols, etc. which can actually be conveyed.
- ✓ "Transmission" is the form of communication itself written, oral, non-verbal (gestures and symbols) and the medium by which it is delivered, such as written memorandum/report/letter/E-mail, telephone, face-to-face meeting, presentation using display graphics and handouts, etc.
- ✓ The "recipient" is clearly the person or persons to whom the message is directed. Note, though, that there may be unintended recipients people who overhear a conversation or can see an exchange through an office window, or those who read a letter, etc.
- ✓ The recipient has to "decode" the message as transmitted in order to understand it. Effective communication takes place where there is a common understanding of the message between the transmitter and the recipient, but the decoding process can result in misunderstandings where the word, gestures or symbols are not interpreted as intended by the sender. The pattern of "transmitter>encoding>transmission>decoding>recipient" completely describes the communication process, but is only one part of it. Commonly there is a reverse process of "feedback".

2.4.4. Types of communication

There are two major types of communication:

- ✓ Verbal communication, which is the use of words to communicate either in written or oral form (and we shall consider each of these separately below); and
- ✓ Non-verbal communication, which is communication by elements or (mainly) behaviors which do not use words.

Written Communication

Most organizations particularly those with large office-based administrations are notorious users of paper. The plethora of written communications such as memoranda, reports, messages, letters, guidance manuals, newsletters, brochures and leaflets, etc. Note that the use of information technology E-mail, spreadsheets, etc, also counts as written communication. Written communication has a number of very significant advantages.

- ✓ It provides a permanent record of the message, one that can be referred back to and checked.
- ✓ Writing allows for more careful compilation of the message, with the opportunity to think it through, clarify and ensure easier comprehension (particularly for long technical matters).
- ✓ Written documents can be widely distributed with ease, using printing and copying facilities to reach those not able to attend personal communications.

  On the other hand, it does not come without certain disadvantages.
- ✓ Producing the quality of written documents to which recipients have become accustomed is not cheap, and with the temptation to distribute very widely, the costs of printing, paper, postage, etc. can be expensive.
- ✓ Obscurities and misunderstandings are difficult to clear up, the timescale for feedback can be quite long (compared with oral communication) and wide distribution and the permanency of the record can compound problems.

Oral Communication

Communication via the spoken word takes place on an individual level in face-to-face conversations or on the telephone, and among groups of people in meetings. This is just as important a form of communication in organizations as that by the written word after all; staff spends a large proportion of their time interacting with others.

Oral communication has certain specific advantages.

- ✓ It is immediate in that information can be provided as and when needed, and often in response to questions.
- ✓ The opportunity for immediate feedback and questioning should ensure that understanding is maximized.
- ✓ It is more personal and direct, with the personality and feelings of the participants being allowed into the communication process.

  On the other hand, there are disadvantages.
- ✓ There may, conversely, be more opportunities for misunderstandings owing to the relative immediacy of both the communication and the feedback opportunity. Possible problems include the lack of preparation in dealing with questions (leading to off-the-cuff responses which may not be right), overlooking certain items either in the initial message (forgetting to cover them!) or in responses to questions, probable lack of channels for checking meaning after the event, and status differentials between manager and subordinate (or even tutor and student) causing reticence about asking for clarification. One of the key features of oral communication is that it is invariably two-way.

- ✓ Feedback both giving and receiving is a neglected skill. It can present problems of showing apparent failure (to understand), challenge to authority and dealing with criticism.

Non-verbal communication

It is virtually impossible to engage in both written and oral communication without also transmitting messages by non-verbal means. These are the various signals given out by our behavior or other elements in or surrounding the communication. They are so important that studies suggest that they are crucial in ensuring the effectiveness (or otherwise) of the communication.

The types of non-verbal cues that convey information are:

- ✓ body language gestures: eye movements, expressions and general posture which provide much of the information about people's feelings;
- ✓ voice :the pitch and tone, etc. of how a message is conveyed;
- ✓ space: the way in which the physical environment is laid out may affect the effectiveness of an oral communication, by for example ensuring comfort and lack of intrusion into personal space;
- ✓ personal presentation: clothing, grooming, etc. can give signals about a person which can support or detract from the message being conveyed;

4 .2.5. Barriers to effective communication

Here we are concerned with two elements in the communication process which can prevent its effective operation:

(1)Semantic barrier	• Poor quality of the message • Faulty transmission • Lack of clarity • Technical language
(2) Psychological barriers	• Premature evaluation (outcome of the message before it is transmitted) • Inadequate attention • Transmission losses and poor retention(when the info passes through various levels) • Undue stress on written message(Stressing message) • Lack of trust in the sender of message by receiver • Failure to communicate
(3)Organizational barriers	• Restriction imposed by rules of organization • Status hierarchical position restraining the flow of communication • Complex structure of organization(heavy structure may distort the info
(4)Personal barriers	• Attitudes of superiors (Favorable or unfavorable can affect communication) • Insistence on following proper channel (not bypass direct superior) • Lack of confidence in subordinates (There is a perception that subordinate are not competent to advise superiors) • Preoccupation of superiors (Superior does not want to be communicated everything as he is always preoccupied with his work.) • Lack of awareness: (inadequate knowledge about the

	importance of communication and its usefulness in various activities) • Hesitation to communicate (Subordinates are unwilling to communicate superiors because the message has an adverse effect on them)
(5)Mechanical barriers	• Inadequate arrangement for transmission of message • Poor office layout • Defective procedures and practices(there should be defined procedures for docketing of incoming and out coming message • Use of wrong medium).

4.2.6. Communications systems

The purpose of communication is to ensure that information reaches those who need it, at the right time. This requires that there is a flow of information throughout the organization (and outside it), along established channels through which people can send or receive messages. There is an important initial distinction to be made between formal and informal lines of communication.

4.2.6.1. Formal communication structures

Organizations can be characterized as comprising channels of communication between different levels in the strict hierarchical structure (vertical communication both up and down) and between persons or groups at the same level in the structure or across functional divisions (horizontal communication).

- **Downward communication**

Downward communication is the flow of information from a higher level to one or more lower levels in the organizational structure. It is, typically, concerned with passing directions about the performance of tasks, or about the procedures and practices of the organization, providing or eliciting information about individual performance, and developing understanding about the organization and its goals and the specifics of the job. The types of communication employed include face-to-face meetings (private or public, formal and informal, between individuals and groups) and a plethora of written communications such as memoranda, bulletins, newsletters, notice boards, manuals, etc

Apart from the problems noted above inherent in the forms of communication, downward communication across more than one level in the organization can be prone to distortions and difficulties. There are particular problems in presenting information, either in oral or written form, which can be clearly understood in the same way by recipients at different levels. The opportunities for semantic blocks are increased by having to frame the message for a wide variety of different recipients with different perceptions and semantic nets, and with mass audiences, there is little opportunity for feedback to clarify meaning.

- **Upward communication**

Upward communication is the flow of information from a lower level to one or more higher levels in the organizational structure. It is, typically, concerned with the reporting of progress, problems, new developments and situations which need attention, making suggestions for improvements, seeking clarification, and questioning. The types of communication involved include written reports and memoranda, meetings with superiors (individually or in groups). Upward communication suffers from the same barriers to effective communication as have been described above in respect of both the forms of communication and the specifics of downward communication. In particular, there is a tendency for individuals to filter or distort information in order to show themselves in the best possible light to their superiors. It is also

the case that, too often, management does not encourage upward communication and is not receptive to the information that can come from below.

- **Horizontal communication**

Horizontal communication is the flow of information between individuals at the same level within a functional organizational structure, or between individuals or groups at different levels in different functions (mainly departments, but sometimes it can be sections in large, highly differentiated departments). This will include "staff" relationships concerned with the provision of information and guidance in specialist areas from outside the immediate work unit (for example, by finance, personnel or IT specialists), as well as co-coordinating activities, sharing information and providing mutual support, and resolving conflict or problems. The types of communication involved include formal meetings, reports, memoranda and face-to face meetings. There are a number of problems associated with horizontal communication. Firstly, highly structured organizations often see communication channels in very hierarchical terms and require horizontal communication to take place through the upward and downward channels with only (senior) managers actually communicating across functional borders. Whilst it is clear that, in some situations, managers need to know what is going on (or more strictly, the outcomes), the routing of communication between two individuals in different departments through their respective managers leads to considerable opportunities for filtering or distortion in the process.

Other problems with horizontal communication arise from barriers which we have noted before, but which tend to be exaggerated by crossing functional borders. These are the use of specialist language and jargon within each functional area, and functional loyalties and jealousies which may restrict the flow of information in order not to disclose failures or to maintain some advantage over the other party.

- **Committee Systems**

Formal meetings of committees, sub-committees and formal working groups are important channels of communication and are widely used in both public and private sector organizations.

Indeed, they can be crucial to organizational effectiveness where there is a duty to involve specified members in the decision making process.

Committee systems constitute an additional element in both vertical and horizontal communication, and whilst they have very specific roles which exclude much of the information flows within the organization's management structure, it can increase the barriers to effectiveness through introducing further semantic blocks and additional problems arising from written and oral forms of communication. In addition, the need to take certain matters to committee causes delay in the flow of information.

4.2.6.2. Informal Communication or Grapevine

Informal systems are those which cannot be depicted on a formal organizational chart, especially relationships between peers which are used for the exchange of information and the ubiquitous "grapevine" which exists within the informal structure of all organizations and ensures the very fast spread of all sorts of information, conjecture, rumor, gossip and intrigue. People do not just communicate through the formal channels in organizations. They talk to each other at lunch, across desks, in toilets and corridors; they go out socially in groups; travel to and from work together, or away on business; meet in shops or outside schools, etc. Grapevines exist in virtually all organizations and can spread information throughout the organization very quickly far faster than formal channels. They are generally perceived as having an adverse effect on good communications, and as being based on rumor and gossip.

However, the information that circulates on the grapevine is more accurate and informative (75%).
The grapevine does actually have a number of positive aspects. Certainly, for newcomers to the staff it can be very important in orientating and teaching them about the reality of the organization (as opposed to the often inaccurate and late information given in induction programmer about formal operations.

4.2.7. Effective communication

Basic guidelines

There are a number of different approaches to defining guidelines for effective communication, but they all say more or less the same thing: say it clearly, accurately and be brief.

The Needs of the Receiver

At the outset it is vital to remember that, in any form of communication, what you are trying to do is convey information to a recipient. Whatever is said or written must take into account his/her/their needs what they need to know, what they are capable of understanding (not just in terms of their intellectual capacity, but perhaps in the time available), what the circumstances of the communication are, etc.
Too often, reports or letters are written in a way which implies that the reader already knows much of what is being communicated – computer software manuals are a prime example of this in assuming a degree of understanding about how a program operates and the technical jargon associated with it.
In preparing any form of communication, you need to give attention to:

- ✓ the language used, it has to be clear to the recipient what is being said;
- ✓ the structure of the communication, the recipient has to be able to follow what is being said, and to be able to find and refer to elements again if necessary;
- ✓ the "tone" of the communication, it has to speak or appeal to the recipient in some personal, direct way;
- ✓ the content, the recipient has to be able to get what he/she/they need (or what you want them to get) from the communication in an unambiguous way.

The ABC Approach

This approach to effective communication lays the stress on: A: accuracy, B: brevity, C: clarity

Accuracy

The information conveyed must be as accurate as possible at the time of presentation.
Being accurate is not always easy. In many situations, the information being conveyed is not precise or complete, and this needs to be openly recognized where the recipient needs to be aware of any limitations.

Brevity

Time is often far too valuable or short (for both the transmitter and the recipient) to employ a lot of unnecessary words. Brevity means being concise and being concise helps the recipient arguments or points do not get lost in a clutter, so the message is more likely to be identified and understood. The use of explanations, examples and analogies all contribute to clarifying messages and should be used where appropriate.

Clarity

Clarity is achieved through the use of the right language words that the recipient will understand, set out in a logical order with appropriate structuring of the information. It is important, therefore, to consider carefully the audience what language will they understand (principally the use of jargon or specialist language, but also the main language such as

English, etc.), what explanations and examples will make sense to them; in what circumstances will they receive the communication.

The Seven Cs

The "seven Cs" includes aspects of tone and style as well as the basic elements.

Clear

As above, the need is for meaningful language which avoids ambiguity and communicates the message in a way which can be easily assimilated by the audience words and phrases need to be chosen with care, unavoidable jargon, terms and lesser known concepts and procedures need to be explained.

Concise

Brevity, compatible with the complexity of the information to be conveyed and the necessary style and tone, is of the essence. Thus, it is better to say "I regret that." rather than "I regret that I have to say that."

Correct

Obviously the information has to be correct as we noted above. However, also do not lose sight of the need to check the text for errors, especially in figures, names (there is nothing worse than misspelling someone's name on a letter) and addresses.

Courteous

In any form of communication, it pays to consider it as a personal address to the recipient(s). Thus, in trying to be brief, do not be curt; do not be afraid to introduce personal references where appropriate, be polite and use friendly language rather than formal "officialese" which is a barrier to communication.

Complete

The communication should be a full conveyance of the message, leaving as far as possible nothing out. In that way, the audience will be aware that they have everything they need. This may mean going beyond what were your original terms of reference for writing a report or a letter, etc.

Consistent

The flow of language is considerably aided by consistency in its use, such as standardizing the person and tense, and sticking to a particular style and tone throughout.

Convincing

This last point is often overlooked. It is very important to show confidence and commitment in what you communicate, even though there may be times when you do not actually feel that in what you have to do at work. Doubt, ambiguity and vagueness come through very clearly in all forms of communication. Messages need to be conveyed with conviction or they will not be taken seriously.

Structure

Virtually all communications can be structured along the same overall lines. A very basic maxim

which works nearly all the time is:

- say what you are going to say;
- say it;
- say that you've said it.

This maxim can be interpreted as the basic "introduction, body of the communication, summary/ conclusion".

CHAPTER V. ORGANIZATIONAL DYNAMICS

5.1. ORGANIZATIONAL CHANGE

5.1.1. Generalities

Change poses formidable challenges and heralds new opportunities. Organizations that learn and cope up with the change will thrive and flourish and others which fail to do so will perish.

Organizational change is the process by which organizations move from their present state to some desired future state to increase their effectiveness. It means to move from the existing way of doing things to a new and improved way.

Change management is a structured approach to transitioning individuals, teams, and organizations from a current state to a desired future state. Change management (or change control) is the process during which the changes of a system are implemented in a controlled manner by following a pre-defined framework/model with, to some extent, reasonable modifications.

Characteristically change is:

- Vital if a company were to avoid stagnation;
- A process no an event;
- Normal and constant;
- Fast and is likely to increase further in the present competitive business;
- Directed that is implemented by top-down management or participative, that is involving those parties impacted by change;
- Is natural that is evolutionary or adaptive that is a reaction to external circumstances and pressures;
- Is incremental that is continuous small changes or step, that is radical shift from current to new processes; and
- Is interdependent on organizational environment or culture.

5.1.2. Levels of change

Individual level change: Change is reflected in such development as changes in job assignment, physical move to a different location, or the change in maturity of a person which occurs over time. This change will have repercussions beyond the individual.

Group level change: Most organizational changes have their major effects at the group level because most activities in organizations are organized on a group basis. The groups could be departments or informal work groups. Changes at this level can affect workflows, job design, influence and status system, and communication patterns.

Organizational level changes: Changes at this level involve major programmes that affect both individual and groups. Decisions regarding these changes are generally made by senior

management and are seldom implemented by only a single manager. Examples of these changes would be reorganization of organizational structure and responsibilities, revamping of employee remuneration system, or major shifts in an organization's objective. Change at this level is generally referred to as organizational development.

5.1.3. Types of Change

Evolutionary change: It is gradual, incremental and specifically focused. It involves not a drastic or sudden in the basic nature of an organization's strategy and structure but the constant attempt to incrementally improve, adapt, and adjust strategy and structure to better march the changes that are taking place in the environment. It involves the attempt to increase the effectiveness of the way an organization currently operates.

Revolutionary change: It is drastic, sudden and organization wide. It involves the attempt to find new ways to be effective. It is more likely to result in a dramatic shift that involves a whole new way of doing things, new goals, and new structure.

5.1.4. Forces for change

The changes that have been listed above stem from several sources. Some of these are external, arising from outside the organization, whereas others are internal, arising from sources within the company.

5.1.4.1. External causes

Globalization: Globalization has made organizations to rethink the boundaries of their markets and to encourage their employees to think globally. Globalizing organizations means rethinking the most efficient ways to use resources, gather and disseminate information, and develop people to become global citizens.

Workforce diversity: Diversity makes an organization reposition itself, reposition its strategy, launch a new project, create a new idea, develop a new marketing plan, design a new operation, and assess emerging trends from a new perspective.

Technological change: Technological innovations bring about profound change because they are not just changes in the way work is performed.

Managing ethical behavior: Employees face ethical dilemmas in their daily work lives. The need to mange ethical behavior has brought about several changes in organization. Most centre around the idea that an organization must create a culture that encourages ethical conduct. Ethical behavior should touch such areas as product safety, employee health, sexual harassment, smoking, waste disposal, security of company records, etc.

Others: The other external forces invoking change include changes in government policies, competition, and scarcity of resources.

5.1.4.2. Internal causes

Internal forces that trigger change are several:

Organizational silence: It occurs when everyone knows it's risky to tell the truth and this fact itself cannot be discussed.

Failing effectiveness, Crisis, changing employees expectations, change in the work climate.

5.1.5. RESISTANCE TO CHANGE

5.1.5.1. Individual resistance

Six reasons why individuals may resist change are

- **Cognitive biases:** Cognitive dissonance, ego-defense, escalation of commitment can distort manager's perception of why change is necessary and what should be done.
- **Uncertainty:** Uncertainty about the outcome of the change makes people resistant to change. Fear of unknown is a strong obstacle to change.
- **Fear of loss:** Another source of individual resistance is concern that changes will lower one's income, employees may fear losing their jobs or status because of change.
- **Selective information processing:** Individuals shape their world through their perceptions. Thus, when change takes place, workers tend to only focus on how it will personally affect them or their function; if they perceive few benefits they may reject the purpose behind the change.
- **Habit:** Habits die hard because people have a built in tendency to return to their original behavior, a tendency which prevents change.
- **Logical reasons:** Employees have justifiable reasons for their resistance to change. Popularly called logical or rational sources, such as time required to adjust, extra effort to relearn, economic costs of change, and questioned technical feasibility of change.

5.1.5.2. Organizational resistance

Organizations, by their very nature, are conservative. They actively resist change. There are six major sources of organizational resistance:

- **Structural inertia:** it is a tendency of mature organizations to continue on their current trajectory. Organization has built-in mechanisms to produce stability; this structural inertia acts as a counterbalance to sustain stability.
- **Organizational culture:** Values and norms are a source of resistance to change. (to force people to change what they do and how they do it)

5.1.5.3. Group level resistance

Group norms: Groups develop their own norms to promote desirable behavior and members conform to these norms. Any change that disrupts group norms will invoke resistance.

Group cohesiveness: A highly cohesive group may resist attempt by management to change what it does or even who is the member of the group.

Groupthink: This refers to situations in which group pressures for conformity deter the group from critically appraising unusual or unpopular views. It occurs when one powerful point of view prevails in a group, even though cogent arguments against it may exist in the group.

5.1.4. Change process

According to Lewin's model, change has three steps (Freezing, change or move and unfreezing) which in turn can be detailed in six stages of change process:

1. **Becoming aware of the pressure for change:** Most organizational change are carried out in response to or in anticipation of pressures from outside or inside the organization. Outside the organization, technological innovations act as powerful triggers for change. Within the organization conflicts arise,

employees retire or resign, and pressures mount as the organization outgrows its old ways of doing things.

2. **Recognizing the need for change:** Becoming aware of the need is not enough; managers should also recognize the need for change.
3. **Diagnosing the problem:** Recognizing that change is needed is not enough; managers must diagnose the pressure for change, be it impending bankruptcy or a new technology to determine how it may affect the company and what the consequences will be. To diagnose the problem we can use interview, questionnaire, observation and other secondary data.
4. **Planning the change:** The next step is to formulate a strategy for change. Organizations must choose between evolutionary and revolutionary change.
5. **Implementing the change:** It is at this stage that resistance to change surfaces. Here there are many ways of manifesting resistance: hostility or aggression, absenteeism, tardiness, anxiety and tension.
6. **Follow up on the change:** The final step is to evaluate the effects of the change and to institute procedural modifications that will ensure that the change continues to be implemented.

5.1.5. Overcoming resistance to change

Six tactics or Methods used by change agents in dealing with resistance to change:

- **Education and communication:**
  - ✓ Resistance can be reduced through communicating to help employees see the logic of a change. The assumption is that the source of resistance lies in misinformation or poor communication.
  - ✓ It works provided that the source of resistance is inadequate communication and that management-employee relations are characterized by mutual trust and credibility.
- **Participation and involvement:**
  - ✓ It is difficult for individuals to resist a change decision in which they participated.
  - ✓ Prior to making a change, those opposed can be brought into the decision process, assuming they have the expertise to make a meaningful contribution.
  - ✓ The negative-potential for a poor solution and great time consumption.
- **Facilitation and support:**

Employee counseling and therapy, new-skills training, or a short paid leave of absence may facilitate adjustment. The drawbacks it is time-consuming, expensive, and its implementation offers no assurance of success.

- **Negotiation and agreement:**
  - ✓ Negotiation as a tactic may be necessary when resistance comes from a powerful source.
  - ✓ It has potentially high costs, and there is the risk that the change agent is open to the possibility of being blackmailed by other individuals in positions of power.
- **Manipulation and cooptation:**
  - ✓ Manipulation refers to "covert influence attempts, twisting and distorting facts to make them appear more attractive, withholding undesirable information, and creating false rumors to get employees to accept a change."
  - ✓ Cooptation is "a form of both manipulation and participation." It seeks to "buy off" the leaders of a resistance group by giving them a key role in the change decision.

Both manipulation and cooptation are relatively inexpensive and easy ways to gain support.

The tactics and backfire if the targets become aware that they are being tricked or used.

- **Coercion:**

This is "the application of direct threats of force upon the resisters."
Examples of coercion are threats of transfer, loss of promotions negative performance Evaluations and a poor letter of recommendation.

5.2. UNDERSTANDING STRESS

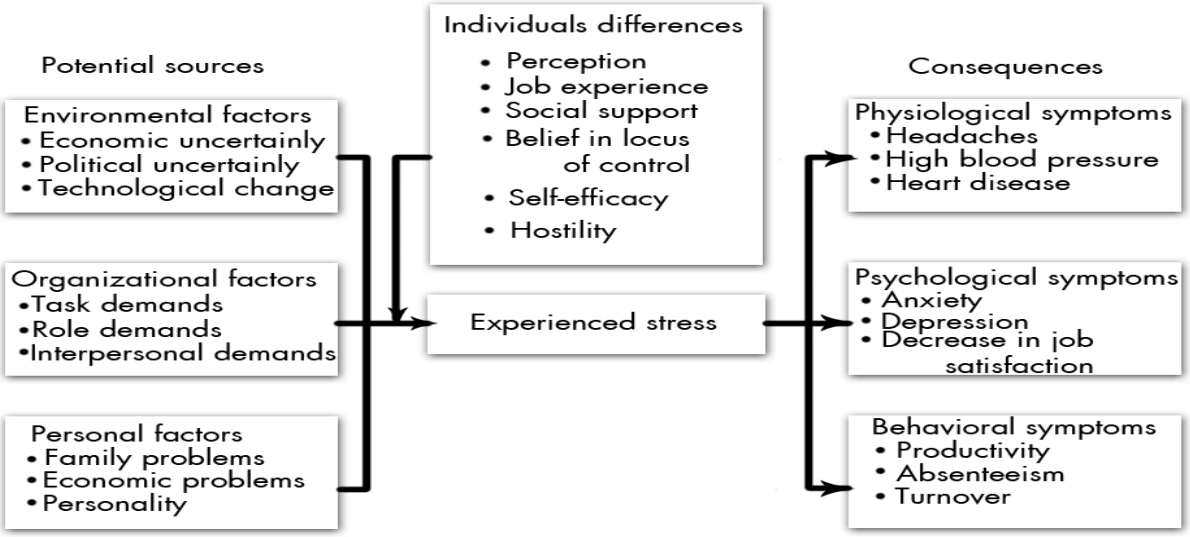
5.2.1. Introduction

Stress is an individual's response to a disturbing factor in the environment, and the consequence of such reaction. It involves interaction of the person and the environment. Stress can manifest itself in both positive way and negative way. Stress is said to be positive when the situation offers an opportunity for one to gain something. Eustress is the term used to describe positive stress and is often viewed as motivator since, in its absence; the individual lacks that edge necessary for peak performance. It is negative when stress is associated with heart disease, alcoholism, drug abuse, marital breakdowns, absenteeism, child abuse and a host of other social, physical, organizational and emotional problems.

5.2.2. Definition

Psychologists define stress as "*strain experienced by an individual over a period of time which impairs the ability of the individual to perform his or her role*".
Stress is an adaptative response to an external situation that results in physical, psychological and/or behavioral deviations for organizational participants. The physical or psychological demands from the environment that cause stress are called **stressors.**
Stress can produce severe physical or mental symptoms. Furthermore, such symptoms of stress as tiredness, headaches and irritability can lead people into other problems like heavy drinking or excessive smoking, which set up a vicious circle by creating even worse physical problems.

5.2.3. A model of stress



We can classify stress under two headings:

- **Psychological stress**, which manifests itself in feelings of emotional distress, like anxiety, excessive worry and depression.
- **Physiological stress**, which manifests itself in pain or physical discomfort. Physical symptoms like abnormal blood pressure or heart-beat can be detected.

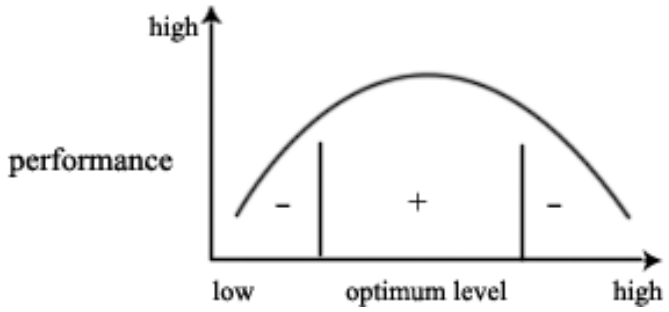
5.2.4. Bipolarity of stress

Studies indeed show that the absence of stress is as harmful as its overload. The living being requires a minimum of stimulation to improve its performance. But if stress is considerable and it lasts too long, it causes side effects. So there is an oscillation between two opposite types of stress, namely:

- ***Positive.*** There is positive stress **(EUSTRESS)** when a person faces stress and has an adequate response, smooth, tailored, measured in proportion to the situation. This reaction is normally expressed, without being aggressive or inhibition. This person "subject to" what one might call "good stress''.
- ***Negative.*** There is the negative stress **(DISTRESS)** when a person is unable to respond adequately or effectively to the demands of his job or she happens to be at the cost of damage to his health. This person has a bad reaction, inappropriate, expressed with violent aggression, anger, or conversely unspoken, repressed, internalized despite its intensity. She underwent what is called "bad stress". Negative stress is more accurate and can take several forms, including:
  - ✓ Acute and violent. This is when a person suddenly sees undermine his personal energy for a sufficiently long period during which there is a painful upheaval in his body.
  - ✓ Permanent and repetitive. Here the person is always stressed, accumulative. Stress never erases the other, but it added.

5.2.4. Stress and performance

Stress is negatively related to performance. In other words, higher the stress, lower the performance. Earlier, it was believed that moderate levels of stress would energize employees and enhance their performance. But this belief is not held to be true now. The assumption valid now is that performance will be disrupted even by relatively low levels of stress. First, even relatively mild stress distracts an employee and tends to focus on unpleasant feelings and emotions rather than on the task at hand. Second, prolonged stress or repeated exposure even to mild levels of stress may have harmful effects on health and this may interfere with effective performance. Finally, many researches indicate that as arousal increases, task performance may at first arise, but at some point begins to fall. The point at which the direction of the function reverses seems to depend on the complexity of the task being performed.



Stress level

There are exceptions to the general rule that stress interferes with performance. Some individuals, for example, are at their best in times of crises. They rise to the occasion and turn

in exceptional performance at times of high stress. This may results from the fact that they are truly experts in the tasks being performed, making their inflection point very high. People who are exceptionally skilled at a task may cognitively appraise a potentially stressful situation as a challenge rather than a threat. Thus, whether stress can disrupt or enhance performance depends on several different factors (eg Complexity of the task, personal characteristics of the individuals involved, their previous experience with the task).

5.2.5. Tackling stress

Management psychologists argue that stress can be tackled at two levels:

(a)The personal level

Individuals can do a great deal to reduce their stress levels themselves. Firstly, they must admit to themselves that stress is a problem; some people see this as a sign of weakness, but experts consider it an essential first step to coping with stress.

Next, individuals need to test the reality of their worries and concerns are these arising because of something in their own personalities (such as a lack of confidence in certain situations) or are there objective causes in the work situation? If the problems are personal, the individual must find ways of tackling these. If the problems are organizational, this is a problem for management.

In terms of the workplace, there are a number of ways in which the stress induced by the types of situations described above may be controlled and reduced.

- ***Manage time effectively***

Poor time management significantly impacts on people's stress levels, and the techniques of time management can be effective in coping with work overload. These include setting realistic goals, deciding on priorities, finishing one task before starting another so that you always feel in control, organizing work so that you can find things when they are needed and allowing time for urgent problems and contingencies.

- ***Take regular breaks***

Concentrated periods of work require you to take a break to refresh your mind and/or body. You must relieve the pressure for 5 or 10 minutes every few hours. Eat light but regular meals and avoid too much coffee or alcohol.

- ***Be realistic***

Sometimes you have to say "no" you cannot always take on more or bring forward a deadline. Do not feel bad about being realistic.

- ***Talk about problems***

Share problems with a colleague or friend. Get advice and opinions. Consult your line manager without abdicating your responsibility.

- ***Relax and exercise***

It is not simply a business perk which has motivated many companies and training centers to install a gym or swimming pool into their premises. Exercise helps to release the stress of the day (it's like the physical exertion associated with the old fight and flight option). Relaxation, perhaps with a good book or in the form of meditation or yoga, will help you to control stress.

- ***Do other things***

Do not let work take over your life. Establish outside interests which will help to keep you fresh and creative. Work hard, but play hard as well. This will help you to reduce stress caused by neglecting friends and family as well. Take breaks and holidays regularly. Change the wallpaper(!) either by doing something different, like DIY, or by going away. Remember "a change is as good as a rest".

(b) The organizational level

Organizations have a part to play in reducing stress at work. This can be done by organizing the conditions and requirements of the workplace and the job in such a way as to minimize those situations which are likely to cause stress. This is clearly in the organization's own interests as well as its employees by the time stress has become apparent, some of the damage will have already been done and the individual's performance been impaired, with a negative effect on the work team or the achievement of organizational objectives. It is also likely that, increasingly, organizations will be held to account for the damage caused by stress in the same way as is common now for other aspects of the health and safety of employees.

The measures which may be taken include:

- Ensuring there is a pleasant working environment.
- Making certain that all staff have training in time management and delegation.
- Having regular open communication so that opportunities to discuss problems and worries are readily available.
- Developing a strong feedback system to ensure that problems with workloads and deadlines are quickly identified.
- Ensuring that there are sufficient resources available to allow employees to do their job effectively, without being under unreasonable pressure of demands and deadlines.
- Being aware of the particular problems of change and the anxiety it causes.
- Developing a management ethos which encourages listening to and understanding staff as individuals with their own responses to pressure.

The manager who is already doing his/her job in terms of ensuring a healthy work environment, motivating and communicating with staff and ensuring they have the necessary skills to do the job, will already be doing a great deal to manage stress in the workplace.

CHAP VI. LEADERSHIP

6.1. Introduction

Throughout history it has been argued that the difference between success and failure, whether in war, business, protest movements or football, can largely be attributed to leadership.

5.2. What is leadership?

'Leadership is the process of encouraging and helping others to work enthusiastically towards objectives'.

'Leadership is the behavior of an individual when he is directing the activities of a group towards a shared goal'.

'Leadership is both a process and property. The process of leadership is the use of non coercive influence to direct and coordinate the activities of the members of an organized group towards the accomplishment of group objectives. As property, leadership is the set of qualities or characteristics attributed to those who are perceived to successfully employ such influence'.

Simply said, Leadership refers to the ability of one to influence others, to convert fellows into followers.

The core points that run through all these definitions and which constitutes the essence of leadership are the following:

- Leadership refers to the ability of one individual to influence others;
- The influence is exercised to change the behavior of others;
- Behavior is changed through non-coercive means
- Change of behavior is caused with objective of achieving a shared goal;
- The person influencing others posses a set of qualities or characteristics which he or she uses to influence others;
- Leadership is a group phenomenon. It involves interaction between two or more people.

5.3. Difference between leadership and management

Management is a process of planning, organizing, coordinating, directing and controlling the activities of others.

Leadership as mentioned above is the process of influencing for the purpose of achieving shared goals. Managers are necessary; leaders are essential.

Leaders	**Mangers**
Innovate	Administer
Develop	Maintain
Inspire	Control
Long term view	Short term view
Ask what and why	Ask how and when
Originate	Initiate
Challenge the status quo	Accept the status quo
Do the right things	Do things right

Source: Robert Kretner and Angelo Kinicki, Organizational behavior, Irwin, McGraw, Hill 1998

5.4. Kinds of leadership

- Formal leaders are those appointed to positions within a hierarchy in the organization structure. The job description will indicate the authority attached to the post, and over which subordinates the holder of the post is expected to exercise influence. Of course whether the post holder will be a leader rather than merely a manager is harder to prophesy.
- The informal leader arises when a person without formal authority is influential in directing the behavior of others. Although not formally appointed or elected, he becomes a leader through his actions or personal attractions. Interpersonal charisma or persuasiveness is required for informal leadership because the informal leader lacks formal authority.

6.4. Leadership styles

Leadership is the process by which one person influences others to achieve group goals. Leadership style is the typical approach a particular person uses to lead people. The study of leadership style is useful because it focuses on what the leader actually does in getting work accomplished through people.

6.4.1. Styles based on Authority retained.

This is the classical approach to classifying leadership styles and is useful even today. We have the familiar three- way classification:

- **Authoritarian/Autocratic style:** It involves retention of full authority by the leader. Decisions are passed to subordinates and subordinates are expected to do what the leader has told them to do. The problem with this style is that workers are made aware of what to do, but no why.

- **Participative style:** There are three related types of participative leaders. **(i)** Consultative leaders where leaders solicit opinions from group before making a decision; **(ii)** Consensual leaders where leaders encourage group discussion on an issue and then make a decision that reflects the general agreement of group members; **(iii)** Democratic leaders where leaders confer final authority on the group. They function as collectors of opinion and take a vote before making a decision.
- **Free-rein/ Laissez-faire style:** The leader chooses not to adopt a leadership role and actually abdicates leadership position. It works when the group is composed of highly committed members.

6.4.2. Styles based on task versus people emphasis

Another way of classifying leadership styles is based on the relative concern the leader places on the task to be performed vis-à-vis the people performing the task.
Depending on people or task emphasis, four combinations are possible:

- **High-task and Low- relationship:** The leader shows employees how to get the tasks accomplished and spends minimum time giving psychological support. This can be effective where the employees are inexperienced.
- **High task and High –relationship:** The leader spends considerable time showing people how to get the work accomplished and providing them psychological support. It is useful because it results in high productivity and personal satisfaction.
- **High-relationship and low-task:** The leader gives employees much encouragement and support but a minimum of guidance about the task accomplishment.
- **Low-relationship and low task.** It is essentially a free –rein style. Subordinates are given latitude in performing their work. When subordinates are highly skilled and psychologically mature, this style can be effective.

6.4.3. Style based on Assumptions about people

Depending on what assumptions a leader makes about his or her followers, two styles may be distinguished. This two-way classification is based on McGregor's famous theory X and theory Y assumptions about people. It may be stated theory X leaders are autocratic. They distrust people and believe in close supervision and tight-control over the subordinates. Theory Y leaders are participative; they trust subordinates and allow them to participate in decision making.

6.4.4. Entrepreneurship leadership style

An entrepreneur is a person who converts an innovative idea into business. Based on both their personality characteristics, and the circumstances of operating a business, many entrepreneurs use a similar leadership style. The most notable features of this style are:

(i) Impatience and brusqueness towards employees because the entrepreneur is always busy;
(ii) A heavy task orientation combined with a very direct approach to giving instructions to employees;
(iii) A charismatic personality that inspires others to want to do business with him or her despite the impatience
(iv) A much stronger interest in dealing with customers than employees;
(v) A strong dislike for bureaucratic rules and regulations;
(vi) Anxiety to consolidate business gains as quickly as possib
(vii)

CHAP. VII. MANAGING ORGANIZATIONAL CONFLICT

7.1. Introduction

In any organization consisting of a number of individuals, all with their own personalities, attitudes and values, there is bound to be conflict. Conflict involves an **obvious** clash of interests between people in an organization. People may feel they have conflicting interests, but it does not become **conflict** as such until this feeling has obvious results. It can arise at any and all levels within an organization and can be very destructive. It needs to be minimized in order to reduce tension and stress amongst staff, and to promote effective working relationships.

Conflict is a process in which people are in a state of disagreement combined with tension or having some other difficulty between two or more persons or groups. This is a psychological state of mind within or outside the organization. When an individual is in a state of conflict, he is not in a position to take a decision, either in favour or against a particular view.

7.2. The nature of conflict

Cole defined conflict as: "*a condition that arises whenever the perceived interests of an individual or a group clash with those of another individual or group in such a way that strong emotions are aroused and compromise is not considered to be an option*"

All organizations, individuals and groups experience conflict at some time during day-to-day business activities. Some experts would argue that conflict is good, because it challenges the *status quo*, encourages individuals and groups to air their views, and aids the healing process. Other authorities believe that conflict is dangerous, counter-productive and should not be allowed to arise in the first place. Whatever people's views are, conflict **does** and **will** occur, wherever and whenever there are people.

Handy believes that differences between people and groups are natural and inevitable. He even believes that conflict is necessary: "p*aradoxically, differences are essential to change. If there were no urge to compete and no need for disagreement, the organization would either be in a state of apathy or complacency*"

Some managers actively encourage conflict between groups and individuals. It stops formal and informal groups from becoming too cohesive, which may have the result of trying to shift the authority and power base in the organization. Conflict can also increase the level of competition between groups and individuals. This has the effect of keeping everyone on their toes, stops them from becoming too complacent, and enables parties to talk to each other in order to resolve the conflict.

7.3. Levels and Types of conflict

In an organization conflicts can be noticed mainly at three levels:

7.3.1 Conflict at individual level

Intra-individual conflict: In this type of conflict, the individual has an imbalanced state of mind. It is the situation in which an individual has a problem in decision making (dilemma). It may be also personality clashes, jealous, etc.

Inter-individual conflict: This type of conflict takes place when two individuals are hostile to each other. It may be between two persons of the same group. In such a case it is known as intra-group conflict. If the conflict is between two individuals of different groups, then it may be regarded as inter-individual conflict. This at times may lead to inter-group conflict.

Causes of individual conflicts

- **Individual needs:** Every individual when he joins an organization has certain hopes that he will be able to satisfy his needs in one way or the other during his tenure of service and accordingly he works diligently to achieve the organizational goals. Since the individual's needs are not constant and frequently changing according to the situations, the individual is dissatisfied with the rewards that he receives from the work.
- **Values and beliefs:** Our conviction about what is true, and what is false, or right or wrong, and the influence to react towards a particular occasion favorably or unfavorably, can be a source of conflict. They differ from individual to individual.
- **Disparity between aspiration and Achievement:** Aspiration is an ambition or a strong desire to achieve something in life. Every individual in an organization aspires for something or the other for his betterment, for example, increase in his wages, promotion and good working conditions, etc. If the aspiration of an individual is not achieved, the individual gets frustrated. Such frustration leads to disaffection and ultimately leads to conflicts.
- **Inaccurate Judgment:** This happens, when we feel the other person or group as a threat and act as act in a way that becomes a serious cause for a conflict. An inaccurate judgment can lead to confusions and generally an individual or a group blames others.

Conflict at Group level

Intra-group conflict: When conflict takes place between two members of same groups, it is termed as intra-group conflict.

Inter-group conflict: This happen when two members of different group are involved in a conflict. This process is called inter-individual conflict (if groups are not involved). When individuals of two different groups are involved in a conflict, it is known as intergroup conflict.

Causes of Group conflict

Inconsistency in setting goals: Setting goals of two groups can have certain amount of influence in group relationship. Setting of goals is to be rightly understood by departments, sections, subsections and groups (while setting their target plans) for accomplishment of target.

Resource sharing: Paucity of resources often poses problems to the working groups. Mutual dependence on available resources becomes inevitable.

Joint Decision making: The necessity of joint decision making is felt to determine the area where it is needed. The difference of opinion may lead to conflict.

Specialization and decision of labour: Specialization can also be a cause of conflict, since different specialists have to make a joint effort for accomplishment of goals. Their opinions may differ and can lead to conflict.

Unclarified role and responsibilities: Individuals or group with proper role and responsibilities are aware of what they are supposed to do. When responsibilities are not properly clarified and the role is not specified, there is confusion about what to do and what not to do.

Faulty communication: The interpersonal communication factor is of vital importance in creating group conflict. This can be termed as faulty communication. This happens when individuals communicate with others in a manner that annoys them. However, it may not be an intentional act. Faulty communication is normally due to the absence of clarity.

Conflicts at organizational level
Conflicts manifests in the organizational level due to various reasons like Hierarchical positions, line and staff relations, competition, scarcity of resources, competitive reward system, ambiguity of authority, interdependence of work units.
Ambiguity over Authority and Jurisdiction: This happens when individual or group is not assigned with clear and proper responsibilities and duties to be performed. The jurisdiction of the authority has to be specified clearly to avoid overlapping.
Line and staff discord: In an organization, line managers are the persons, who are responsible for the functional aspect of jurisdiction of their work. At the same time, staff personnel are to show the policy, direction and the line management has to execute such policies as per the advice of the staff management personnel. Many times claches between line and staff do occur on various policy matters or interfunction
Competition between work units for scarce resources: Conflicts often take place due to inadequate distribution of money, equipment and machinery coupled with human resources. If resources are inadequate to meet the bare necessities of work units and groups, they create tension amongst people and groups, which ultimately result in a clash.
Competition on reward system: When reward system is introduced on the basis of competitive performance with specific target for production, etc, there is every possibility of conflict in between the people who look at the system as unfair due to lack of performance capability to sustain the target set.
Strained management -union relations: Management and unions relations get affected due to many reasons like wage policy, welfare facilities.etc
Hierarchical power differentiation and discontent: In an hierarchical system in which grades of status or authority rank are above one another, the top most person in the hierarchy is the supreme authority to all in the organization. He delegates the authority to those in whom he has confidence that they will execute it fairly for the best interest of the organization. At the same time, many personnel of equal status in the hierarchy of the organization may not have the same power and authority, as power is not delegated to them. This may create discontent and may become the cause for hierarchical conflict in covert (Not open) or overt(openly) form.

7.4 Traditional and Modern Approaches to Conflicts
When an individual knows about a conflict, he straightway thinks that an untoward thing has happened. It is a phenomenon that cannot be avoided in any organization. In the recent past this perspective of conflict in the global organizations has come out with thinking that there is a cultural difference in the approach to the conflict. The researches conducted by management experts have expressed the opinion that the people with eastern culture like China, Korea, Japan, Taiwan and other Asian countries and the western countries such as USA, Cana, etc, have different approaches to find conflicts solutions.
The main difference in western culture seems to be highly individualistic valuing individual needs, achievements, etc, over group needs and achievements. Whereas Eastern culture seems to be highly collectivistic valuing group needs and achievements over and above individual needs and achievements. Cultural background appears to form an important factor while understanding and approaching conflict situations

7.4.1Traditional Approach to conflict
In traditional approach to conflict, there are two types of thinking:
(i) Classicists (based on classical common opinion): The way of thinking are:
- Not to permit conflict to appear

- If at all the conflict still manifests, it should be eliminated without any delay
- Source of conflict is to be identified and be prevented forever.

Classists feel that these methods could be achieved purposefully through a well defined authority structure, responsibility and accountability of the concerned personnel in the hierarchy.

(ii) Neoclassicists (emphasis on individual psychology): The emphasis is on individual psychology. They have the following specific views:

- Understanding the individual psychology and behavioural pattern
- Developing and encouraging informal participative leadership
- Avoid individual dissatisfaction and bring about harmony in the organization
- Informal groups are to be encouraged to reconcile the deficiencies of formal organization
- Job enrichment and enlargement in an organization can alter job satisfaction to individual as well as groups
- They are also of the opinion that participative democratic approach to a decision making system may be a key to success.

7.4.2 Modern approach to conflict

Modernists have the view that conflict is a natural phenomenon. Conflict is a part of the structure without which there is no possibility to have' change', innovations and progress. Some of their views are given below:

- Conflict is inherent in an organization
- Conflict is not always negative or destructive in nature
- It occurs when a change in the organizational structure is required
- Conflict manifests, when there is a problem for an individual or a group in decision making
- Conflict in an organization is known as a healthy attitude to bring changes and innovations for progress provided the intention positive
- Differences of opinions among the knowledgeable individuals and work group bring new ideas. When it comes to arguments, the individuals, group and organization understand the pros and cons of the issue, and it is beneficial in such cases to accept the best view.
- Conflicts need to be taken in good spirit and properly handled by the management, since they have positive and negative consequences
- Modern management must study thoroughly the conflict and come to a decision, whether advantageous or otherwise.

7.5Functional and Dysfunctional organizational conflicts

There are different views about conflict. Let explain the advantages and disadvantages of a conflict in an organization.

7.5.1Functional organizational conflicts

This can be called advantageous or positive type

- It helps the individual to have a self-introspection, and to have a second thought on the existing situation. This second look can be of behavioural aspect or any procedural aspect of administrative and functional polices of the organization
- It helps to have the inquisitiveness for clarification of any issue
- Positive consequences of conflict are very vital for the existence of organization

- It has the capacity to make people have the right type of awareness to tackle the crisis
- It helps to make innovations towards progress
- Positive type of conflict makes people come together when in distress. Even the heterogeneous groups join together forgetting their differences to face the problem
- In an organization, if the control and communication system is disturbed and affected by conflict, the entire operation of the organization comes to a grinding halt. Therefore, a conflict warrants immediate attention of the management to rectify the fault in the system.
- Certain vital problems continue to agitate people in the organization, but no one dares to bell the cat. Such an agitation, all of a sudden, surfaces through conflicts. Thus, conflicts show creativity in identifying the solutions, and ultimately the long standing problems get solved.

7.5.2 Dysfunctional organizational conflict

Dysfunctional organizational conflicts are disadvantageous and negative in nature. The following points bring out the nature and characteristics of the conflict.

- A conflict, which does not bring out any solution to a problem, has only nuisance value.
- If a conflict detracts the personnel from the basis objectives, it becomes harmful and destructive in nature.
- It becomes undesirable, if it leads to disbelief in individuals against the management. This is bound to create discontentment and further hostility instead of coordination and cooperation.
- Conflict adversely affect labour turnout in organization.
- Conflicts normally put hurdles in the path of achieving organizational goals and at the same time, spoil the individual interests.

7.6 Resolution of Conflicts

Conflicts can bring benefits/harm to the organization. The main task is how an organization reacts in managing it. Resolution of conflicts means arriving at a formal expression agreed upon by the parties to the conflict. When conflict has surfaced whether intra-individual, inter –individual or intra-group, the same has to be resolved at the earliest. The following steps are suggested to handle the situation at the initial stage like:

1. **Understanding the conflict**: The most important aspect in resolving the conflict is to understand the complete details of the situation. The person handling a conflict must objectively and skillfully adopt his strategies according to the severity of the situation. You have to listen to the views of the individuals in conflicts.
2. **Diagnosis the important issues:** It means to analyze all the important causes connected to the onset of conflict. During this process, the nature of conflict starts revealing the aspects like goals, values, psychological factors, personality clashes, difficulties in decision making, misunderstanding, communication failures, etc.
3. **Conflict handling modes:** people handle conflict in different ways:

- **Withdrawal:** The parties involved in the conflicting situation retreat with a mutual understanding from the actual conflict situation. This shows maturity of the individuals and a concern to work in unison.
- **Not permitting the conflict to surface:** This method advocates that to create such condition in an organization that a conflict may no surface at all. This requires a thorough monitoring of interpersonal relations of the people.

- **Compromising:** It is a popular way of dealing with conflicts. Here, a middle path for settlement has to be found out, so that both parties come to an agreement of compromise.
- **Competing:** It is a method by which an individual imposes his wishes on the other. In this, conflict is considered as a game to be won. Winning means success and achievement, while losing means failure and weakness. It is the best form in crisis.
- **Mutual problem solving:** Conscious about the existence of the problem, both the parties try to remove their differences by themselves. Parties in conflict must have flexibility in their stand while collaborating.
- **Confrontation method:** The conflicting parties have to face each other to resolve their issues. The main idea of the confrontation method is to find an acceptable and durable solution. The intervention of a third party (expert, consultant) is accepted.

Following are the methods adopted in confrontation techniques:
Bargaining/Negotiation: In this method the parties must set clear objectives on every bargaining item or issue and that one of the parties should understand on what ground the objectives were established. In bargaining, there must be flexibility with give and take. Negotiation normally takes place when labor unions negotiate contracts with the management. Negotiation includes pressure tactics (threat, counter threat) opted by employees and the organized workers represented by their unions in order to determine the terms and conditions of employment.
Mediation: a process whereby recommendations are made for resolving the conflict after the mediator has heard both parties' cases, but the final responsibility for settlement still lies with the parties themselves. The mediator has no authority over the parties to force them to abide by his decision.

- **Arbitration:** This is also a third party approach to the conflict. It is a process whereby the third party effectively adjudicates on the disputes by determining the means of settlement, after hearing evidence from both parties. The parties invariably agree in advance to accept the arbitrator's findings and the award is, therefore, binding.

The arbitration agreement shall be drawn up in the prescribed manner and has to be signed by the employer (authorized person) and also the authorized person on behalf of employees, since the arbitrator is appointed jointly.
Integrated decision method (IDM): It is a problem solving principle unlike participating the worker in decision making process of the organization.
It has a mental and emotional involvement of persons. There are mainly some points to note while making an IDM.

- Making adjustments in the relation of parties to the conflict
- The parties must share their understanding and feelings to arrive at a mutually agreeable solution
- Parties must express their attitudes and feelings in a dispassionate manner, so as to reduce hostility
- For properly understanding the problem, each party must express its goals and needs in an explicit manner
- Suitable alternatives acceptable to both the parties are to be found out by a combined effort
- Consensus decision is to be made to evaluate the alternatives to find the right alternative acceptable to both the parties as final integrated decision.

REVIEW QUESTIONS

1. *What is an organization?*
2. *Explain the common characteristics of organization.*
3. *Discuss:*
    a. *The different reasons to study OB*
    b. *The different challenges and opportunities for OB*
4. *Why is it important to study individual's behavior in organization?*
5. *Discuss the important elements of OB*
6. *Discuss the determinants of personality?*
7. *The debate between the defenders of the two determinants of personality is useless today. Why? Explain by using concrete examples.*
8. *Explain the foundations of individual behavior*
9. *Explain theories of personality*
10. *Explain the DISC model of personality (Human behavior model according to Dr William)*
11. *What is perception?*
12. *By using concrete example, explain the processes of perception.*
13. *Discuss the factors that influence perception.*
14. *Explain the role of perception in management*
15. *Using concrete examples, explain the interaction of three components of an attitude.*
16. *As we know, attitudes are learnt. Discuss the factors that influence their formation.*
17. *By using concrete example adapted to Pavlov's experience, identify and explain two behaviors that people can adopt by classical conditioning.*
18. *Explain the difference between classical conditioning and operant conditioning.*
19. *Discuss the process of cognitive learning*
20. *By using concrete examples explain how learning is an unending process*
21. *Explain why motivation is the key to job performance.*
22. *Discuss the content of the McGregor Theory X and Theory Y.*
23. *Discuss the seven strategies for motivation.*
24. *Develop the factors that influence successful behavior of groups.*
25. *Explain the stages of group development.*
26. *Explain deeply why team has become so popular (two pages minimum).*
27. *Compare the work group with the work team.*
28. *By using concrete example, establish the difference between communication and information.*
29. *Present in table the characteristics, the advantages and the disadvantages of the all types of communication.*
30. *Discuss the characteristics of effective communication.*
31. *Discuss various barriers to effective communication*
32. *Discuss the forces for change.*
33. *How can we overcome resistance to change?*
34. *Discuss different stages of change*
35. *What are the potential sources and consequences of stress?*
36. *By using concrete examples, explain the bipolarity of stress.*
37. *How can we manage stress?*
38. *Discuss exceptions to the general rule that stress interferes with performance.*
39. *Explain the difference between leadership and management.*
40. *Discuss different leadership styles studied by.*

41. *Some experts would argue that conflict is good. Other authorities believe that conflict is dangerous. What do you think about those two positions? Develop your answer.*
42. *Discuss:*
    a. *The different causes of conflict*
    b. *The implications of conflict.*
43. *Develop the strategies for conflict resolution.*
44. *Discuss traditional and modern approaches to conflict*
45. *Discuss various methods to conflict resolution*
46. *Explain the functional/ advantages of organizational conflict*
47. *Explain the dysfunctional/ disadvantages of organizational conflict*